Government of Karnataka

Department of School Education (Pre-University)

REVISED QUESTION BANK 2024-25

Subject :

Accountancy (30)

II PUC

REVISED QUESTION BANK
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CHAPTER - 01

ACCOUNTING FOR PARTNERSHIP BASIC CONCEPTS

PART - A

One Mark Questions:

I] Multiple Choice Questions:

1] The agreement between partner may be in

a] Oral

b] Written

c] Oral or Written

d] Duplicate

2] Partnership deed may not contains:

a] Name of the firm

b] Name and address of the partners

c] Profit and loss sharing ratio

d] Ownership of property.

3] If any partner has advanced some money to the firm beyond the amount of his capital, he shall be entitled to get interest on the amount at the rate of:

a] 5% p.a.

b] 6% p.a.

c] 8% p.a.

d] 7% p.a.

4] Interest on capital is generally provided for, when:

a] The partners contribute unequal amounts of capital but share profits equally.

b] The partners contribute equal amounts of capital but share profit unequally

c] Both (a) & (b) situation

d] The partners contribute equal amounts of capital but withdrawn unequally.

5] When fixed amount is withdrawn on the first day of every month, interest on total amount for the year ending will be calculated for:

a] 5 & 1/2 months

b] 4 &1/2 months

c] 6 &1/2 months

d] 6 months

6] When varying amounts are withdrawn at different intervals, the interest is calculated by using:

a] Simple Method

b] Average Method

c] Product Method

d] Weighted method

7] Adjustment for correction of omission and commission can be made in

a] Profit and loss adjustment account

b] Directly in the Capital Accounts of concerned partners

c] Revaluation account

d] Both (a) & (b) situations.

8] In order to form a Partnership there should be at least,

a] One person

b] Two people

c] Seven people

d] Fifty people

9] The business of a partnership concern may be carried on by

a] Two partners

b] All the partners

c] Any of them acting for all

d] All Partners or any of them acting for all.

10] The agreement between Partners must be to share:

a] Profits

b] Losses

c] Profits and losses

d] Duties and responsibilities

11] The liability of a Partner for acts of the firm is

a] Limited

b] Unlimited

c] Minimum

d] Maximum

12] The partnership Deed should be properly drafted and prepared as per the provisions of the

a] Partnership Act.

b] Stamp Act

c] Companies Act

d] Registration Act

13] The clauses of Partnership Deed can be altered with the consent of,

a] Two Partners

b] Ten Partners

c] Twenty Partners

d] All the Partners

14] In absence of partnership deed profits or losses must be shared in

a] Capital proportion

b] Equal

c] Agreed proportion

d] Any other proportion

15] When the dates of withdrawal are not specified, interest on drawings is to be calculated for the average period of

a] 5 months

b] 6 months

c] 7 months

d] 8 months

II. Fill in the blank questions:

1] Section _____ of the Indian Partnership Act, 1932 defines Partnership.

2] A partnership firm has no separate_____ entity.

3] In order to form a partnership, there should be at least _____persons of a common goal.

4] Partnership is the result of _____between two or more persons to do business and share its profits and losses.

5] It is preferred that the partners have an agreement in_____ .

6] The agreement between partners should be to carry on some _____.

7] Each partner carrying on the business is the principal as well as the _____for all other partners.

8] The liability of a partner for his acts is_____

9] In the absence of Partnership deed interest on advance from Partner will be charged @ ----------percentage per annum.

10] Under _____method, the capitals of the partners shall remain fixed.

11] Under fluctuating capital method, the partners' capital account balances _____from time to time.

12] Profit and Loss appropriation account is merely an extension of _____ account of firm.

13] Profit and Loss appropriation account Dr. To_____ account.

(Transferring interest on capital to P/L appropriation account).

14] _____Account Dr.

To Salary to partners account

(Transferring partners salary to P/L Appropriation A/c)

15] P/L Appropriation A/c Dr.

To Partners Capital /Current A/c.

(_____

III. Match the followings

A	B
a] The partnership Act	i] Alteration of partnership deed
b] Consent of all partner	ii] Guarantee of profit
c] Interest on drawings in absence of deed	iii]1932
d] Each partner has only one account	iv] No partner is charged
e] Assurance to minimum amount of profit	v] Fluctuating capital method
	vi] 6%

IV. Short Answer Questions :

1] What is a Partnership Firm?

2] Write any one feature of Partnership.

3] State any one content of the Partnership Deed.

4] Mention any one method of maintaining Partners capital.

5] Why is the Profit and Loss Appropriation account prepared?

6] What is the rate of Interest on advances by Partners as per Partnership Act?

7] When do you prepare partners' Current Accounts in partnership firms?

8] State any one feature of fluctuating capital method.

9] Find out Interest at 5 % p.a. on capital of □2,50,000 for 6 months.

10] Give one example for past adjustment.

11] In absence of partnership deeds, the profit or loss of the firm is to be shared equal. (state true or false)

12] Under Fixed Capital Method the Partners' Capital Accounts will always show a debit balance. (state true or false)

13] When a fixed amount is withdrawn during the middle of every month, interest on the total amount is calculated for 6 months. (state true or false)

14] Profit and Loss appropriation account is merely an extension of the Profit and Loss Account of a firm. (state true or false)

15] Interest on partners' capital is debited to Partners' Capital Accounts. (state true or false)

PART - B

Two Marks questions:

1] What is partnership?

2] Define Partnership.

3] What is a partnership deed?

4] What is the fixed capital method?

5] What is the fluctuating capital method?

6] State any two differences between fixed and fluctuating capital methods.

7] What is the guarantee of profit to a partner?

8] What do you mean by past adjustments?

9] Name any two methods for calculation of Interest on drawings.

10] When do the Interest on drawings be generally provided to partners?

11] How do you close a profit and loss appropriation account in partnership?

12] State any two special aspects of partnership accounts.

PART - C

Six Marks questions:

Problems on Preparation of P & L Appropriation A/c

1] Shreshtha and Jyeshtha commenced business in partnership on 01.04.2023 with a capital of ₹ 4,00,000 and ₹ 3,00,000 respectively agreeing to share profits and losses in the ratio of 3:2. For the year ending 31.03.2024, they earned the profits of ₹ 66,000 before allowing:

i] Interest on capital at 5% p.a.

ii] Interest on drawings: Shrestha ₹ 2,000 and Jyeshtha ₹ 1,500

iii] Yearly salary of Shreshtha ₹ 6,000 and commission to Jyeshtha ₹ 4000.

iv] Their drawings during the year: Shreshtha ₹ 40,000 and Jyeshtha ₹ 30,000.

Prepare Profit and Loss Appropriation Account.

(Ans: Profit ₹ 24,500)

2] Shivam and Swayam are partners sharing profits in the ratio of 2:1 with capitals of ₹ 2,50,000 and ₹ 1,50,000 respectively. Interest on capital is agreed @ 5 % p.a. Swayam is to be allowed an annual salary of ₹ 8,000. During the year 2023-24, they earned a profits of ₹ 30,000. A provision of ₹ 2000 is to be made in respect of commission to the manager. Interest on drawings being; Shivam ₹ 2000 and Swayam ₹ 1000.

Prepare Profit and Loss Appropriation Account.

Ans., Profit ₹ 3,000

3] Salim & Khadar are Partners commenced Partnership business on 1.4.2023 sharing profits & losses in the ratio of 3:2 with capitals of ₹ 1,00,000 and ₹ 80,000 respectively. They earned profits of ₹ 25,000 for the year before allowing:

a] Interest on Capitals @ 10% p.a.

b] Interest on drawings: Salim ₹ 1,000 & Kadar ₹ 800

c] Commission payable to Salim ₹ 2000 p.a.

d] Salary payable to Khadar ₹ 3000 p.a.

Prepare P & L Appropriation A/c for the year ending 31.03.2024

Ans., profit ₹ 3,800

4] Peter & Paul are the partners, sharing profits & losses in the ratio of 2:1 Their opening capital being ₹ 80,000 & ₹ 50,000 respectively. They earned a profit of ₹ 20,000 before allowing the following:

a] Interest on capital @ 8% p.a.

b] Interest on drawings: Peter ₹ 800, Paul ₹ 600

c] Salary to Peter ₹ 3,000 p.a.

d] Commission to Paul ₹ 2,000 p.a.

Prepare P & L Appropriation A/c

Ans., profit ₹ 6,000

5] Shruti and Reshma are partners with Capitals of ₹ 3,00,000 and rupees ₹ 2,00,000 respectively on 1.4.2023. They agreed to share profits in the ratio of 2:1. For the year ending 31st March they earned a profit ₹ 59,000 before allowing:

i] Interest on capital at 5% per annum.

ii] Interest on drawings Shruti ₹ 2500 Reshma ₹ 1500.

iii] Partnership salary to Shruti ₹ 5000 per annum.

iv] Commission payable to Reshma ₹ 500 per month.

Their drawings during the year amounted to Shruti ₹ 25000 and Reshma ₹ 15000. prepare a profit and loss appropriation account of the firm.

Ans: profit ₹ 27,000

6] Chetan and Devan are partners sharing profits and losses equally with the capitals of ₹ 2,00,000, ₹ 1,50,000 respectively on 1.4.2023. Chetan is entitled to a salary of ₹ 10,000 per year. Interest on capital is to be allowed at 6% per annum. Their drawings during the year were Chetan ₹ 12,000 Devan ₹ 8,000 interest on the same being ₹ 1,200 and ₹ 800 respectively. The profit for the year ended 31st March 2024 amounted to ₹ 38,000 before the above adjustments

Prepare Profit and Loss appropriation account

Ans., profit ₹ 9,000

7] Risha and Rakhi are partners in a firm with the capitals of ₹ 2,00,000 and ₹ 3,00,000 respectively. As per partnership deed they share profits and losses in capital ratio. The profit of the firm for the year ended 2023-24 amounted to ₹ 33,200 before allowing the following adjustments

i] Salary of ₹ 500 per month to Rakhi

ii] Interest on capital at 5% per annum.

iii] Interest on drawings at 6% per annum

During the year

Risha withdrew ₹ 7,000 and Rakhi ₹ 10,000 for their personal use

Prepare profit and loss appropriation account

Hint : interest is to be calculated for average of 6 months

Ans., profit ₹ 2,710

8] Sanju and Gulab are partners sharing profits and losses in the ratio 6:4. Their capitals on 1.4 2023 ₹ 2,00,000 and ₹ 1,00,000 respectively. They made a profit for the year ended ₹ 89,400 before making the following adjustments:

i] Interest on capital at 8% per annum.

ii] Salary of ₹ 1000 per month to each partner

iii] Their drawings during the year ₹ 20,000 and ₹ 15,000 respectively.

iv] Interest on drawings amounted to ₹ 2000 and ₹ 1800 respectively.

Prepare a profit and loss appropriation account for the year ended 31st March 2024.

Ans., profit ₹ 45,200.

Problems on Calculation of Interest on Drawings

1] Yashasvi and Tapashvi are partners in a firm. During the year ended 31st March 2024 Yashasvi makes the drawings as under Date of Drawings

Amount (₹)	
01.08.2023	₹ 5,000
31.12.2023	₹ 10,000
31.03.2024	₹ 15,000

Partnership Deed provided that partners are to be charged interest on drawings @ 12% p.a. Calculate the interest on drawings of Yashasvi under Product Method.

Ans., ₹ 700

2] Sahana and Saniya are partners in the firm. Sahana's drawings for the year 2023-24 are given as under:

₹ 4,000 on 01.06.2023

₹ 6,000 on 30.09.2023

₹ 2,000 on 30.11.2023

₹3,000 on 01.01.2024

Calculate interest on Sahana's drawings at 8% p.a. for the year ending 31.03.2024, under product method.

Ans., ₹ 620

3] Murthy and Patil are partners in a firm sharing profits and losses in the ratio of 3:2. Murthy withdraws ₹4,000 quarterly.

i] At the beginning of each quarter

ii] At the end of each quarter

Calculate the interest on drawings at 9% p.a. for the year ending 31.03.2024, under product method.

Ans., I) ₹ 900 ii) ₹ 540

4] Calculate interest on drawings of Mr. Kamalakar @10% p.a if he withdrew ₹1,000 per month by the short cut method:

i] At the beginning of each month

ii] At the end of each month.

Ans ., (i) ₹650, (ii) ₹550

5] Calculate interest on drawings of Purohit @10%p.a. if he withdrew ₹48,000 in a year evenly.

i] At the beginning of each quarter.

ii] At the end of each quarter.

Ans., i) ₹3,000, ii) ₹1,800

6] Vishnu a partner withdrew the following amounts during the year ended March 31st 2024

May 1st 2023	₹12000
July 31st 2023	₹6000
October 1st 2023	₹9000

Calculate interest at 9% per annum on his drawings.

Ans., ₹1,755

7] Mr. Poorna is a partner in a firm. He withdrew the following amounts during the year ended 31.3.2024

November 30th 2023	₹12000
January 1st 2024	₹8000
March 1st 2024	₹7000

Interest is to be charged at 6 % per annum. Calculate interest on drawings.

Ans., ₹395

8] Anil and Charan are partners sharing profits and losses equally. Anil withdrew the following amounts on :-

July 1st 2023	₹ 5000
September 1st 2023	₹ 8000
January 1st 2024	₹ 4000

Accounts are closed on 31st March of every year. calculate interest on Anil's drawings at 7% per annum

Ans., ₹ 659.16 or ₹ 659

Problems on Guarantee of a Profit to a partner

1] Sachin and Rahul were partners in a firm sharing profits and losses in the ratio of 3:2. They admit Dhoni for 1/6th share in profits and guaranteed that his share of profits will not be less than ₹ 25,000. Total profits of the firm were ₹ 90,000. Calculate share of profits for each partner when the Guarantee is given by a firm. Prepare Profit and Loss Appropriation Account.

(Ans: Deficiency borne by Sachin, ₹ 6,000 and Rahul ₹ 4,000)

2] Roja and Usha were partners in a firm sharing profits and losses in the ratio of 3:2. They admit Sahana for 1/6th share in profits and guaranteed that his share of profits will not be less than ₹ 25,000. Total profits of the firm was ₹ 90,000. Calculate share of profits for each partner when the Guarantee is given by Roja. Prepare Profit and Loss Appropriation Account.

(Ans: Deficiency borne by Roja ₹ 10,000)

3] Sandya and Neela were partners in a firm sharing profits and losses in the ratio of 3:2. They admit Lalitha for 1/6th share in profits and guaranteed that his share of profits will not be less than ₹ 25,000.

Total profits of the firm were ₹ 90,000. Calculate share of profits for each partner when: Guarantee is given by Sandya and Neela equally.

Prepare Profit and Loss Appropriation account.

(Ans: Deficiency borne by Sandya and Neela each ₹ 5,000)

4] Aarav and Neerav share profits and losses in the ratio of 2:1. They admit Sourav as a partner with ¼ share in profits with a guarantee that his share of profit shall be at least ₹ 25,000. The net profit of the firm for the year ending March 31st 2016 was ₹ 80,000.

Prepare Profit and Loss Appropriation Account.

(Ans: Deficiency Received from Aarav ₹ 3,333, Neerav ₹ 1,667)

5] Charan and Sharan share profits and losses in the ratio of 3:2. They admit Sachin into their firm for 1/6 share in profits. Charan personally guaranteed that Sachin's share of profit, after charging interest on capital @ 10% p.a. would not be less than ₹15,000 in any year. The capital provided was as follows: Charan ₹1,25,000, Sharan ₹1,00,000 and Sachin ₹75,000. The profit for the year ending March 31st 2016 amounted to ₹75,000 before providing interest on capital.
Show the Profit and Loss Appropriation A/c if the new profit sharing ratio is 3:2:1
(Ans: Deficiency Received from Charan ₹7,500)

6] Sandesh and Kailesh share profits and losses in the ratio of 2:1. From April 01, 2015 they admit Basavesh into their firm who is to be given a share of 1/10 of the profits with a guaranteed minimum of ₹50,000. Sandesh and Kailesh continue to share profits as before but agree to bear any deficiency on account of guarantee to Basavesh in the ratio of 3:2 respectively. The profits of the firm for the year ending March 31st, 2016 amounted to ₹2,40,000.
Prepare Profit and Loss Appropriation Account.
(Ans: Deficiency from Sandesh ₹15,600, Kailesh ₹10,400

Key answer for short questions :

MCQ

1] c 2] d 3] b 4] c 5] c 6] c 7] d 8] b 9] d 10] c
11] b 12] b 13] d 14] b 15] b

FILL IN THE BLANKS

1] Section 4 2] Legal 3] 2 4] agreement
5] Writing 6] Trade or business 7] Agent
8] Unlimited 9] 6% 10] Fixed capital
11] Changes 12] P&L A/C
13] Interest on capital account 14] P&L appropriation account
15] Transferring profit in appropriation account

MATCH THE FOLLOWING a] iii b] i c] iv d] v e] ii.
TRUE OR FALSE 1] T 2] F 3] T 4] T 5] F

CHAPTER - 02

RECONSTITUTION OF A PARTNERSHIP FIRM

ADMISSION OF A PARTNER

PART - A

One Mark Questions:

I] Multiple Choice Questions:

1] At the time of admission of a new partner, general reserve appearing in the old balance sheet is transferred to:

a] All Partners Capital Account

b] New Partner's Capital Account

c] Old Partners Capital Account

d] Not to be transferred

2] A, B and C are partners in a firm. If D is admitted as a new partner:

a] Old firm is dissolved

b] Old firm and old partnership are dissolved

c] Old partnership is reconstituted

d] Old partnership dissolved

3] On the admission of a new partner, increase in the value of asset is credited to:

a] Profit and Loss Adjustment(Revaluation) Account

b] Asset account

c] Old Partners Capital account

d] New partner's capital account

4] At the time of admission of a partner, undistributed profits appeared in the balance sheet of the old firm is transferred to the capital accounts of:

a] Old partners in old profit sharing ratio

b] Old partners in new profit sharing ratio

c] All the partners in new profit sharing ratio

d] All partners capital account equally

5] A and B are partners with capitals of ₹ 45,000 each. C is admitted for 1/3rd share and he brings in ₹ 60,000 as his capital. Hidden goodwill is,

a] ₹ 60,000

b] ₹ 30,000

c] ₹ 90,000

d] ₹ 45,000

6] Which of the following are treated as reconstitution of a Partnership Firm?
a] Admission of a partner
b] Change in profit sharing ratio
c] Retirement of a partner
d] All of the above

7] Profit or Loss on revaluation is shared among the partners in the:
a] Old profit sharing ratio
b] New profit sharing ratio
c] Capital ratio
d] Equal ratio

8] Assets and Liabilities are recorded in Balance Sheet after the admission of a partner at:
a] Original value
b] Revalued value
c] Realisable value
d] Book value as appeared in old balance sheet

9] Old Profit Sharing Ratio - New Profit Sharing Ratio is = _____
a] Sacrificing ratio
b] Gaining ratio
c] Both the above
d] None of the above

10] In the absence of an agreement to the contrary, it is implied that old partners will contribute to new partner's share of profit in the ratio of:
a] Capital
b] Old profit sharing ratio
c] Sacrificing ratio
d] Equally

11] The balance of reserves and other accumulated profits at the time of admission of a new partner are transferred to:
a] All partners in the new ratio
b] Old partners in the new ratio
c] Old partners in the old ratio
d] Old partners in the sacrificing ratio

12] Revaluation Account is debited for the:
a] increase in provision for doubtful debts
b] increase in the value of building
c] decrease in the amount of creditors
d] transfer of loss on revaluation

13] A and B are partners sharing profits in the ratio of 3:1. C is admitted into partnership for 1/4th share. The sacrificing ratio of A and B will be:

a] Equal

b] 3:1

c] 2:1

d] 3:2

14] On the admission of new partner, increase in the value of assets is debited to:

a] Profit and Loss adjustment account

b] Assets account

c] Old partners capital account

d] New partner's capital account

15] A and B are partners sharing profits in the ratio of 3:1. They admit C for ¼th share in the future profits. The new profit sharing ratio will be:

a] A $\frac{9}{16}$, B $\frac{3}{16}$, C $\frac{4}{16}$

b] A $\frac{8}{16}$, B $\frac{4}{16}$, C$\frac{4}{16}$

c] A $\frac{10}{16}$, B $\frac{2}{16}$, C$\frac{4}{16}$

d] A $\frac{8}{16}$, B$\frac{9}{16}$, C$\frac{10}{16}$

16] X and Y share profits in the ratio of 3:2. Z was admitted as a partner who gets 1/5th share. New profit sharing ratio, if Z acquires 3/20 from X and 1/20 from Y would be:

a] 9:7:4

b] 8:8:4

c] 6:10:4

d] 10:6:4

17] Asha and Nisha are partners sharing profit in the ratio of 2:1. Asha's son Ashish was admitted for 1/4 share of which 1/8 was gifted by Asha to her son. The remaining was contributed by Nisha. Goodwill of the firm is valued at ₹40,000. How much of the goodwill will be credited to the old partners capital account?

a] ₹2,500 each

b] ₹5,000 each

c] ₹20,000 each

d] ₹ 25,000 each.

18] If average profit is ₹15,000, Capital employed is ₹1,00,000 and Normal rate of return is 10%, then the value of goodwill under capitalization method is;

a] ₹25,000

b] ₹ 50,000

c] ₹ 75,000

d] ₹ 10,000

II. Fill in The Blanks:

1] _____ ratio is used to distribute accumulated profits and losses at the time of admission of a new partner.

2] Profit or loss on revaluation is shared among the old partners in ____ ratio

3] Old ratio – New ratio = _____

4] Accumulated losses are transferred to the capital accounts of the old partners at the time of admission in their ____ ratio.

5] General reserve is to be transferred to _____ accounts at the time of admission of a new partner.

6] Goodwill brought in by new partner in cash is to be distributed among old partners in _____ ratio.

7] If the amount brought by new partner is more than his share in capital, the excess is known as _____.

8] _____ Account is debited for the increase in the value of an asset.

9] Unrecorded asset is to be credited to _____ account.

10] Due to change in profit sharing ratio, some partners will gain in future profits while others will _____.

11] Goodwill is an _____ asset.

12] _____ account is credited for cash brought in by new partner for his share of goodwill.

13] _____ ratio is required for sharing future profits and also for adjustment of capitals.

III. Match the following type questions:

A		B	
a	Sacrifice ratio	i	Old share – share sacrificed
b	Goodwill	ii	Share in future profits
c	New share	iii	Old share – New share
d	Average profit method	iv	AS-26
e	Right of new partner	v	Intangible asset
f	Shortage of funds	vi	Valuation of Goodwill
g	Accounting for Intangible asset	vii	Reason for admission

IV. Very short answer questions:

1] What is Partnership?

2] What do you mean by reconstitution of a Partnership Firm?

3] State any one reason for admission of a new partner.

4] State any one right acquired by a newly admitted partner.

5] Why the NPSR is required at the time of admission of a partner?

6] What is Goodwill?

7] State any one factor affecting the value of goodwill.

8] What is normal profit?

9] State any one method of valuation of goodwill.

10] Give the formula for sacrifice ratio.

11] Which account is to be debited to record the increase in the value of an asset?

12] What is Revaluation Account?

13] Which account will be credited when there is a loss on revaluation?

14] Which account will be debited when the cash is brought by a new partner for his share of goodwill?

15] What is hidden goodwill?

State True or False in following cases:

16] Goodwill brought in cash by new partner is distributed among old partner in their Sacrificing ratio.

17] In case of admission of a partner, profit or loss on revaluation is transferred to Old Partners' Capital Accounts.

18] Accumulated profit is transferred to all partners' capital Accounts including new partner.

19] The debit balance of Profit and Loss Account shown in the assets side of the Balance Sheet will be debited to Old Partners Capital Accounts.

20] Increase in the value of an asset is credited to Revaluation Account

21] The traditional name of Revaluation A/c is 'Profit and Loss Adjustment A/c'.

22] Goodwill is an intangible asset.

23] Decrease in the value of liability is debited to Revaluation Account.

24] Sacrifice ratio is required to distribute the cash brought by new partner among old partners for his share of goodwill.

25] Share sacrificed = Old share – New share.

PART - C

Problems on calculation of NPSR

1] Anita and Kavita are partners sharing profits in the ratio of 3:2. They admitted Sunita as a new partner for $1/5^{th}$ share in future profits of the firm. Calculate new profit sharing ratio of Anita, Kavita and Sunita. **(Ans: 12:8:5)**

2] Sudeep and Sandeep are partners in a firm sharing profits and losses in the ratio of 3:2. They admit Dilip into the partnership for 1/6th share in the profits. Calculate the new profit sharing ratio. **(Ans: 3:2:1)**

3] Ajay, Praksh and Santosh are partners sharing profits and losses in the proportion of 2/8, 3/8 and 3/8. They admit Suresh for 1/4th share. Calculate the new profit sharing ratio of all partners. **(Ans: 6:9:9:8)**

4] Ram and Rahim are partners sharing profits in the ratio of 3:2. They admit Rakshit as a new partner for 1/5th share in the future profits of the firm, which he gets equally from Ram and Rahim. Calculate new profit sharing ratio of Ram, Rahim and Rakshit. **(Ans: 5:3:2)**

5] Vani and Rani are partners sharing profits and losses in the ratio of 3:2. They admitted Mayuri as a new partner 3/10 share, which she acquired 2/10 from Vani and 1/10 from Rani. Calculate the new profit sharing ratio. **(Ans: 4:3:3)**

6] Ravi and Shankar are partners sharing profits and losses in the ratio of 7:3. They admit Shiva into the partnership. Ravi surrenders 1/2 of his share and Shankar 1/4th of his share in favour of Shiva. Calculate new profit sharing ratio of Ravi, Shankar and Shiva. **(Ans: 14:9:17)**

7] Rajesh and Rakesh are partners in a firm sharing profits and losses in the ratio of 3:2. They admit Ramesh as a new partner. Rajesh agrees to surrender 1/4th of his share and Rakesh agrees to surrender 1/3rd of his share in favour of Ramesh. Calculate new profit sharing ratio of Rajesh, Rakesh and Ramesh. **(Ans: 27:16:17)**

8] Amar and Akbar are partners sharing profits and losses in the ratio of 5:3. They admit Anthoni into the partnership and offer him 1/6th share which he acquired in the ratio of 3:1 from the old partners. Calculate the new profit sharing ratio. **(Ans: 12:8:4 or 3:2:1)**

9] Suresh and Shankar are partners sharing profits and losses in the ratio of 2:1. They admit Jagadish into the partnership giving him 1/5th share which he acquired from Suresh and Shankar in 1:2 ratio. Calculate new profit sharing ratio. **(Ans: 9:3:3 or 3:1:1)**

10] Sujata and Sangeeta are partners in a firm sharing profits in ratio of 4:1. They admit Revati as a new partner for 1/4th share in future profits, which she acquired wholly from Sujata. Calculate the new profit sharing ratio of the all partners. **(Ans: 11:4:5)**

Six Marks Problems on sacrifice ratio

1] Anil and Sunil are partners sharing profits and losses in the ratio of 4:3. They admit Akash into partnership. The new profit sharing ratio is agreed at 7:4:3 respectively. Find out the sacrifice ratio of old partners. **(Ans: 1:2)**

2] Sharat and Bharat are partners sharing profits and losses in the ratio of 3:2. They admit Kamat into partnership and the new ratio was agreed to be 5:4:3. Calculate the sacrifice ratio. **(Ans: 11:4)**

3] Avinash and Bhima are partners in a firm sharing profits in the ratio of 5:3. They admit Chandru as a new partner for 1/7th share in the future profit. The new profit sharing ratio will be 4:2:1. Calculate the sacrifice ratio of Avinash and Bhima. **(Ans: 3:5)**

4] Surekha and Sunita are partners sharing profits and losses in the ration of 5:3. They admit Savita into the partnership. The new profit sharing ratio is 3:2:1 respectively. Find out the sacrifice ratio of the old partners. **(Ans: 3:1)**

5] Mohan and Madan are partners sharing profits and losses in the ratio of 3:2. They admit Murali into the partnership. The new profit sharing ratio is 4:3:3. Calculate the sacrifice ratio of Mohan and Madan. **(Ans: 2:1)**

6] Radha and Rukmini are partners in a firm sharing profits and losses in the ratio of 3:2. They admit Ranjeeta as a new partner for 1/4th share. The new profit sharing ratio between Radha and Rukmini will be 2:1. Calculate the sacrifice ratio. **(Ans: 2:3)**

7] Amir and Salman are partners in a firm sharing profits and losses in the ratio of 3:2. They admit Shaharukh into the partnership. Amir agrees to surrender 1/2nd of his share and Salman agrees to surrender 1/4th of his share in favour of Shaharukh. Calculate the sacrifice ratio of Amir and Salman. **(Ans: 3:1)**

8] Chhaya and Maya are partners sharing profits and losses equally. They admit Shreya into the partnership. Chhaya agrees to surrender 1/3rd of her share and Maya agrees to surrender 1/4th of her share to Shreya. Calculate the sacrifice ratio. **(Ans: 4:3)**

9] Pujari and Purohit are partners sharing profits and losses in the ratio of 2:1. They admit Pandit into the partnership and gave him 1/6th share. Pujari and Purohit agreed to share the remaining share in the ratio of 3:2. Calculate the sacrifice ratio. **(Ans: 5:0 or 1:0)**

PART - D

12 Marks Problems :

I] <u>When new partner brings cash for his share of goodwill</u>

1] Maya and Chhaya are partners sharing profits and losses in the ratio of 2:1. Their Balance Sheet as on 31.3.2024 was as follows:

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets	₹
Creditors	20,000	Cash in Hand	8,000
Bills Payable	7,000	Stock	15,000
Reserve Fund	18,000	Debtors	20,000
Capitals:		Machinery	30,000
Maya	60,000	Buildings	60,000
Chhaya	40,000	Investments	12,000
Total	**145,000**	**Total**	**145,000**

On 01.04.2024, Shreya is admitted into partnership on the following conditions:

a] Shreya should bring in cash ₹25,000 as her capital and ₹15,000 as goodwill for 1/5th share in future profits**. (as per AS-26)**

b] Appreciate Buildings at 20% and Stock is revalued at ₹12,000.

c] Maintain Provision for doubtful debts at 5% on Debtors.

d] Outstanding salary ₹2,000.

Prepare :

i] Revaluation Account.

ii] Partners' Capital Accounts &

iii] New Balance Sheet of the firm.

(Ans: Revaluation profit-₹6,000 Capital Account Balances:Maya-86,000, Chhaya-53,000 & Shreya-25,000 New B/S total : ₹1,93,000)

2] Rekha and Surekha are partners in a firm sharing profits and losses in the ratio of 3:2. Their balance sheet is given below:

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets	₹
Creditors	18,000	Cash at Bank	20,000
O/s Salary	12,000	Sundry debtors 25,000	
Reserve Fund	10,000	Less: PDD 2,000	23,000
Capitals:		Stock	7,000
Rekha 60,000		Furniture	25,000
Surekha 40,000	100,000	Buildings	50,000
		P & L Account	15,000
Total	**1,40,000**	**Total**	**1,40,000**

On 01.04.2024, they admit Chandrika as new partner into partnership on the following terms:

a] She brings in ₹40,000 as capital and ₹20,000 towards goodwill for 1/4th share in future profits**. (as per AS26)**

b] Depreciate Furniture by 10% and buildings are revalued at ₹45,000.

c] PDD is increased to ₹3,500.

d] Prepaid insurance ₹2,000.

Prepare:

i] Revaluation Account.

ii] Partners' Capital Accounts &

iii] New Balance sheet as on 01.04.2024.

(Ans: Revaluation Loss -₹7,000 Capital Account Balances:Rekha-₹64,800, Surekha-₹43,200 & Chandrika-₹40,000 New B/S total: ₹1,78,000)

3] Suresh and Mahesh are partners in a firm sharing profits and losses equally. Their balance sheet as on 31.03.2024 was as follows.

Balance Sheet as on 31.03.2024

Liabilities		₹	Assets		₹
Creditors		40,000	Cash at Bank		10,000
Bills Payable		50,000	Stock		25,000
Reserve Fund		30,000	Debtors	40,000	
Profit and Loss A/c		10,000	Less: PDD	2,000	38,000
Capital Accounts:			Machinery		20,000
Suresh	40,000		Buildings		92,000
Mahesh	30,000	70,000	Patents		15,000
Total		**2,00,000**	**Total**		**2,00,000**

On 01.04.2024, they admit Ganesh as a new partner for 1/4thshare in the future profits on the following terms:

a] Ganesh should bring in cash ₹50,000 as his capital and ₹20,000 towards goodwill and goodwill amount is withdrawn by old partners **(as per AS26)**

b] Depreciate Machinery by 10%.

c] Increase provision for doubtful debts by ₹4,000.

d] Buildings are revalued at ₹1,00,000.

Prepare:

i] Revaluation Account

ii] Partners' Capital Accounts &

iii] New Balance Sheet of the firm.

(Ans: Revaluation profit-₹2,000 Capital Account Balances:Suresh-₹61,000, Mahesh-₹51,000 & Ganesh-₹50,000 New B/S total: ₹2,52,000)

4] Amith and Sumit are partners in a firm sharing profits and losses in the ratio of 3:2. Their balance sheet as on 31.03.2024 stood as follows:

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets	₹
Creditors	40,000	Cash at Bank	21,000
General Reserve	5,000	Bills Receivable	3,000
Capital Accounts:		Debtors 18,000	
Amit	30,000	Less: PDD 1,000	17,000
Sumit	15,000	Stock	20,000
		Buildings	25,000
		Machinery	4,000
Total	**90,000**	**Total**	**90,000**

On 01.04.2024, they admit Ranjit as a new partner and offered him 1/5th share in the future profits on the following terms:

a] He has to bring in ₹ 10,000 as his capital and ₹ 5,000 towards goodwill. Half of the goodwill amount is withdrawn by old partners **(as per AS26)**

b] Stock is reduced by ₹ 2,000 and Appreciate buildings by 20%.

c] Maintain 5% PDD on debtors.

d] Provide for outstanding repair bills ₹ 100.

Prepare :

i] Revaluation Account

ii] Partners' Capital Accounts &

iii] New Balance Sheet of the firm.

(Ans: Revaluation profit-₹ 3,000 Capital Account Balances:Amit-₹ 36,300, Sumit-₹ 19,200 & Ranjit-₹ 10,000 New B/S total: ₹ 1,05,600)

5] Anita and Vanita are partners in a firm sharing profits and losses in the ratio of 3:2. Their balance sheet as on 31.03.2024 was as follows.

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets	₹
Creditors	20,000	Cash in Hand	5,000
Bills Payable	6,000	Debtors 20,000	
Reserve Fund	4,000	Less: PDD 2,000	18,000
Capitals:		Stock	17,000
Anita 40,000		Buildings	35,000
Vanita 30,000	70,000	Furniture	25,000
Total	**1,00,000**	**Total**	**1,00,000**

On 01.04.2024, Sunita is admitted into partnership on the following terms:

a] She brings ₹25,000 as capital and ₹10,000 towards goodwill for 1/6th share in the future profits. Goodwill amount is withdrawn by old partners **(as per AS-26)**

b] Depreciate Furniture at 10% and appreciate Buildings by 20%.

c] Provision for doubtful debts is no longer required.

d] Provide ₹1,000 for Repair charges.

Prepare :

i] Revaluation Account

ii] Partners' Capital Accounts &

iii] Balance Sheet of the firm after admission.

(Ans: Revaluation profit-₹5,500 Capital Account Balances:Anita-₹45,700, Vanita-₹33,800 & Sunita-₹25,000 New B/S total: ₹1,31,500)

6] Tarun and Harish are partners in a firm. Their balance sheet as on 31.03.2024 was as follows:

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets	₹
Creditors	1,50,000	Cash at Bank	50,000
General Reserve	50,000	Stock	50,000
		Furniture	1,20,000
Capitals:		Debtors	40,000
Tarun	1,20,000	Buildings	1,00,000
Harish	80,000	Investments	40,000
Total	**4,00,000**	**Total**	**4,00,000**

On 01.04.2024 Krishna is admitted into the partnership on the following terms:

a] He brings in ₹60,000 as his capital and ₹20,000 towards goodwill for 1/4th share in the future profits. Goodwill is to be withdrawn by the Old Partners. **(as per AS26)**

b] Depreciate Furniture by 10% and appreciate Buildings by ₹22,000.

c] Investments are to be revalued at ₹50,000.

d] Creditors were unrecorded to the extent of ₹5,000

Prepare :

i] Revaluation Account

ii] Partners' Capital Accounts &

iii] New Balance Sheet of the firm.

(Ans: Revaluation profit-₹15,000 Capital Account Balances: Tarun - ₹1,52,500, Harish-₹1,12,500 & Krishna-₹60,000 New B/S total: ₹4,80,000)

7] Pradeep and Sudeep are partners in a firm sharing profits and losses in the ratio of 3:2. Their balance sheet as on 31.03.2024 was as follows:

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets	₹
Creditors	40,000	Cash	25,000
Bills Payable	20,000	Machinery	60,000
General Reserve	25,000	Stock	25,000
Capitals:		Debtors 23,000	
Pradeep 60,000		Less: PDD 3,000	20,000
Sudeep 40,000	100,000	Buildings	50,000
		P & L Account	5,000
Total	**1,85,000**	**Total**	**1,85,000**

On 01.04.2024, they admit Sandeep as new partner and offer him 1/5th share in the future profits on the following terms:

a] Sandeep has to bring in ₹30,000 as his capital and ₹10,000 towards goodwill. Goodwill amount is withdrawn by the old partners**.(as per AS26)**

b] Depreciate Machinery by 5%.

c] Appreciate buildings by 10%.

d] PDD is reduced to ₹2,000 and Stock is to be revalued at ₹27,000.

Prepare :

i] Revaluation Account

ii] Partners' Capital Account &

iii] New Balance Sheet of the firm.

(Ans: Revaluation profit-₹5,000 Capital Account Balances:Pradeep-₹75,000, Sudeep-₹50,000 & Sandeep-₹30,000 New B/S total: ₹2,15,000)

8] Narayan and Gopal are equal partners. Their Balance Sheet as on 31.03.2024 was as follows:

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets	₹
Bills Payable	6,000	Cash	2,000
Sundry Creditors	12,000	Stock	23,000
Reserve Fund	2,000	Buildings	40,000
Capitals Accounts:		Sundry debtors 25,000	
Narayan 40,000		Less: PDD 5,000	20,000
Gopal 30,000	70,000	Furniture	5,000
Total	**90,000**	**Total**	**90,000**

On 01.04.2024, they admit Vinayak as a new partner and offered him 1/4th share in the profit on the following terms:

a] He should bring in ₹30,000 as capital and ₹20,000 towards goodwill.

b] Half of the goodwill amount is withdrawn by the old partners.**(as per AS26**)

c] Stock and Furniture to be depreciated by 10% each.

d] PDD is reduced by ₹3,000 and ₹200 to be provided for electricity charges

Prepare :

i] Revaluation Account

ii] Partners' Capital Accounts &

iii] New Balance Sheet of the firm.

(Ans: Revaluation profit/Loss- Nil Capital Account Balances:Narayan- ₹46,000, Gopal-₹36,000 & Vinayak-₹30,000 New B/S total: ₹1,30,200)

II. When goodwill of the firm is valued

9] Sharavati and Netravati are partners in a firm sharing profits and losses in the ratio of 3:2. Their Balance Sheet as on 31.03.2024 stood as follows:

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets	₹
Bills Payable	14,000	Cash	15,000
Creditors	16,000	Buildings	25,000
General Reserve	5,000	Patents	6,000
Capitals:		Machinery	35,000
Sharavati	50,000	Debtors 20,000	
Netravati	20,000	Less: Provisions 1000	19,000
		Stock	5,000
Total	**105,000**	**Total**	**105,000**

On 01.04.2024, Kaveri is admitted into the partnership for 1/6th share in future profits on the following terms:

a] Kaveri pays ₹20,000 as capital. The Goodwill of the firm is valued at ₹24,000 (**as per AS 26)**

b] Buildings are appreciated by ₹5,000

c] Machinery is depreciated by 20%.

d] Provision for doubtful debts is increased by ₹1,000.

Prepare :

i] Revaluation Account

ii] Partners' Capital Accounts &

iii] Balance Sheet of the firm after admission.

(Ans : Revaluation Loss- ₹3,000 Capital Account Balances:Sharavati-₹53,600, Netravati-₹22,400 & Kaveri-₹16,000 New B/S total: ₹1,22,000)

10] Malaprabha, Ghataprabha and Hiranyakeshi are partners in a firm sharing profits and losses in the ratio of 2:1:1. Their Balance Sheet as on 31.03.2024 was as follows:

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets	₹
Creditors	1,00,000	Cash at Bank	17,000
Reserve fund	32,000	Bills Receivable	19,000
Bank OD	8,000	Debtors 1,20,000	
Capitals:		Less: PDD 6,000	1,14,000
Malaprabha	40,000	Stock	80,000
Ghataprabha	50,000	Buildings	60,000
Hiranyakeshi	60,000		
Total	**2,90,000**	**Total**	**2,90,000**

On 01.04.2024, they admit Krishna into the partnership for 1/5th share in future profits on the following terms:

a] Krishna brings ₹ 50,000 as her capital.

b] Goodwill of the firm is valued at ₹ 60,000 **(as per AS-26)**

c] Reduce Stock by 10% and appreciate Buildings to ₹ 70,000.

d] Provision for doubtful debts decreased by ₹ 2,000.

Prepare :

i] Revaluation Account

ii] Partners' Capital Accounts &.

iii] New Balance Sheet of the new firm.

(Ans : Revaluation profit- ₹ 4,000 Capital Account Balances:Malaprabha-₹ 64,000, Ghataprabha-₹ 62,000, Hiranyakeshi -₹ 72,000 & Krishna-₹ 38,000 New B/S total: ₹ 3,44,000)

11] Arati and Bharati are partners sharing profits and losses in the ratio 2:1. Their Balance Sheet as on 31.03.2024 was as follows:

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets	₹
Creditors	13,000	Cash in Hand	10,000
Bills Payable	8,000	Debtors	6,000
Reserve Fund	9,000	Stock	10,000
Capitals:		Furniture	4,000
Arati 20,000		Buildings	40,000
Bharati 20,000	40,000		
Total	**70,000**	**Total**	**70,000**

On 01.04.2024, they admit Jayanti into partnership giving her 1/5th share in the future profits on the following terms:

a] The new partner should bring ₹25,000 as her capital.

b] The Goodwill of the firm valued at ₹30,000**. (as per AS26)**

c] Value of Buildings is to be appreciated by ₹7,000 and Furniture to be depreciated by ₹1,000

d] Stock is valued at 10% less than the book value and there is an outstanding printing bill for ₹500

Prepare :

i] Revaluation Account

ii] Partners' Capital Accounts &.

iii] Balance Sheet of the new firm.

(Ans : Revaluation profit- ₹4,500 Capital Account Balances:Arati-₹33,000, Bharati - ₹26,500 Jayanti-₹19,000
New B/S total: ₹1,00,000)

12] Ramya and Rakshita are partners sharing profits and losses in the proportion of 3/5 and 2/5. Their Balance Sheet as on 31.03.2024 was as follows:

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets		₹
Creditors	75,000	Cash at Bank		19,000
Reserve fund	20,000	Stock		39,000
P & L Account	5,000	Debtors	60,000	
Capitals:		Less: PDD	3,000	57,000
Ramya	60,000	Furniture		10,000
Rakshita	30,000	Buildings		40,000
		Machinery		25,000
Total	**1,90,000**	**Total**		**1,90,000**

On 01.04.2024, Rachita is admitted into partnership on the following terms:

a] She should bring ₹40,000 as capital for 1/6th share and goodwill of the firm is valued at ₹24,000 **(as per AS26)**

b] Depreciate Furniture by 10%.

c] Appreciate Buildings by 20%.

d] PDD is increased by ₹2,000.

e] Creditors were valued at ₹77,000, as one bill for goods purchased have been omitted to record in books.

Prepare :

i] Revaluation Account.

ii] Partners' Capital Accounts &.

iii] New Balance Sheet of the firm.

(Ans : Revaluation profit- ₹3,000 Capital Account Balances:Ramya-₹79,200, Rakshita-₹42,800 Rachita- ₹36,000 New B/S total: ₹2,35,000)

II. Capitals Adjustments Problems:

13] Mahesh and Suresh are equal partners in a firm. Their Balance Sheet as on 31.03.2024 stood as follows:

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets	₹
Creditors	40,000	Stock	39,000
Bank Loan	8,000	Debtors 32,000	
		Less: PDD 2,000	30,000
Capitals:		Land & Buildings	40,000
Mahesh 80,000		Machinery	36,000
Suresh 40,000	1,20,000	Motor Car	8,000
		Cash at Bank	15,000
Total	**1,68,000**	**Total**	**1,68,000**

On 01.04.2024, Rakesh is admitted into partnership for 1/5th share in profits on the following terms:

a] Rakesh should bring ₹26,000 as capital.

b] Goodwill of the firm is valued at ₹10,000 **(as per AS 26)**

c] Motor car and Machinery are to be depreciated by 20% and ₹3,800 respectively.

d] Prepaid rent ₹600.

e] Provision for doubtful debts is to be maintained at 10%.

f] The Capital Accounts of all the partners are to be adjusted in their new profit sharing ratio 2:2:1, based on Chandra's Capital **after adjusting goodwill** (Adjustments are to be made in cash)

g] Sacrifice ratio of old partners is 1:1

Prepare :

i] Revaluation Account

ii] Partners' Capital Account &

iii] New Balance Sheet of the firm

(Ans : Revaluation loss- ₹6,000 Capital Account Balances:Mahesh-₹48,000, Suresh-₹48,000 Rakesh- ₹24,000 New B/S total: ₹1,68,000)

14] Ram and Laxman are partners in a firm. Following is their Balance Sheet as on 31.03.2024

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets	₹
Creditors	16,000	Cash in Hand	10,000
Bills Payable	4,000	Stock	15,000
		Debtors 16,000	
Capitals:		Less: Provision 500	15,500
Ram 40,000		Furniture	4,500
Laxman 20,000	60,000	Plant & Machinery	20,000
		Land & Building	15,000
Total	**80,000**	**Total**	**80,000**

On 01.04.2024, Bharat is admitted into partnership on the following terms:

a] Bharat should bring ₹ 16,000 as capital.

b] Goodwill of the firm is valued at ₹ 6,000.**(as per AS26**)

c] Provision for doubtful debts is to be increased by ₹ 1,000.

d] Machinery is to be depreciated by 10%.

e] Land & Buildings are to be increased by ₹ 5,000.

f] Capital Accounts of partners are to be adjusted in their new profit sharing ratio 3:2:1, based on Bharat's Capital **after adjusting goodwill.** (Adjustments to be made in cash)

g] Sacrifice ratio of old partners is 0:1

Prepare :

i] Revaluation Account

ii] Cash Account

iii] Partners' Capital Accounts &

iv] New Balance Sheet of the firm.

(Ans : Revaluation profit- ₹ 2,000 Cash A/c Balance-₹ 38,000 Capital Account Balances : Ram-₹ 45,000, Laxman-₹ 30,000 Bharat- ₹ 15,000 New B/S total: ₹ 1,10,000)

15] Bhanu and Bhoomi are partners in a firm sharing profit & loss in the ratio of 2:1. Following is their Balance Sheet as on 31.03.2024.

Balance Sheet as on 31.03.2024

Liabilities	₹	Assets		₹
Creditors	20,000	Cash in Hand		37,000
Bills Payable	4,000	Stock		25,000
General Reserve	6,000	Buildings		40,000
Capitals:		Debtors	17,000	
Bhanu	80,000	Less: PDD	1,500	15,500
Bhoomi	40,000	Furniture		14,500
		Plant & Machinery		18,000
Total	**1,50,000**	**Total**		**1,50,000**

On 01.04.2024, Akash is admitted into partnership on the following terms:

a] Akash should bring ₹ 29,000 as capital.

b] Goodwill of the firm is valued at ₹ 24,000.

c] Stock is to be increased by 10%.

d] Provision for doubtful debts is increased to ₹ 2,500.

e] Capital accounts of partners are to be adjusted in their new profit sharing ratio 3:2:1, based on Akash's capital **after adjusting goodwill** (Adjustments to be made in cash).

f] Sacrifice ratio of old partners is **1:0**

Prepare :

i] Revaluation Account.

ii] Partners' Capital Accounts &

iii] Balance sheet of the new firm.

(Ans : Revaluation profit- ₹ 1,500 Capital Account Balances:Bhanu-₹ 75,000, Bhoomi-₹ 50,000 Akash- ₹ 25,000 New B/S total: ₹ 1,74,000)

Key Answers

I.Multiple Choice		II. Fill in Blanks		III. Matching		IV. True or False	
Q.No	**Ans**	**Q.No**	**Ans**	**Q.No**	**Ans**	**Q.No**	**Ans**
1	c	1	Old	a	iii	16	True
2	c	2	Old	b	v	17	True
3	a	3	Sacrifice Ratio	c	i	18	False
4	a	4	Old	d	vi	19	True
5	b	5	Old partners capital	e	ii	20	True
6	d	6	Sacrifice	f	vii	21	True
7	a	7	Hidden goodwill	g	iv	22	True
8	b	8	Asset			23	False
9	a	9	Revaluation			24	true
10	b	10	Loose			25	True
11	c	11	Intangible				
12	a	12	New partner's capital				
13	b	13	New profit sharing				
14	b						
15	a						
16	a						
17	b						
18	b						

CHAPTER - 03

RECONSTITUTION OF A PARTNERSHIP FIRM

RETIREMENT / DEATH OF A PARTNER

PART - A

One Mark Questions:

I] Multiple Choice Questions:

1] Abhishek, Rajat and Vivek are partners sharing profits in the ratio of 5:3:2. If Vivek retires, the New Profit Sharing Ratio between Abhishek and Rajat will be–

a] 3:2

b] 5:3

c] 5:2

d] 1:1

2] The old profit sharing ratio among Rajendra, Satish and Tejpal were 2:2:1. The New Profit Sharing Ratio after Satish's retirement is 3:2. The gaining ratio is;

a] 3:2

b] 2:1

c] 1:1

d] 2:2

3] Anand, Bahadur and Chander are partners sharing profits equally. On Chander's retirement, his share is acquired by Anand and Bahadur in the ratio of 3:2. The New Profit Sharing Ratio between Anand and Bahadur will be:

a] 8:7

b] 4:5

c] 3:2

d] 2:3

4] In the absence of any information regarding the acquisition of share in the profit of the retiring/deceased partner by the remaining partners, it is assumed that they will acquire his/her share in:

a] Old Profit Sharing Ratio

b] New Profit Sharing Ratio

c] Equal Ratio

d] gain ratio

5] On retirement/death of a partner, the remaining partner(s) who have gained due to change in profit sharing ratio should compensate the

a] retiring partners only.

b] remaining partners (who have sacrificed) as well as retiring partners.

c] remaining partners only (who have sacrificed).

d] Remaining partners who have gained

6] Amount due to deceased partner is settled in the following manner;

a] Immediate full payment

b] Transferred to Loan Account

c] Partly paid in cash and the balance transferred to Loan A/c

d] All of the above.

7] Deceased partner's share of profit in the accrued profit may be calculated on the basis of

a] Last year's profit

b] average profit of past few years

c] Sales

d] All the above

8] Items to be considered while calculating the amount payable to the deceased partner is:

a] His share of capital

b] His share of reserve

c] His share of accrued profit

d] All the above

9] Accrued profit is ascertained on the following ways_____

a] Average profit

b] Previous year's profit

c] On sales

d] All of the above.

10] Amount payable to the Executors of the deceased partner is transferred to:

a] Executors loan account.

b] Executors account.

c] Remaining partners' capital accounts.

d] deceased partner's capital account.

II. Fill in the blanks:

1] _____ ratio is used to distribute accumulated profits and losses at the time of retirement of a partner.

2] Profit or loss on revaluation is shared among the partners in ____ ratio on retirement of a partner.

3] New ratio – Old ratio = _____

4] Accumulated losses are transferred to the Capital Accounts of the partners at the time of retirement in their ____ ratio.

5] General reserve is to be transferred to _____ accounts at the time of retirement of a partner.

6] In the absence of any instruction, Retiring Partner's Capital A/c is closed by transferring its balance to _____ A/c

7] _____ ratio is used for adjustment of continuing partner's capitals.

8] X, Y and Z are the partners sharing profits and losses in the ratio of 3:2:1. If Y retires, the new ratio of X and Z will be _____.

9] Share gained is calculated by deducting _____ share from the New Share.

10] The ratio in which the remaining partners share future profits after retirement is called _____ ratio.

11] The balance in the retiring partner's loan A/c is shown on the _____ side of the B/S till the last installment is paid.

12] The amount paid to the Retiring Partner in excess of what is due to him is called _____ goodwill.

13] In the absence of any agreement as the disposal of amount due to retiring partner, Sec._____of the Indian Partnership Act, 1932 is applicable.

14] Executors account is generally prepared at the time of _____of a partner.

15] Accounting treatment at the time of retirement and death is_____.

16] The period from date of the last B/S and the date of the partner's death is called _____ period.

17] _____ account is debited for the transfer of share of accrued profit of a deceased partner.

18] Amount payable to the Executors of the deceased partner is transferred to _____account.

III. Match the following type questions:

A		B	
a	Gaining ratio	i	Outgoing partner receive 6% interest
b	Gained share	ii	Old share + acquired share
c	New share	iii	Death of a partner
d	Executor's account	iv	New share – Old share
e	Section 37 of partnership act	v	Transfer to Executor's account
f	Amount due to deceased partner	vi	Required for contribution to retiring partner share of goodwill

IV. One Marks Questions.

1] What do you mean by retirement of a partner?

2] Give the formula for calculating Gain Ratio.

3] Why the Gain Ratio is required on retirement of a partner?

4] Why the New Ratio is required on retirement of a partner?

5] Give the formula for calculation of new profit sharing ratio on retirement of a partner.

6] What do you mean by hidden goodwill?

7] When do you prepare executors account?

8] How do you close the executors account?

9] Who is an 'Executor'?

10] Which account is credited for the share of accrued profit of a deceased partner?

11] What is intervening period?

State true or false in the following cases:

12] Profit or loss on revaluation is transferred to All Partners' Capital Accounts in case of retirement of a partner.

13] Accumulated profit is transferred to Continuing Partners Capital Accounts.

14] Adjustment of partners' capitals of the remaining partners is to be made in the New Ratio.

15] New Share = Old share + share sacrificed.

16] Share gained is computed by deducting Old share from the New Share.

17] Increase in the value of asset is debited to Revaluation Account.

18] Sec 37 of the Indian Partnership Act, 1932 states that the outgoing partner has an option to receive either interest @ 6% p.a. till the date of payment or such share of profits which has been earned with his money.

19] Deceased partner's claim is transferred to his Executor's Account

20] Deceased partners' share of profit for the intervening period may be calculated on the basis of last year's profit/ average profit of past few years or on the basis of sales.

21] Deceased partner may be paid in one lump sum or installments with interest.

22] Retirement normally takes place at the end of an accounting period, where as death of a partner may occur at any time.

23] Amount payable to the Executors of the deceased partner is transferred to executor's loan account.

PART- B

TWO MARKS QUESTIONS*:*

1] Mention any two circumstances for retirement of a partner.

2] What is Gain Ratio?

3] State any two differences between sacrificing ratio and gaining ratio.

4] State any two purposes of calculating new profit sharing ratio.

5] How do you close the Revaluation Account on retirement of a partner?

6] Mention any two modes of disposal of amount due to Retiring Partner.

7] Pass the journal entry to close Retiring Partner's Capital Account when the payment is made immediately.

8] Give the journal entry to close Retiring partner capital Account when it is transferred to Loan A/c.

9] Give the journal entry to close Revaluation Account when there is a profit.

10] Give the journal entry to close Revaluation Account when there is a loss.

11] Why do firms revalue the assets and liabilities on retirement?

12] Why retiring partner is entitled to a share of goodwill of the firm?

13] Pass the journal entry for Deceased Partner's Share of profits for the intervening period:

14] Give the meaning of accrued profit.

15] State any two differences between retirement and death of a partner.

16] Write any two ways of settlement of claims of the deceased partner.

17] Write the journal entry to close the deceased partner's Capital Account.

18] Pass Journal entry for transfer of accrued profit of the deceased partner.

19] Write the journal entry for cash paid immediately to the executors of the deceased partner.

20] How do you close the executors account when the payment is not made immediately?

21] A, B, C were partners in a firm sharing profits in the ratio of 5:4:1. The profit of the firm for the year ending on 31-3-2024 was ₹ 12,000. B dies on 30-6-2024. Calculate B's share of profit from 1-4-2024 to 30-6-2024.

22] Give the Journal entry when retiring partner's whole amount is treated as loan.

23] Pass the Journal entry when retiring partner is partly paid in cash and the remaining amount is treated as loan

24] P, Q and R are partners in a firm sharing profits in the ratio of 3:2:1. R retires and the balance in his Capital Account after making necessary adjustments workout to be ₹ 60,000. P and Q agreed to pay him ₹ 75,000 in full settlement of his claim. Find out the hidden goodwill.

PART - C

Six marks problems on calculation of Gain Ratio.

1] Ajay, Vijay and Sanjay are partners in a firm sharing profits and losses in the ratio of 4:3:2. Ajay retires from the firm. Vijay and Sanjay agreed to share future profits in the ratio of 5:3. Calculate gain ratio of Vijay and Sanjay.
(Ans.Gain Ratio =21:11)

2] Kishan, Ratan and Nayan are partners in a firm sharing profits and losses in the ratio of 4:3:2. Nayan retires from the firm. Kishan and Ratan agreed to share equally in future. Calculate gain ratio of Kishan and Ratan **(Ans.Gain Ratio = 1:3)**

3] Sharat, Bharat and Kamat are Partner's sharing Profits and Losses in the ratio of 1:1:1. Bharat retires from the Firm. Sharat and Kamat decided to share the profit in future in the ratio of 4:3. Calculate the Gain ratio. **(Ans.Gain Ratio = 5:2)**

4] Sahana, Bhavana and Raveena are Partners' Sharing Profits and Losses in the proportion of 1/2, 3/10 and 1/5. Bhavana retires from the firm. Sahana and Raveena decided to share future profits and losses in the ratio of 3:2. Calculate the Gain Ratio.
(Ans.Gain Ratio = 1:2)

5] Bhumika, Pratixa and Anushka are partners sharing profits and losses in the proportion of 1/2 , 3/10 and 1/5 respectively. Bhumika retires from the firm. Pratixa and Anushka decided to share future profits and losses in the ratio of 5:3. Calculate the Benefit ratio of Pratixa and Anushka. **(Ans.Gain Ratio = 13:7)**

6] Raja, Rani and Mantri are partners sharing profits and losses in the proportion of 3:2:1 respectively. Raja retires from the firm. Rani and Mantri decided to share future profits and losses equally. Calculate the Benefit ratio of Rani and Mantri. **(Ans.Gain Ratio = 1:2)**

7] Arati, Bharati and Hemavati are partners sharing profits and losses in the ratio of 4:3:2 respectively. Bharati retires from the firm. Arati and Hemavati decided to share future profits and losses in the ratio of 5:3. Calculate the Gain ratio of Arati and Hemavati. **(Ans.Gain Ratio = 13:11)**

8] Puneet, Pankaj and Prakash are partners sharing profits and losses in the ratio of 3:2:1. Puneet retires from the firm and his share is acquired by Pankaj and Prakash in the ratio of 5:3. Calculate the Gain ratio of Pankaj and Prakash.
(Ans.Gain Ratio = 7:5)

9] Pavan, Madan and Suman are partners sharing profits and losses in the ratio of 5:3:2 respectively. Madan retires from the firm. Pavan and Suman decided to share equally in future. Calculate the Gain ratio of Pavan and Suman.
(Ans. Gain Ratio = 0:3 or 0:1)

10] Prakash, Ramesh and Suresh are partners sharing profits and losses in the ratio of 4:2:3 respectively. Suresh retires from the firm. Prakash and Ramesh are decided to share equally in future. Calculate the Gain ratio of Prakash and Ramesh.
(Ans. Gain Ratio = 1:5)

PART - C

Six marks problems on calculation of NPSR.

1] Raju, Ravi and Roopa are partners sharing profits and losses in the ratio of 3/8,1/2 and 1/8. Raju retires and surrenders 2/3rd of his share in favour of Ravi and the remaining share in favour of Roopa. Calculate new profit sharing ratio.
(Ans. NPSR= 3:1)

2] Akash, Anil and Adarsh are partners sharing profits and losses in the ratio of 5:3:2. Anil retires from the firm and his share is acquired by Akash and Adarsh in the ratio of 2:1. Calculate new profit sharing ratio.**(Ans. NPSR= 7:3)**

3] White, Black and Green are partners sharing profits and losses in the ratio of 3:2:1. Black retires. His share is taken by White and Green in the ratio of 3:1. Calculate new profit sharing ratio. **(Ans. NPSR = 3:1)**

4] Girish, Mahesh and Varun are Partners Sharing Profits in the ratio of 3:2:1. Mahesh retires and his share is acquired by Girish and Varun in the ratio of 3:2. Calculate NPSR **(Ans. NPSR = 7:3)**

5] Amit, Bhima and Chandra are partners sharing profits and lossed in the ratio of 5:3:2. Bhima retires from the firm. Bhima surrenders 2/3 of his share in favour of Amit and 1/3 of his share to Chandra. Calculate New profit sharing ratio of Amit and Chandra. **(Ans. NPSR = 7:3)**

6] Rajesh, Rakesh and Ramesh are partners sharing profits and losses in the ratio of 4:3:2 respectively. Ramesh retires from the firm. Rajesh and Rakesh are decided to share Ramesh's share of profit in the ratio of 2:1. Calculate New profit sharing ratio of Rajesh and Rakesh. **(Ans. NPSR = 16:11)**

7] Pankaj, Naresh and Sourabh are partners sharing profits and lossed in the ratio of 6:5:2. Naresh retires from the firm. His share is acquired by Pankaj and Sourabh equally. Calculate New profit sharing ratio of Pankaj and Sourabh.
(Ans. NPSR = 17:9)

8] Radha, Sheela and Meena are partners sharing profits and lossed in the ratio of 3:2:1. Meena retires from the firm. Her share is acquired by Radha and Sheela in the ratio of 2:1. Calculate New profit sharing ratio of Radha and Sheela.
(Ans. NPSR = 11:7)

9] Vani, Rani and Soni are partners sharing profits and lossed in the ratio of 5:3:2. Vani retires from the firm. Her share is acquired by Rani and Soni in the ratio of 2:1. Calculate New profit sharing ratio of Rani and Soni. **(Ans. NPSR = 19:11)**

10] Lata, Abhishek and Apexa are partners sharing profits and lossed in the ratio of 4:3:2. Apexa retires from the firm. Her share is acquired by Lata and Abhishek in the ratio of 1:2. Calculate New profit sharing ratio of Lata and Abhishek.
(Ans. NPSR = 14:13)

PART-C

SIX MARKS PROBLEMS: ON DEATH OF PARTNER

1] Rajesh, Rakesh and Ramesh are the partners sharing profits and losses in the ratio of 3:2:1, Their capitals as on 01.04.2024 were ₹1,00,000, ₹90,000 and ₹60,000 respectively. Rajesh died on 01-10-2024 and the Partnership Deed provided the following:

a] Interest on Rajesh's Capital at 10% p.a.

b] Rajesh's salary ₹ 2,000 p.m.

c] His share of accrued profit up to the date of death based on previous year's profit. Firms profit for 2023-24 ₹ 24,000

d] His share of Goodwill ₹ 12,000 **(as per AS26)**

Ascertain the amount payable to Rajesh's Executor by preparing Rajesh's Capital A/c

(Ans: Amount payable to Rajesh's Executors: ₹ 1,35,000)

2] Ram, Rahim and Rakshit are partner's sharing profits and losses in the ratio of 2:2:1. Their capital balances on 01.04.2024 stood at ₹ 90,000, ₹ 60,000 and ₹ 40,000 respectively. Mr. Rahim died on 01.07.2024 and partnership deed provides the following:

a] Interest on capital at 10% p.a.

b] Salary to Rahim ₹ 2,000 per month.

c] Rahim's share of Goodwill**(as per AS26)**

d] His share of profit up to the date of death on the basis of previous year's profit.

i) Total good will of the firm is ₹ 60,000

ii) Profit of the firm for the year 2023-24 is ₹ 40,000

You are required to ascertain the amount payable to Executors of Rahim by preparing Rahim's Capital Account.

(Ans: Amount payable to Executors of Rahim: ₹ 95,500)

3] Dinesh, Mahesh and Ramesh are partners sharing profit and losses in the ratio of 4:3:3. Their capital balances on 01.04.2023 stood ₹ 1,00,000, ₹ 80,000 and ₹ 50,000 respectively. Dinesh died on 31.12.2023. The partnerships deed provides the followings:

a] Interest on capital at 12% p.a.

b] He had withdrawn ₹ 5,000 up to the date of death.

c] Dinesh's share of goodwill ₹ 5,000 (as per AS26)

d] His share of profit up to the date of death on the basis of previous year profits.

Previous year's profits ₹ 20,000.

Prepare Dinesh's Executors Account.

(Ans: Amount payable to Dinesh's Executors: ₹ 1,15,000)

4] Radha, Rukmini and Ranjita are partners sharing profits and losses in the ratio of 2:2:1. Their capital balances on 01.04.2023 stood at ₹70,000, ₹50,000 and ₹40,000 respectively. Rukmini died on 01.01.2024. According to partnership deed, Rukmini's executors are entitled to get the following:

a] Rukmini's capital as on 01.04.2023.

b] Interest on capital at 6% p.a.

c] Salary to Rukmini at ₹1,000 per month.

d] Rukmini's share of goodwill. Goodwill of the firm is ₹60,000 **(as per AS26)**

e] Rukmini is entitled for commission of ₹4,000 per year

Prepare Rukmini's Capital Account.

(Ans: Amount payable to Rukmini's Executors: ₹ 88,250)

5] Raga, Tala and Shruti were partners sharing profits and losses in the ratio of 6:3:2 respectively. Their capitals on 01.04.2024 stood at ₹60,000, ₹30,000 and ₹20,000 respectively. Shruti died on 30th Sept 2024. According to partnership deed, Shruti's executors are entitled to get the following:

a] The deceased partner's share of goodwill is ₹9,000.

b] The deceased partner's share in accrued profit up to the date of her death is ₹4,200

c] Shruti's commission is ₹600 p.m. Her drawings up to the date of death amounted to ₹7,500.

d] Interest on capital at 10% p.a.

Prepare Shruti's Capital Account.

(Ans: Amount payable to Shruti's Executors: ₹30,300)

6] Veena, Vani and Rani were partners in a firm sharing profits and losses in the ratio of 5:3:2. On 31st March 2024, their Balance Sheet was as under

Balance Sheet as on 31.3.2024

Liabilities		₹	Assets	₹
Creditors		14,000	Cash	8,000
Reserve Fund		6,000	Debtors	11,000
Capitals:			Patents	11,000
Veena	30,000		Stock	10,000
Vani	25,000		Machinery	50,000
Rani	15,000	70,000		
		90,000		**90,000**

Veena died on 30th Sept 2024. It was agreed between her executors and the surviving partners that:

a] Goodwill to be valued at two years purchase of the average profits of the previous four years, which were:

2020-21 ₹ 12,000, 2021-22 ₹ 20,000,
2022-23 ₹ 13,000, 2023-24 ₹ 15, 000 **(as per AS26)**

b] Share in the profit from the date of last Balance Sheet till to the date of death to be calculated on the basis of last year's profit.

c] Interest on capital to be allowed at 12% p.a.

d] Share in the Revaluation Account balance, her share is ₹ 5, 000(Cr).

Prepare Veena's Capital Account.

(Ans: Amount payable to Veena's Executors: ₹ 58,550)

7] Ramya, Bhavya and Rakshita were partners sharing profits & losses in the ratio of 2:1:1. Their balance sheet as on 31.3.2024 was as under:

Balance Sheet as on 31-03-2024

Liabilities	₹	**Assets**	₹
Sundry Creditors	25,000	Cash	6,000
Reserve Fund	20,000	Stock	12,000
Ramya capital	15,000	Debtors	15,000
Bhavya capital	10,000	Investments	15,000
Rakshita capital	10,000	Buildings	32,000
	80,000		**80,000**

The partnership deed provides that in the event of death of partner, her executors entitled to get the following:

a] The Capital at the date of last Balance Sheet

b] His proportion of reserve fund.

c] Interest on capital @ 12% p.a

d] Her share of profit to the date of death based on the average profits of the last three years profits.

e] Her share of goodwill. Goodwill of the firm is three years purchase of the average profit of last 3 years profits, the profits for the last three years were: 2021-22 ₹ 16,000, 2022-23- ₹ 17,000, and 2023-24 ₹ 15,000**(as per AS26)**

Rakshita died on July 1st, 2024. She had also withdrawn ₹ 5000 till to the date of her death. Prepare Rakshita's Executors Account.

(Ans: Amount transferred to Rakshita's Executors Loan A/c : ₹ 28,300)

8] Sujata, Sangeeta and Revati are partners in a business sharing profits and losses in the ratio of 2:2:1 respectively. Their Balance Sheet as on March 31, 2024 was as follows.

Balance Sheet as on March 31,2024.

Liabilities		₹	Assets	₹
Sundry Creditors		1,00,000	Cash at Bank	20,000
Reserve Fund		50,000	Stock	30,000
Capital Accounts			Sundry Debtors	80,000
Sujata	60,000		Investments	70,000
Sangeeta	1,00,000		Furniture	35,000
Revati	40,000	2,00,000	Buildings	1,15,000
		3,50,000		**3,50,000**

Revati died on 30th Sept 2024. The partnership deed provided the following:

a] The deceased partner will be entitled to her share of profit up to the date of death calculated on the basis of previous year's profit.

b] She will be entitled to her share of goodwill of the firm calculated on the basis of 3 year's purchase of average of last 4 years' profit. The profits for the last four financial years are given below:
For 2020-21 ₹ 80,000, for 2021-22 ₹ 50,000,
for 2022-23 ₹ 40,000, and for 2023-24 ₹ 30, 000.**(as per AS26)**

c] The drawings of the deceased partner up to the date of death is ₹ 10,000.

d] Interest on Capital is to be allowed at 12% per annum.
Prepare Revati's capital Account.
(Ans: Amount payable to Revati's Executors: ₹ 75,400)

9] Pradeep, Sandeep and Sanket are partners sharing profits in the ratio of 3:2:1 and their Balance Sheet as on 31st March 2024 stood as follows:

Balance sheet as on 31st March,2024

Liabilities		₹	Assets	₹
Bills Payable		12,000	Buildings	21,000
Creditors		14,000	Cash in hand	12,000
Reserved Fund		12,000	Bank	13.700
Capitals:			Debtors	12,000
Pradeep	20,000		Bills Receivable	4,300
Sandeep	12,000	40,000	Stock	1,750
Sanket	8,000		Investment	13,250
		78,000		**78,000**

Sandeep died on 1st July 2024 and according to the deed of the partnership her executors are entitled to be paid as under.

a] The capital to his credit at the time of his death and interest there on at 10% per annum.

b] His proportionate share of reserve fund.

c] His share of profits for the intervening period will be based on the sales during that period, which were calculated as ₹ 1,20,000. The rate of profit during past three years had been 10% on sales.

d] His share in goodwill to be calculated by taking twice the amount of the average profit of the last three years. The profits of the previous years were:

2021-22 ₹ 9,200

2022-23 ₹ 8,000

2023-24 ₹ 9,800 **(as per AS26)**

The investments were sold for ₹ 16,250 and his executors were paid on.

Prepare the Sandeep's Executors Account.

(Ans: Amount paid to Sandeep's Executors: ₹ 27,300)

10] Deepa, Pushpa and Parimala were partners sharing profits and losses in the ratio of 5:3:2. Their balance sheet as on 31 March 2024 was as follows.

Balance sheet as on 31st March, 2024.

Liabilities		₹	Assets	₹
Creditors		14,000	Investments	10,000
Reserve Fund		6,000	Premises	25,000
Capitals:			Patents	6,000
Deepa	30,000		Machinery	43,000
Pushpa	30,000	80,000	Debtors	8,000
Parimala	20,000		Bank	8,000
		1,00,000		**1,00,000**

Parimala died on 1st November, 2024. The agreement between the Executors of Parimala and the continuing partners stated that:

a] Goodwill of the firm be valued at 2 ½ times the average profits of last four years. The profits of fast four years were: 2020-21 ₹ 13,000, 2021-22 ₹ 12,000, 2022-23 ₹ 16,000, and 2023-24 ₹ 15,000.**(as per AS26)**

b] The share of profit of Parimala should be calculated on the basis of last year's profit.

c] ₹ 5,000 should be paid immediately and the balance should be transferred to Executors loan A/c.

Prepare Parimala's Executor's Account.

(Ans: Amount transferred to Parimala's Executors loan A/c: ₹ 24,950)

PART-D

12 Marks Problems

1] Amar, Akbar and Anthoni were partners in a firm sharing profits in the ratio of 2 : 2 : 1. Their Balance Sheet as on March 31, 2024 was as follows:

Balance Sheet as on 31-03-2024

Liabilities	Amount (₹)	Assets	Amount (₹)
Creditors	50,000	Cash	15,000
Reserves	20,000	Debtors	20,000
Amar's Capital	80,000	Stock	40,000
Akbar's Capital	60,000	Buildings	1,50,000
Anthoni's Capital	75,000	Machinery	50,000
		Patents	10,000
	2,85,000		**2,85,000**

Akbar retired on March 31, 2024 on the following terms:

a] Goodwill of the firm was valued at ₹ 60,000. **(as per AS26)**

b] Bad debts amounting to ₹ 2,000 were to be written off.

c] Patents were considered as valueless.

d] Appreciate Building by 10%.

Prepare :

i] Revaluation Account

ii] Partners' Capital Accounts and

iii] New Balance Sheet after Akbar's retirement.

(Ans: Revaluation profit-₹ 3,000 Capital A/c balances-Amar-₹ 73,200 Anthoni-₹ 71,600 Akbar's Loan-₹ 93,200 New B/S Total-₹ 2,88,000)

2] Pradeep, Sudeep and Sundar were in partnership sharing profits and losses in the proportion of 3:2:1. Their Balance Sheet was as follows:

Balance Sheet as on 31-03-2024

Liabilities		Amount (₹)	Assets	Amount (₹)
Trade Creditors		10,000	Cash at Bank	12,500
Bills Payable		3,000	Debtors	15,000
O/S Expenses		5,000	Stock	12,000
General Reserve		12,000	Factory Premises	22,500
Capitals :			Machinery	8,000
Pradeep	20,000		Loose Tools	5,000
Sudeep	15,000			
Sundar	10,000	45,000		
		75,000		**75,000**

On April 1, 2024, Sudeep retires from the firm. The terms were:

a] Goodwill of the firm was valued at ₹ 6,000. **(as per AS26)**

b] O/s Expenses to be brought down to ₹ 3,750.

c] Machinery and Loose Tools are to be valued at 10% less than their book value.

d] Factory premises are to be revalued at ₹ 25,550.

Prepare :

i] Revaluation Account

ii] Partners' Capital Accounts and

iii] Balance Sheet of the firm after retirement of Sudeep.

(Ans: Revaluation profit-₹ 3,000 Capital A/c balances-Pradeep-₹ 26,000 Sundar-₹ 12,000 Sudeep's Loan-₹ 22,000 New B/S Total-₹ 76,750)

3] Anita, Kavita and Sunita are partners sharing profits in the ratio of 5:3:2. Anita retired from the firm due to her illness. On that date the Balance Sheet of the firm was as follows.

Balance Sheet as on March 31, 2024

Liabilities		Amount (₹)	Assets		Amount (₹)
Sundry Creditors		15,000	Bank		8,500
Bills Payable		12,000	Debtors	6,000	
Provision for Legal Damages		6,000	Less: PDD	500	5,500
General Reserve		10,000	Stock		9,000
Capitals:			Furniture		40,000
Anita	50,000		Premises		80,000
Kavita	30,000				
Sunita	20,000	1,00,000			
		1,43,000			**1,43,000**

Additional Information:

a] Premises have been appreciated by 20%,

b] Stock depreciated by 10% and provision for doubtful debts was to be made at 10% on debtors.

c] Furniture to be brought up to ₹ 45,000.

d] Goodwill of the firm be valued at ₹ 40,000 **(as per AS26)**

e] ₹ 35,000 from Anita's Capital Account be transferred to her Loan Account and balance be paid through bank. If required, necessary overdraft may be obtained from Bank.

Prepare :

i] Revaluation A/c,

ii] Partners Capital Accounts and

iii] Balance Sheet of the firm after Anitas's Retirement.

(Ans: Revaluation profit - ₹ 20,000 Capital A/c balances-Kavita-₹ 27,000 Sunita-₹ 18,000 Anita's Loan-₹ 35,000 New B/S Total-₹ 1,54,500)

4] Following is the Balance Sheet of Arati, Bharati and Jayanti as on March 31st, 2024.

Balance Sheet as on March 31, 2024

Liabilities		Amount(₹)	Assets	Amount(₹)
Sundry Creditors		20,000	Cash	5,000
O/s Telephone bills		500	Sundry Debtors	15,000
Accounts payable		9,500	Stock	18,000
Profit and Loss A/c		15,000	Land and Building	60,000
Capitals :			Office Furniture	25,000
Arati	40,000		Plant and Machinery	42,000
Bharati	60,000			
Jayanti	20,000	1,20,000		
		1,65,000		**1,65,000**

The partners have been sharing profits in the ratio of 5:3:2. Jayanti decided to retire from business on April 1, 2024 and her share in the business is to be calculated as per the following terms:

a] Revaluation of assets : Stock ₹15,000; Office furniture ₹24,000; Plant and Machinery ₹40,000; Land and Building ₹70,000.

b] A provision of ₹1,500 to be created for doubtful debts.

c] The goodwill of the firm is valued at ₹30,000.

The continuing partners agreed to pay ₹15,000 as cash on retirement of Jayanti, to be contributed by continuing partners in the ratio of 3:2. The balance in the Capital Account of Jayanti will be treated as Loan.

Prepare : i] Revaluation a/c,

ii] Partners Capital Accounts, and

iii] Balance Sheet of the reconstituted firm.

(Ans: Revaluation profit-₹2,500 Capital A/c balances: Arati-₹54,000 Bharati-₹69,000 Jayanti's Loan-₹14,500 New B/S Total-₹1,67,500)

5] Mohan, Madan and Murali were partners sharing profits and losses in the ratio of 2: 2:1 respectively. Their Balance Sheet as on 31.3.2024 was as under.

Balance Sheet as on 31.03.2024

Liabilities		Amount (₹)	Assets		Amount (₹)
Creditors		35,500	Cash at Bank		20,000
Reserves Fund		20,000	Debtors	40,000	
Profit & Loss A/c		2,500	Less P.B.D.	2,000	38,000
Capital A/c			Stock		15,000
Mohan	50,000		Machinery		25,000
Madan	30,000		Furniture		10,000
Murali	20,000	1,00,000	Buildings		50,000
Total		**1,58,000**	**Total**		**1,58,000**

Murali retired on 1.4.2024 from the firm. The following adjustment are to be made:

a] Stock to be increased by 20%.

b] Maintain P.B.D at 10% on debtors.

c] Depreciate Machinery and Furniture by 10% each.

d] Buildings are revalued at ₹ 60.000

e] Goodwill of the firm valued at ₹ 15,000. **(as per AS26)**

Prepare:

i] Revaluation Account,

ii] Partners Capital Accounts and

iii] Balance Sheet as on 1.4.2024.

(Ans: Revaluation profit-₹ 7,500 Capital A/c balances-Mohan-₹ 60,500 Madan-₹ 40,500 Murali's Loan-₹ 29,000 New B/S Total-₹ 1,65,500)

6] Anil, Sunil and Ashok are partners sharing profits and losses equally. Their Balance sheet as on 31.03.2024 was as follows.

Balance Sheets as on 31.03.2024

Liabilities		Amount (₹)	Assets	Amount (₹)
Creditors		30,000	Cash	26,000
Bank overdraft		25,000	Bills receivable	28,000
Reserve Fund		15,000	Stock	45,000
			Debtors	30,000
Capital			Furniture	25,000
Anil	60,000		Machinery	50,000
Sunil	50,000		Profit Loss A/c	6,000
Ashok	30,000	1,40,000		
Total		**2,10,000**	**Total**	**2,10,000**

Ashok retired on 1.4.2024 from the business and the following adjustments are to be made:

a] Goodwill of the firm is valued at ₹ 18,000 **(as per AS26)**

b] Maintain provision for doubtful debts at 5% on Debtors

c] Increase stock by ₹ 6,000

d] Depreciate Machinery and Furniture by 10% each.

Prepare

i] Revaluation Account.

ii] All Partners Capital A/cs.

iii] Balance Sheet as on 1.04.2024

(Ans: Revaluation Loss-₹ 3,000 Capital A/c balances-Anil-₹ 59,000 Sunil-₹ 49,000 Ashok's Loan-₹ 38,000 New B/S Total-₹ 2,01,000)

Problems with Capital Adjustments

7] Akash, Prakash and Venkatesh are partners in a firm sharing profits and losses in proportion of ½, 1/6 and 1/3 respectively. The Balance Sheet on March 31, 2024 was as follows:

Balance Sheet as on March 31, 2024

Liabilities		Amount (₹)	Assets		Amount (₹)
Bills Payable		12,000	Freehold Premises		40,000
Sundry Creditors		18,000	Machinery		30,000
Reserves		12,000	Furniture		15,000
Capital Accounts :			Stock		20,000
Akash	40,000		Sundry Debtors	20,000	
Prakash	20,000		Less : PBD	1,000	19,000
Venkatesh	28,000	88,000	Cash		6,000
		1,30,000			**1,30,000**

On 01-04-2024, Venkatesh retires from the business and the partners agreed to the following :

a] Freehold premises and Stock are to be appreciated by 20% and 15% respectively.

b] Machinery and Furniture are to be depreciated by 10% each.

c] Bad Debts provision is to be increased to ₹ 1,500.

d] Goodwill is valued at ₹ 24,000 **(as per AS26)**

e] The continuing partners have decided to adjust their capitals in their new profit sharing ratio after retirement of Venkatesh. Surplus/deficit, if any, in their Capital Accounts will be adjusted through cash.

Prepare

i] Revaluation Account.

ii] All Partners Capital A/cs.

iii] New Balance Sheet as on 1.04.2024

(Ans : Revaluation profit- ₹ 6,000 Capital A/c balances-Akash- ₹ 48,000 Prakash- ₹ 16,000 Venkatesh's Loan- ₹ 42,000 New B/S Total- ₹ 1,36,000)

8] Sachin, Dravid and Ashwin were partners sharing profits in the ratio of 5:3:2 respectively. Their Balance sheet as on 31st March, 2024 was as follows:

Balance sheet as on 31st March, 2024

Liabilities	₹	Assets	₹
Sundry Creditors	39,000	Fixed Assets	1,00,000
Reserves	10,000	Stock	40,000
		Debtors	30,000

Capitals		Bills Receivable	10,000
Sachin	70,000	Cash	20,000
Dravid	51,000		
Ashwin	30,000		
Total	**2,00,000**	**Total**	**2,00,000**

Ashwin retired on 1st April,2024 on the following terms;

a] Stock is revalued at ₹ 53,000

b] Depreciate Fixed assets at 5%

c] Provision for doubtful debts is to be made at 10% on debtors.

d] Goodwill of the firm is valued at ₹ 40,000 **(As per AS26)**

e] The continuing partners have decided to adjust their capitals in their new profit sharing ratio which is agreed by them as 3:2 and their gaining ratio is 0:1. Surplus/deficit, if any, in their Capital Accounts will be adjusted through cash.

Prepare i] Revaluation Account.

ii] All Partners Capital A/cs.

iii] New Balance Sheet after retirement of Ashwin.

(Ans: Revaluation profit-₹ 5,000 Capital A/c balances-Sachin-₹ 75,000 Dravid-₹ 50,000 Ashwin's Loan-₹ 41,000 New B/S Total-₹ 2,05,000)

9] Anil, Vishal and Sumit were partners in a firm Sharing profits according to their capitals. Their Balance sheet as on March 31, 2024 was as under:

Balance Sheet as on March 31, 2024

Liabilities	**Amount (₹)**	**Assets**		**Amount (₹)**
Creditors	28,000	Buildings		1,00,000
General Reserve	12,000	Machinery		50,000
		Stock		18,000
Anil's Capital	80,000	Debtors	20,000	
Vishal's Capital	40,000	*Less:* PDD	1,000	19,000
Sumit's Capital	40,000	Cash at bank		13,000
	2,00,000			**2,00,000**

On the above date, Vishal decided to retire from the firm and the partners agreed to the following:

a] Buildings to be appreciated by 20%.

b] Provision for Bad debts to be increased up to 15% on Debtors.

c] Machinery to be depreciated by 20%.

d] Goodwill of the firm is valued at ₹72,000 **(as per AS26)**

e] The capital of the new firm be fixed at ₹1,20,000. The continuing partners have decided to adjust their capitals in their new profit sharing ratio after retirement of Vishal. Surplus/deficit, if any, in their Capital Accounts will be adjusted through cash.

Prepare i] Revaluation Account.

ii] All Partners Capital A/c.

iii] New Balance Sheet after retirement of Vishal

(Ans: Revaluation profit- ₹8,000 Capital A/c balances-Anil- ₹80,000 Sumit- ₹40,000 Vishal's Loan-₹ 63,000 New B/S Total- ₹2,11,000)

10] Mahesh, Suresh and Sandesh were partners sharing profits in the ratio of 3:2:1 respectively. Their Balance sheet as on 31st March, 2024 was as follows:

Balance sheet as on 31st March, 2024

Liabilities	₹	Assets	₹
Sundry Creditors	23,000	Building	45,000
Bills Payable	15,000	Machinery	25,000
Profit and Loss A/c	12,000	Stock	15,000
Capitals		Debtors	20,000
Mahesh	40,000	Bills Receivable	10,000
Suresh	30,000	Cash	25,000
Sandesh	20,000		
Total	**1,40,000**	**Total**	**1,40,000**

Suresh retired on 1st April,2024 due to illness on the following terms;

a] Depreciate Machinery by 10%

b] Building is revalued at ₹46,500

c] Provision for doubtful debts is to be made at 10% on debtors.

d] Goodwill of the firm is valued at ₹48,000 **(As per AS26)**

e] The capital of the new firm be fixed at ₹80,000. The continuing partners have decided to adjust their capitals in their new profit sharing ratio after retirement of Suresh. Surplus/deficit, if any, in their Capital Accounts will be adjusted through cash. And retiring partner's claim is settled immediately.

Prepare

i] Revaluation Account.

ii] All Partners Capital A/c.

iii} New Balance Sheet after retirement of Suresh

(Ans: Revaluation Loss-₹3,000 Capital A/c balances-Mahesh-₹60,000 Sandesh- ₹20,000 Amount paid to Suresh-₹49,000 Cash balance-₹6,000 New B/S Total-₹1,18,000)

Key Answers

Multiple Choice		Fill in Blanks		Matching		True or False	
Q.No	**Ans**	**Q.No**	**Ans**	**Q.No**	**Ans**	**Q.No**	**Ans**
1	b	1	Old	a	vi	12	True
2	c	2	Old	b	iv	13	False
3	a	3	Gain Ratio	c	ii	14	True
4	a	4	Old	d	iii	15	False
5	b	5	All partners capital	e	i	16	True
6	d	6	Retiring partner's loan	f	v	17	False
7	d	7	New profit sharing			18	True
8	d	8	3:1			19	True
9	d	9	Old			20	True
10	a	10	New profit sharing			21	True
11	d	11	Liability			22	True
		12	Hidden			23	True
		13	37				
		14	Death				
		15	Same/Similar				
		16	Intervening				
		17	Profit and loss suspense				
		18	Executor's loan				

CHAPTER - 04

DISSOLUTION OF PARTNERSHIP FIRM

PART - A

One Mark Questions:

I] Multiple Choice Questions:

1] On dissolution of a firm, bank overdraft is transferred to:

a] Cash Account

b] Bank Account

c] Realisation Account

d] Partner's capital Account

2] On dissolution of a firm, partner's loan account is transferred to:

a] Realisation Account

b] Partner's Capital Account

c] Partner's Current Account

d] cash or bank account.

3] After transferring liabilities like creditors and bills payables in the Realisation Account, in the absence of any information regarding their payment, such liabilities are treated as:

a] Never paid

b] Fully paid

c] Partly paid

d] Paid at deductible percentage.

4] When realisation expenses are paid by the firm on behalf of a partner, such expenses are debited to:

a] Realisation Account

b] Partner's Capital Account

c] Partner's Loan Account

d] cash or bank account

5] Unrecorded assets, when taken over by a partner are shown in:

a] Debit of Realisation Account

b] Debit of Bank Account

c] Credit of Realisation Account

d] Credit of Bank Account.

6] Unrecorded liabilities, when paid are shown in:

a] Debit of Realisation Account

b] Debit of Bank Account

c] Credit of Realisation Account

d] Credit of Bank Account.

7] The accumulated profits and reserves are transferred to:

a] Realisation Account

b] Partners' Capital Accounts

c] Bank Account

d] Cash Account.

8] On dissolution of the firm, partner's capital accounts are closed through:

a] Realisation Account

b] Drawings Account

c] Cash or Bank Account

d] Loan Account.

9] Dissolution of firm means to

a] Breaking of relationship between all the partners

b] Breaking of relationship between one or two partners

c] Breaking the relationship between two out of Five partners

d] Breaking of relationship between two out of four partners

10] Dissolution partnership firm brings

a] To an end of business

b] To the continuation of business

c] To the end of partnership

d] To the continuation of partnership

11] Dissolution of partnership implies that

a] The end of partnership

b] The end of firm

c] The continuation of partnership

d] The continuation of firm

12] Dissolution of partnership may not take place

a] On changes in existing profit sharing ratio

b] On admission of a new partner

c] On intervention of court

d] On retirement of a partner

13] Dissolution of firm may not take place

a] By an agreement

b] By compulsion

c] By notice

d] By completion of the venture

14] The court may order a partnership firm to dissolve on

a] The death of any partner

b] The insanity of any partner

c] The permanent incapability of any partner

d] The guilty of misconduct of any partner

15] Losses on dissolution including deficiency of capital Shall not be paid

a] Out of profits

b] Out of bank loan

c] Out of partners' capital

d] Out of partner's individual contribution

II. Fill in the blank

1] All assets (except cash/bank and fictitious assets) are transferred to the _____side of the realisation account.

2] All _____liabilities are transferred to the credit side of realisation account.

3] Accumulated losses are transferred to the capital account in _____ratio.

4] If a liability is assumed by a partner, such a Partner's Capital Account is to be_____.

5] If an asset is taken over by a partner such a partner capital account is to be____.

6] No entry is required when a_____ accepts a fixed asset in payment of his dues.

7] When the creditor accepts an asset whose value is much more than the amount due to him, the excess amount paid will be credited to the _____ Account.

8] When the firm has agreed to _____ the partner a fixed amount for realisation work irrespective of the actual amount spent, such fixed amount is debited to Realisation Account and Credited to Capital Account.

9] Partner's loan is _____ to the Realisation Account.

10] Partner's current accounts balances are transferred to respective Partners' _____ Account

III. Match the following

	A		B
a]	Breaking of relationship between some of the partners	i]	Death of a partner
b]	Dissolution by happening of contingencies	ii)	Dissolution of partnership
c]	Partners' loan	iii)	Debited to Partners' capital account
d]	Assets taken over by a partner	iv]	Debited to all partners' capital account
e]	profit on realization	v]	Settled by payment
		vi]	Credited to all partners' capital account

IV. Short answer Questions

1] State any one difference between dissolution of partnership and dissolution of partnership firm.

2] State any one order of settlement of accounts on dissolution.

3] State any one process of dissolution of partnership firm.

4] What is a realisation account?

5] How do you close a realisation account?

6] On what account does the realisation account differ from the revaluation account

7] State any one way of dissolution of partnership firm.

8] A firm is compulsorily dissolved when a partner decides to retire. (state true or false)

9] Court can order a firm to be dissolved when a partner becomes insane. (state true or false)

10] Dissolution of partnership cannot take place without intervention of the court. (state true or false)

11] Losses, including deficiency of capital shall be paid first out of capital of partners. (state true or false)

12] Realisation account is prepared to ascertain the net effect of assets realised and liabilities paid. (state true or false)

PART - D

Questions for 12 Marks:

1] Medha and Vidya are partners sharing profits and losses equally. Their Balance Sheet as on 31.3.2023 was as follows :

Balance Sheet as on 31. 3. 2023

Liabilities	₹	Asset		₹
Bills Payable	10000	Cash at Bank		15,000
Creditors	50,000	Debtors	55,000	
Sunanda's loan	25,000	Less: P.B.D.	3,000	52,000
Reserve fund	15,000	Stock		40,000
Capitals :Medha	60,000	Furniture		15,000
:Vidya	80,000	Machinery		25,000
		Buildings		81,000
		Profit and Loss A/c		12,000
	2,40,000			**2,40,000**

On the above date the firm was dissolved. The following information is available:

a] The assets realised as follows:
Debtors ₹ 52,000, Stock ₹ 39,000, Machinery ₹ 24,000,
Buildings ₹ 75,000 and Furniture ₹ 13000,

b] Creditors and Bills payable were paid @ 5% discount.

c] Dissolution expenses amounted to ₹ 4000.

Prepare:

i] Realisation Account

ii] Partners' Capital Accounts and

iii] Bank Account.

(Ans: Loss on Realization ₹ 11,000, Final capital balance paid: Medha ₹ 56,000, Vidya ₹ 76,000 and Bank A/c Total ₹ 2,18,000.)

2] Anand, Chandu and Vijay are partners sharing profits and losses in the ratio of 2:2:1. Their Balance Sheet on 31. 3. 2023 was as follows:

Balance Sheet as on 31. 3. 2023

Liabilities	₹	Assets	₹
Creditors	15,000	Cash in hand	5,000
Anand's loan	5,000	Cash at Bank	16,000
Bills payable	10,000	Debtors	25,000
Bank loan	8,000	Bills Receivable	5,000
Profit & Loss A/c	22,000	Investment	18,000
Capitals : Anand	20,000	Machinery	25,000
Chandu	20,000	Furniture	16,000
Vijay	10,000		
	1,10,000		**1,10,000**

On the above date the firm dissolved. The following information is available:

a] Assets Realised:
Debtors ₹24,000, Bills Receivable ₹4,000,
Investments ₹15,000, Machinery ₹22,000

b] Chandu took the furniture for ₹10,000.

c] Creditors and Bills Payable are paid at a discount of 5%.

d] Unrecorded Investment realised ₹4,000.

e] Dissolution expenses ₹2,250.

Prepare :

i] Realisation Account

ii] Partners' Capital Account and

iii] Bank Account.

(Ans: Loss on Realisation ₹ 11,000, Final capital balance paid: Anand ₹24,400 Chandu ₹14,400,Vijay ₹ 12,200 and Bank A/c Total ₹ 90,000.)

3] Anitha and Sunitha are partners sharing profits and losses equally. Their Balance Sheet as on 31. 3. 2014 was as follows :

Balance Sheet as on 31. 3. 2023

Liabilities	₹	Assets		₹
Bills Payable	6,000	Cash at Bank		6,000
Creditors	20,000	Debtors	28,000	
Anitha's loan	5,000	*Less* : P.B.D.	2,000	26,000
Vanitha's loan	5,000	Stock		40,000
Reserve fund	30,000	Investments		20,000
Capitals :		Furniture		14,000
Anitha	50,000	Buildings		60,000
Sunitha	50,000			
	1,66,000			**1,66,000**

On the above date the firm was dissolved. The following information is available:

a] The assets realised as follows :
Debtors ₹25,600, Stock ₹39,000, Building ₹66,000

b] Anitha took over 50% of investments at 10% less on its book value and remaining investments were sold at a gain of 20%.

c] Furniture was taken over by Sunitha at ₹12,000.

d] Anitha agreed to bear all Realisation expenses. For the service Anitha is paid ₹2,600. Actual Realisation Expenses amounted to ₹2,000.

Prepare :

i] Realisation Account

ii] Partners' Capital Accounts and

iii] Bank Account.

(Ans: Profits on Realisation ₹ 1,000, Final capital balance paid: Anitha ₹ 59,100 Sunitha ₹ 53,500 and Bank A/c Total ₹ 1,48,600)

4] Ramya, Kavya and Divya are partners sharing profits and losses in the ratio of 1:2:1. Their balance sheet as on 31.3.2023was as follows:

Balance sheet as on 31.3.2023

Liabilities	₹	Assets	₹
Creditors	20,000	Cash	15,000
Bills Payable	6,000	Debtors	15,000
Bank O/D	4,000	Stock	18,000
Reserve fund	8,000	Furniture	12,000
Vani's loan	5,000	Machinery	20,000
Capitals: Ramya	42,000	Buildings	60,000
Kavya	35,000		
Divya	20,000		
	1,40,000		**1,40,000**

On the above date they decided to dissolve the firm:

A] Assets realised as follows : Debtors ₹ 13500, Stock ₹ 19,800, Buildings ₹ 62,000, Vehicle which was unrecorded also realised ₹ 4,000 and Machinery realised at book value .

b] Furniture was taken over by Ramya at a valuation of ₹ 9000

c] Creditors were settled at 10% less. Divya took over Vani's loan.

d] Interest on Bank O/D due ₹ 400 was also paid off.

e] Realisation expenses amounted to ₹ 4,000.

Prepare:

1] Realisation A/c

2] Partners Capital Accounts and

3] Cash A/c

(Ans: Profits on Realisation ₹ 900, Final capital balance paid: Ramya ₹ 35,225. Kavya ₹ 39450, Divya ₹ 27,225 and Cash A/c Total ₹ 1,34,300.)

5] Shruti, Shilpa and Shreya were partners in a firm sharing profits and losses in the ratio of 2:2:1. They decided to dissolve the firm. Their Balance Sheet on the date of dissolution was as follows:

Balance Sheet as on 31. 3. 2023

Liabilities	₹	Assets	₹
Creditors	30,000	Cash at Bank	6,000
Bills payable	20,000	Debtors	30,000
Shreya's Loan	8,000	Stock	30,000
General Reserve	10,000	Furniture	22,000
Capitals:		Machinery	20,000
Shruti	40,000	Buildings	50,000
Shilpa	30,000		
Shreya	20,000		
	1,58,000		**1,58,000**

The assets realised as follows:

a] Debtors realised 10% less than the book value, the Stock realised 15% more than the book value, Buildings realised ₹60,000.

b] The Furniture was taken over by Shruti at ₹20,000.

c] The Machinery was taken over by Shilpa at ₹15,000.

d] Creditors and Bills Payable were paid off at a discount of 5%.

e] Cost of dissolution amounted to ₹1,500.

Prepare :

i] Realisation Account

ii] Partners Capital Accounts and

iii] Bank Account

(Ans: Profits on Realization ₹ 5,500, Final capital balance paid: Shruti ₹26,200, Shilpa ₹21,200, Shreya ₹23,100 and Bank A/c Total ₹ 1,27,500.)

6] The following is the Balance Sheet of Disha, Diya and Deepa as on 31.3.2023

Balance Sheet as on 31. 3. 2023

Liabilities	₹	Assets	₹
Creditors	15,000	Cash	6,500
Bills payable	1,800	Debtors	8,600
Reserve Fund	6,000	Investments	10,000
Capitls:		Stock	13,700
Disha	22,000	Furniture	5,100
Diya	12,000	Buildings	22,900
Deepa	10,000		
	66,800		**66,800**

It was decided to dissolve the partnership firm and the details available are:

a] Disha took over buildings at ₹27,750.

b] Deepa took over bills payable at book value.

c] The other assets realised as under:

Debtors ₹8,000, Investments ₹8,950, Stock ₹15,600 and Furniture ₹4,500.

d] Realisation expenses amounted to ₹600.

Prepare :

i] Realisation Account

ii] Partners' Capital Accounts and

iii] Cash Account.

(Ans: Profits on Realization ₹ 3,900, Final capital balance paid: Diya ₹15,300, Deepa ₹15,100, Disha brought in cash ₹2,450 and Cash A/c Total ₹ 46,600.

7] Rashmi and Geetha are partners sharing profits and losses in the ratio of 3 : 2. Their Balance Sheet as on 31-3-2023 is as follows :

Balance Sheet as on 31. 3. 2023

Liabilities	₹	Assets	₹
Sundry Creditors	10,000	Cash at Bank	5,000
Bills payable	10,000,	Bills Receivable	10,000
Rashmi's Loan	5,000	Sundry Debtors	20,000
Reserve Fund	10,000	Stock	15,000
Capitals:		Machinery	15,000
Rashmi	30,000	Furniture	10,000
Geetha	40,000	Goodwill	30,000
	1,05,000		**1,05,000**

On the above date the firm was dissolved.

a] The assets were realised as follows : Bills Receivable ₹7,500, Sundry Debtors and Stock @ 10% less than the book value, machinery realized 5% more than the book value, and Goodwill realised for ₹12,000.

b] Furniture was taken over by Geetha at ₹8,000.

c] Dissolution expenses were ₹600.

d] All the liabilities were discharged in full.

Prepare:

i] Realisation A/c

ii] Partners' Capital Accounts and

iii] Bank A/c

(Ans: Loss on Realisation ₹ 25,850, Final capital balance paid: Rashmi₹20,490, Geetha ₹25660, and Bank A/c Total ₹ 71,750.

8] X, Y and Z are partners sharing profits and losses in the ratio of 3:2:1. Their Balance Sheet as on 31.3.2023 was as follows:

Balance Sheet as on 31.3.2023

Liabilities	₹	Assets	₹
Capitals :		Machinery	40,500
X	30,000	Investments	20,830
Y	20,000	Stock in trade	17,550
Z	10,000	Joint Life Policy	14,000
Mrs.Y's loan	10,000	Debtors	8,700
Creditors	18,500	Profit and loss A/c	1,500
Life Policy Fund	14,000	Cash at bank	5,420
Investment Fluctuation fund	6,000		
	1,08,500		**1,08,500**

The firm was dissolved on the above date.

a] Joint life policy is surrendered for ₹12, 000. Machinery is realised for ₹55,000, Stock is realised for ₹15, 000, Debtors realised ₹6,150

b] Investments are taken over by Mr. X for ₹17, 500

c] Mr. Y agrees to discharge his wife's loan.

d] It is found that an investment not recorded in the books is worth ₹3,000. The same is taken over by one of the creditors.

e] Expenses of realisation amounted to ₹600.

Prepare:

i] Realisation A/c

ii] Partners' capital Accounts and

iii] Bank A/c

(Ans: Profits on Realization ₹ 26,470, Final capital balance paid: X ₹24,985, Y ₹38,323, Z ₹ 14,162 and Bank A/c Total ₹ 93,570.

9] Amara, Madhura and Prema are partners sharing profits and losses in the ratio of 2:1:1. Their Balance Sheet as on 31.3.2023 was as follows:

Balance sheet as on 31.3.2023

Liabilities		₹	Assets		₹
Bills payable		4,300	Cash in hand		1,000
Creditors		5,700	Bills Receivable		400
Capitals:			Stock		20,000
	Amara	30,000	Debtors	7,000	
	Madhura	20,000	Less: PBD	400	6,600
	Prema	20,000	Joint Life Policy		4,000
Joint Life Policy Fund		4,000	Machinery		50,000
			Prepaid Rent		2,000
		84,000			**84,000**

The firm was liquidated on the above date:

a] Amara took over Joint Life Policy for ₹5,000

b] Stock realised for ₹22,000, Debtors realised ₹4,100 and Machinery was sold for ₹58,000.

c] Bills on hand realised in full.

d] One bill for ₹500 under discount was dishonoured and had to be paid by the firm.

Prepare:

i] Realization A/c

ii] Partners' Capital Accounts and

iii] Cash A/c

(Ans : Profits on Realization ₹ 10,000, Final capital balance paid: Amara ₹30,000, Madhura ₹22,500, Prema ₹22,500 and Cash A/c Total ₹ 85,500)

10] Following is the Balance Sheet of Neha, Nisha and Nikki,who share profit and loss in Proportion of ½ , 1/3 and 1/6. They dissolved their firm on 31.3. 2023.

Balance Sheet as on 31. 3. 2023

Liabilities		₹	Assets		₹
Creditors		12,000	Cash		11,000
Bills Payable		13,000	Debtors	8,000	
Capitals :			Less: PBD	400	7,600
	Neha	20,000	Stock		12,400
	Nisha	15,000	Furniture		5,000
	Nikki	10,000	Motor Van		40,000
Profit and Loss Account		6,000			
		76,000			**76,000**

The details available are:

a] Assets realised as follows:

Debtors ₹ 10,800; Stock ₹ 16,000; Furniture ₹ 6,000; motor van ₹ 45,000.

b] Creditors and Bills payable were paid in full.

c] There was an outstanding bill for repairs which had to be paid for ₹ 200.

d) Expenses of realisation amounted to ₹ 600.

Prepare :

i] Realisation Account

ii] Partners' Capital Accounts and

iii] Cash Account.

(Ans: Profits on Realization ₹ 12,000, Final capital balance paid: Neha ₹ 29,000, Nisha ₹ 21,000, Nikki ₹ 13,000 and Cash A/c Total ₹ 88,800.)

11] Arun, Kiran and Arjun were partners sharing profits and losses equally. Their Balance Sheet as on 31. 3. 2023 was as follows :

Balance Sheet as on 31. 3.2023

Liabilities	₹	Assets	₹
Sundry Creditors	12,000	Cash at bank	6,000
Bank Loan	24,000	Bills Receivable	6,000
Arun's loan	22,000	Debtors	25,000
Reserve fund	12,000	Stock	20,000
Capitals : Arun	40,000	Investments	8,000
Kiran	30,000	Furniture	10,000
Arjun	20,000	Buildings	85,000
	1,60,000		**1,60,000**

On the above date the firm was dissolved. The following information is available:

a] The assets were realised as follows: Bills receivable ₹ 5,000, Debtors ₹ 23,500, Stock ₹ 18,000 and Buildings ₹ 95,000.

b] Investments were taken by Kiran at ₹ 10,000 and Furniture was taken over by Arjun at ₹ 8,000.

c] All the liabilities were paid in full.

d] Dissolution expenses amount to ₹ 2,500.

Prepare :

i] Realisation Account

ii] Partners' Capital Accounts and

iii] Bank Account.

(Ans: Profits on Realization ₹ 3,000, Final capital balance paid: Arun ₹ 45,000, Kiran ₹ 25,000, Arjun ₹ 17,000 and Bank A/c Total ₹ 1,47,500.)

12] Mohan, Nagaraju and Prakash are partners sharing profits and losses in the ratio of 4:3:2. Their Balance sheet as on 31. 3. 2023 was as follows :

Balance Sheet as on 31. 3. 2023

Liabilities	₹	Assets	₹
Creditors	25,000	Cash	9,000
Bills Payable	17,000	Debtors	27,000
Prakash's Loan	10,000	Stock	15,000
Reserve Fund	18,000	Investments	5,000
Capitals : Mohan	30,000	Furniture	14,000
Nagaraj	20,000	Buildings	40,000
Prakash	10,000	Goodwill	20,000
	1,30,000		**1,30,000**

On the above date the firm was dissolved and following information is available.

a] The assets realised as follows:
Debtors realised 10% less than the book value, Investments realized 20% more than the book value, Buildings realised ₹ 60,000, Stock realised ₹ 12,000 and Furniture sold for ₹ 15,000.

b] Goodwill is taken over by Mohan at ₹ 15,000

c] Creditors and Bills payable are settled at discount of 5% each.

d] Realisation expenses ₹ 2,000.

Prepare:

i] Realisation Account

ii] Capital Accounts of Partners and

iii] Cash Account.

(Ans: Profits on Realization 11,400, Final capital balance paid: Mohan ₹ 28067, Nagaraj ₹ 29,800, Prakash ₹ 16,563 and Bank A/c Total ₹ 1,26,300.)

13] Harish and Suresh are partners sharing profits and losses equally. They agreed to dissolve their partnership on 31.3.2023. Their Balance Sheet was as follows;

Balance Sheet as on 31. 3. 2023

Liabilities	₹	Assets		₹
Creditors	25,000	Cash at bank		14,000
Bills Payable	10,000	Bills Receivable		5,000
Suresh's Loan	10,000	Stock		18,000
Reserve fund	5,000	Debtors	25,000	
Capitals: Harish	40,000	Less: PBD	3,000	22,000
Suresh	30,000	Buildings		23,000
		Machinery		38,000
	1,20,000			**1,20,000**

On the above date firm was dissolved. The following information is available :

i] Stock ₹25,000, Debtors ₹20,000, Bills Receivable ₹4,000 and Machinery ₹ 33,000.

ii] Creditors are taken over by Harish at book value.

iii] Bills payable were paid by the firm at 5% discount.

iv] Suresh paid the realisation expenses of ₹1000 and he was to get a remuneration of ₹2,000 for completing dissolution process.

Prepare:

a] Realisation Account

b] Partners' Capital Accounts and

c] Bank Account.

(Ans: Realisation loss ₹2,500, Final Capital balances paid: Harish ₹66,250, Suresh ₹33,250 and Bank A/C Total ₹1,19,000.)

14] Appu, Abhi and Akash were partners in a firm sharing profit and losses in the ratio of 2:1:1. Their Balance Sheet on the date of dissolution was as follows:

Balance Sheet as on 31.3.2023

Liabilities	₹	Assets	₹
Creditors	20,000	Bank	8,000
Loan from Appu	5,000	Debtors	20,000
Loan from Akshay	2,000	Stock	25,000
P&L A/c	6,000	Furniture	10,000
Capital A/C		Machinery	15,000
Appu	20,000		
Abhi	15,000		
Akash	10,000		
	78,000		**78,000**

The following information is available:

a] The assets were realized as follows: Debtors realized at 10% less and stock realized 10% more than the book value

b] Furniture was taken over by Appu at an agreed value of ₹ 8000.

c] Machinery was taken over by Abhi at ₹ 12000.

d] Creditors were paid off at a discount of 5% each.

e] Cost of dissolution amounted to ₹ 500

Prepare:

a] Realisation A/c

b] Partners Capital Accounts and

c] Bank A/c

(Ans: Realisation loss ₹ 4,000, Final Capital balances paid: Kamal ₹ 13,000, Vimal ₹ 3,500, Nirmal ₹ 10,500, Bank A/C Total ₹ 53,500.)

15] Akash , Prithvi and Sagar are partners sharing profits and losses in ratio of 1/2, 1/3 and 1/6 . They agreed to dissolve their firm on 31.3.2023, on which date the Balance Sheet was as follows:

Balance Sheet as on 31.3.2023

Liabilities	₹	Assets	₹
Creditors	18,000	Cash in hand	6,000
Bills Payable	18,000	Bills Receivable	6,000
Akash's Loan	12,000	Stock	20,000
Capitals :		Debtors	25,000
Akash	45,000	Investment	8,000
Prithvi	30,000	Furniture	10,000
Sagar	15,000	Buildings	75,000
Reserve Fund	12,000		
	1,50,000		**1,50,000**

The following information is available.

a] Assets realised as follows : Bills Receivable □5,000, Stock □18,000, Furniture ₹ 8,000, Buildings ₹ 80,000, Investments ₹ 10,000.

b] Debtors for ₹ 2,500 proved to be bad.

c] All liabilities were paid in full.

d] Firm had to pay ₹ 3,000 for outstanding salary not provided for earlier.

e] Cost of dissolution amounted to ₹ 2,500.

Prepare:

1] Realisation A/c

2] Partners' Capital Accounts and

3] Bank A/c

(Ans: Realisation loss ₹ 6000, Final Capital balances paid: Akash ₹ 48000, Prithvi ₹ 32000 and Sagar ₹ 16000, Bank A/c Total ₹ 149500.)

16] The following is the Balance Sheet of Hari, Giri and Suri as on 31.3.2023:

Balance sheet as on 31.3.2023

Liabilities	₹	Assets		₹
Creditors	2,400	Cash		2,000
Bills Payable	5,400	Bank		4,000
Capitals :		Bills Receivable		4,000
Hari	10,000	Stock		9,400
Giri	11,000	Debtors	3,000	
Suri	6,200	Less :PBD	300	2,700
		Land and Buildings		12,000
		Profit and Loss A/C		900
	35,000			**35,000**

The firm is dissolved on the above date.

a] The assets realised as follows:

a. B/R ₹ 3,850.

b. Debtors 5% less than book value.

c. An unrecorded asset realised ₹ 150.

b] Suri took over Land and Buildings at 10% more than the book value.

c] The Bills Payable are taken over by Hari.

d] Expenses of realisation are ₹ 450.

Prepare:

1] Realisation A/c

2] Partners' Capital Accounts and

3] Bank A/c

***(Ans:* Realisation profits ₹ 900, Final Capital balances paid: Hari ₹ 15,400, Giri ₹ *11,000,* Suri brought in ₹ 7,000, Bank A/C Total ₹ 29,250.)**

17] Thanu and Sonu are partners sharing profits and losses in the ratio of 5:3 They agreed to dissolve their firm on 31.3.2023, on which date the Balance Sheet was as follows:

Balance Sheet as on 31.3.2023

Liabilities	₹	Assets	₹
Sundry Creditors	62,000	Cash at Bank	16,000
Bills Payable	32,000	Stock	75,000
Bank Loan	50,000	Sundry Debtors	55,000
Capitals :		Investments	70,000
Thanu	1,10,000	Motor Car	90,000
Sonu	90,000	Machinery	45,000
Reserve Fund	16,000	Fixtures	9,000
	3,60,000		**3,60,000**

On the above date the firm is dissolved and the following agreement was made:

Thanu agree to pay the bank loan and took away the sundry Debtor Sundry Creditors accepts Stock and paid ₹ 10,000 to the firm.

Machinery is taken over by Sonu for ₹ 40,000 and agreed to pay Bills Payable at a discount of 5%. Motor Car was taken over by Thanu for ₹ 60,000. Investment realized ₹ 76,000 and Fixtures ₹ 4,000. The expenses of realization amounted to ₹ 2,200.

Prepare: 1] Realisation A/c

2] Partners' Capital Accounts and

3] Bank A/c

(Ans: Realisation loss ₹ 37,600, Final Capital balances paid: Tanu ₹ 31,500, Sonu ₹ 72,300, and Bank A/C Total ₹ 1,06,000 .)

18] Appu, and Arasu were partners in a Firm. Their Balance Sheet as on 31.3.2023 was as follows:

Balance Sheet as on 31.3.2023

Liabilities	₹	Assets	₹
Creditors	10,000	Cash	5,000
Bills Payable	6,000	Debtors	15,000
Bank O/D	4,000	Stock	18,000
Mrs. Arasu's Loan	5,000	Furniture	12,000
Profit & Loss A/c	8,000	Machinery	20,000
Capitals:		Buildings	50,000
Appu	52,000	Goodwill	10,000
Arasu	45,000		
	1,30,000		**1,30,000**

On the above date, they decided to wind up the firm. The following information is available.

a] Debtors realied less 10%, stock realised 10% more and building realized ₹ 62,000. Vehicle which was unrecorded realised ₹ 4,000

b] Furniture was taken over by Anil at a valuation of ₹ 9,000.

c] Creditors to be settled at 10% less and interest on Bank O/D due ₹ 500 also to be paid off.

d] Arasu took over his wife's loan

e] Dissolution expenses amounted to ₹ 3,000

Prepare:

1] Realization A/c

2] Partners' Capital Accounts and

3] Cash A/c

(Ans: Realisation profits ₹ 800, Final Capital balances paid: Appu ₹ 47,400, Arasu ₹ 54,400, Cash A/C Total ₹ 1,24,300)

19] Ganga and Yamuna partners in a Firm, sharing profits and losses equally. They agreed to dissolve their firm on 31.3.2023, on which date the Balance Sheet was as follows:

Balance sheet as on 31.3.2023

Liabilities	₹	Assets	₹
Creditors	50,000	Cash at bank	25,000
Bills Payable	30,000	Bills Receivable	20,000
Reseve Fund	10,000	Stock	30,000
Capitals :		Debtors	40,000
Ganga	75,000	Buildings	50,000
Yamuna	60,000	Motor car	20,000
		Furniture	40,000
	2,25,000		**2,25,000**

a] Assets realised as follows:
Stock ₹30,400, B/R ₹19,000, Furniture ₹33,000, Debtors realised ₹42,600(with interest) and ₹2,000 were recovered for bad debts written off last year.

b] Ganga took over Buildings at ₹60,000, Yamuna agreed to take over motor car at ₹26,600

c] All the liabilities were paid in full

d] Realisation expenses were amounted to ₹5,000

Prepare:

1] Realisation A/c

2. Partners' Capital Accounts and

3. Bank A/c

(Ans: Realisation profits ₹8,600, Final Capital balances paid: Ganga ₹24,300, Yamuna ₹42,700, and Bank A/C Total ₹1,52,000.)

20] Anu and Tanu are partners sharing profits and losses 3:2 . They agreed to dissolve their firm on 31.3.2023 when their Balance Sheet was as follows:

Balance Sheet as on 31.3.2023

Liabilities		₹	Assets	₹
Capitals :			Machinery	70,000
Anu	90,000		Investments	50,000
Tanu	80,000	1,70,000	Stock	22,000
Reserve Fund		10,000	Sundry Debtors	1,03000
Creditors		60,000	Cash at bank	15,000
Bills Payable		20,000		
		2,60,000		**2,60,000**

The assets and liabilities were disposed of as follows:

a] Machinery were given to creditors in full settlement of their account and Stock were given to Bills Payable in full settlement.

b] Tanu took over Investments at book value. Sundry Debtors of book value ₹50,000 were taken over by Anu at 10% less and remaining Debtors realised ₹51,000.

c] Realisation expenses were amounted to ₹2,000

Prepare:

1] Realisation A/c

2] Partners' Capital Accounts and

3] Bank A/c

(Ans: Realisation Loss ₹21,000, Final Capital balances paid: Anu ₹38,400, Thanu ₹25,600, and Bank A/C Total ₹66,000.

21] Sanjay and Veneet are partners sharing profits and losses in the ratio of 3:2 . On 31.3.2023 their Balance Sheet was as follows:

Balance Sheet as on 31.3.2023

Liabilities		₹	Assets	₹
Capitals :			Plant	90,000
Sanjay	1,50,000		Debtors	60,000
Vineet	1,20,000	2,70,000	Furniture	32,000
Creditors		80,000	Stock	60,000
Bills Payable		30,000	Investments	70,000
			Bills Receivable	36,000
			Cash in hand	32,000
		3,80,000		**3,80,000**

On the above date the firm was dissolved. Sanjay was appointed to realise the assets. Sanjay was to receive 6% commission on the sale of assets (except cash) and was to bear all expenses of realisation.

a] Sanjay realised the assets as follows:
Plant ₹72,000, Debtors ₹54,000, Furniture ₹18,000, Stock 90% of book value, Investments ₹76,000 and Bills Receivable ₹31,000.

b] One of the Creditors for ₹1,300 did not claim the amount.

c] Expenses of realisation amounted to ₹4,500.

Prepare:

1] Realisation A/c

2] Partners' Capital Accounts and

3] Cash A/c

(Ans: Realisation Loss ₹ 60,000, Final Capital balances paid: Sanjay ₹ 1,27,800, Vineet ₹ 96,000 and Cash A/C Total ₹ 3,37,000.)

Key answer for short questions :

MCQ

1] c 2] d 3] b 4] b 5] c 6] a 7] b 8] c 9] 10]

11] a 12] c 13] d 14] a 15] b

True or False

8] F 9] T 10] F 11] F 12] T

FILL IN THE BLANKS

1] debit 2] external 3] profit sharing 4] credited

5] debited 6] creditor 7] realization 8] pay

9] not transferred 10] capital

MATCH THE FOLLOWING

a] ii b] i c] v d] iii e] vi

CHAPTER - 05

ACCOUNTING FOR SHARE CAPITAL

PART - A

One Mark Questions:

I] Multiple Choice Questions:

1] Equity share holders are :

a] Creditors

b] Customer of the company

c] Owners

d] Debtors

2] Nominal share capital is :

a] That part of the authorised capital which is issued by the company.

b] The amount of capital which is actually applied for by the prospective shareholders

c] The maximum amount of share capital which a company is authorized to issue.

d] The amount actually paid by the shareholders.

3] Interest on calls in arrears is charged according to "Table F" at:

a] 10%

b] 6%

c] 8%

d] 11%

4] Money received in advance from shareholders before it is actually called-up by the directors is :

a] Debited to calls in advance account

b] Credited to calls in advance account

c] Debited to calls account

d] Credited to calls account

5] Shares can be forfeited:

a] For non- payment of call money

b] For failure to attend meeting

c] For failure to repay the loan to the bank

d] For which shares are pledged as a security.

6] The profit on reissue of forfeited shares is transferred to :
a] general reserve
b] capital redemption reserve
c] capital reserve
d] revenue reserve

7] Balance of share forfeited account is shown in the balance sheet under the item :
a] Current liabilities and provisions
b] Reserves and Surplus
c] Share capital
d] Unsecured loan

8] Issue of share capital is a part of :
a] Reserve capital
b] Unissued capital
c] Authorised capital
d] Uncalled capital

9] Maximum numbers of members in a private company is
a] 40
b] 200
c] 70
d] 100

10] An instances when more applications are received than the number offered to the public
a] Less offers
b] over subscription
c] under subscription
d] More offer

11] Paid up capital is a part of
a] Called up capital
b] Reserve capital
c] Authorised capital
d] Subscribed capital

12] If a shareholder fails to pay call money, it is called
a] First call
b] Calls in advance
c] Calls in arrears
d] First and final call

13] From the date of issue of prospectus the company to get minimum subscription with in

a] 120 days

b] 130 days

c] 100 days

d] 125 days

14] The amount received in advance is a _____of the company.

a] Liability

b] Assets

c] Expenses

d] Income

II. Fill in the blanks:

1] A company is an _____person.

2] _____is the part of the issued capital.

3] The directors of a company must be a _____.

4] Call money received in advance I called_____.

5] _____is the minimum paid up capital of a Public Company.

6] Minimum paid up capital of a private company is _____

7] _____months must elapse between two calls.

8] _____is the minimum number of members in a private company.

9] Capital Reserve are created out of _____.

10] The amount of buy back of shares in any financial year should not exceed _____%of the paid up capital.

11] Profit on forfeiture of shares is transferred to_____ account.

III. MATCH THE FOLLOWING:

	A	B
1]	Equity shares	(i) unpaid calls
2]	Common seal	(ii) amount less than the nominal/face value of shares
3]	Shares	(iii) excess amount
4]	Prospectus	(iv) liability of the company
5]	Subscribed capital	(v) steps in the procedure of share issue
6]	Allotment of shares	(vi) part of issued capital
7]	premium	(vii) fractional part of the capital

8] calls in Arrears	(viii) ordinary shares
9] calls in advance	(ix) an invitation to the public by new company
10] issue of shares at discount	(x) official signature of the company

IV. VERY SHORT ANSWER QUESTIONS:

1] State any one kind of company.
2] What is issued capital?
3] What is buy-back of shares?
4] Share application account is a liability account.(true or false)
5] When the Reserve Capital is used?
6] What is Over subscription?
7] What is under subscription?
8] What is issue of shares at Par?
9] What is issue of shares at Premium?
10] When the shares are forfeited?
11] State any one type of shares.
12] Expand OPC.
13] Share application account is a liability account. (true/false)
14] Company's share are generally transferable (true/ false)
15] Paid up capital may exceed called capital. (true/false)
16] Forfeiture of shares is cancellation of the rights of shareholders. (true/false)
17] The Articles of the Association must authorize the company for the buy-back of shares. (true/false)

PART-B

1] What is company?
2] State any two features of company.
3] What is Prospectus?
4] What is calls in arrears?
5] Stat any two methods of issue of shares.
6] What is issue of shares for consideration other than cash?
7] What is forfeiture of shares?
8] Give the journal entry for transfer of profit on re-issue of forfeited shares.
9] Name any two categories of share capital.
10] Give the journal entry for transfer of Share application money.

12 MARKS PROBLEMS

1] Konica company Ltd., issued 10,000 shares of □100 each. The amount was payable as follows:

₹ 10 per share on application

₹ 40 per share on allotment

₹ 50 per share on first and final call.

All the shares were allotted and money duly received except the first and final call on 2000 shares. The directors forfeited these shares and re-issue at ₹ 80 per share as fully paid up.

Pass the necessary journal entries in the books of Konica Company Ltd.

2] White company ltd., issued ₹ 20,000 equity shares of ₹ 10 each. The amount payable is as follows:

₹ 2 per share on application

₹ 3 per share on allotment

₹ 5 per share on first and final call.

All shares were subscribed and the money duly received except the first and final call on 500 shares. The directors forfeited these shares and then these forfeited shares were re issued at ₹ 7 per share as fully paid up.

Pass the necessary journal entries.

3] 'Z' co. Ltd., has a Registered Capital of ₹ 5,00,000 divided into equity shares of ₹ 10 each. Of these, 40,000 shares were issued to the public. The amount was payable as follows:

On application ₹ 2

On allotment ₹ 5

On first and final call ₹ 3

All the shares were subscribed and the money duly received except the first and final call on 2000 shares. These shares were forfeited and re-issued at ₹ 8 per share as fully paid –up. Pass the journal entries in the books of the company.

4] GN company Ltd., issued 10,000 equity shares of ₹ 10 each, payable as follows:

₹ 3 per share on application,

₹ 3 per share on allotment

₹ 4 per share on first and final call.

All the share were subscribed and the money duly received with the exception of first and final call on 1000 shares. The directors forfeited these shares and reissued them at ₹ 9 per share as fully paid up.

Pass the necessary journal entries in the books of the company.

5] The Gama Company Ltd issued 60,000 Equity Shares of ₹ 10 each. share payable as follows:

On application	₹ 3
On allotment	₹ 3
On first and final call	₹ 4

All the Shares were subscribed and the money duly received except the first and final call money on 1,500 shares held by Mr. Sudesh. These Shares were forfeited and only were re-issued to Mr. Naresh at ₹ 8 per share, as fully paid.

Pass the necessary journal entries.

6] 'A' Company issued 5,000 Equity shares of ₹ 100. The amount was payable as follows:

On application	₹ 20
On allotment	₹ 40
On first call and final call	₹ 40

All the shares were subscribed and the money duly received except final call money on 200 Equity Shares held by Dinesh. These shares were forfeited and then re-issued to Mahesh at ₹ 80 per share, fully paid-up.

Pass the journal entries.

ISSUE OF SHARES AT PREMIUM
(WITH FORFEITURE AND REISSUE)

1] Supreme co. ltd., issued 10,000 shares of ₹ 100 each at a premium of ₹ 10 per share. The amount was payable as follows:

On application ₹ 20 per share

On allotment ₹ 50 per share (including premium)

On first and final call ₹ 40 per share

All the shares were subscribed and the money duly received except the first and final call on 500 shares. The Directors forfeited these shares and reissued them as fully paid at ₹ 80 per share.

Pass the necessary journal entries in the books of the Supreme company.

2] Estrun co. Ltd., issued 40,000 equity shares of ₹ 10 each at a premium of ₹ 2 per share. The amount was payable as follows.

₹ 2 on application

₹ 6 on allotment (including premium)

₹ 4 on first and final call

All the shares were subscribed and the money duly received except the first and final call on 2000 equity shares. The directors forfeited these shares and reissued them as fully paid up at ₹ 8 per share.

Pass the necessary journal entries in the books of the company.

3] XYZ Co. Ltd. issued 30,000 equity shares of ₹ 10 each at a premium of Re.1 per share to the public. The amount payable was payable as follows:

₹ 2 on application

₹ 5 on allotment (including premium)

₹ 4 on first and final call

All the shares were subscribed and the money duly received except the first and final call on 2,000 shares. The Directors forfeited these shares and re-issued them as fully paid-up at ₹ 8 per share. Pass the necessary Journal entries in the books of a company.

4] Sun India Ltd. issued 20,000 Equity Shares of ₹ 100 each at premium of ₹ 10 each.

The amount payable was as follows:

₹ 20 on application

₹ 50 on allotment (including premium)

₹ 40 on first and final call

All the shares were subscribed and money duly received except the first and final call on 1,000 shares. The Directors forfeited these shares and re-issued them as fully paid at ₹ 90 per share.

Pass the journal entries regarding issue, forfeiture and reissue of Equity Shares.

5] Harsha Co. Ltd. issued 10,000 Preference Shares of ₹ 100 each at a premium of ₹ 5 per share, the amount was payable as follows:

₹ 10 on application

₹ 50 on allotment (including premium)

₹ 45 on first and final call

All the shares were subscribed and the money duly received except the first and final call on 500 shares. The Directors forfeited these shares and re-issued at ₹ 80 each fully paid. Pass the necessary Journal entries in the books of the company.

6] Mandya Sugar Co. Ltd. issued 40,000 equity shares of ₹ 10 each premium of

₹ 2 per share. The amount was payable as follows:

₹ 2 on application

₹ 6 on allotment (including premium)

₹ 4 on first and final call

All the shares were subscribed and the money duly received except the first and final call on 2,000 equity shares. The Directors forfeited these shares and re-issued them as fully paid-up at ₹ 8 per share. Pass the necessary Journal entries in the books of the company.

7] Sagar Company Ltd. issued 10,000 shares of ₹ 100 each at a premium of ₹ 10 per share. The amount was payable as follows:

On applications	₹ 20
On allotments	₹ 50(including premium)
On First and Final call	₹ 40

All the shares were subscribed and the money duly received except the first and final call on 500 shares. The Directors forfeited these shares and re-issued them as fully paid at ₹ 80 per share. Pass the Journal entries in the books of the company.

8] The Rajesh Trading Company Ltd issued 10,000 shares of ₹ 10 each at premium of
₹ 2 per share payable as follows:

On application	₹ 2
On allotment	₹ 6[including premium]
On first and final call	₹ 4

All the shares were subscribed and the money duly received except the first and final call on 1,000 shares. These shares were forfeited and only 800 shares are re-issued at ₹ 8 each as fully paid-up.
Pass the journal entries in the books of the company.

9] A Mining Company Ltd, invited applications for 50,000 equity shares of ₹ 100 each at premium ₹ 10 per share. The amount was payable as follows:

On application	₹ 20
On allotment	₹ 60 [including premium]
On first and final call	₹ 30

All the shares were subscribed and money duly received with the exception of the first and final call on 5,000 shares and the Directors forfeited these shares and re-issued as fully paid at ₹ 70 per share. Pass the journal entries in the books of the company.

OVER SUBSCRIPTION

ISSUE OF SHARES AT PAR (FROFEITURE AND REISSUE)

1] HB co. ltd., issued 10,000 equity shares of ₹ 100 each. The amount was payable is as follows:

On application ₹ 20

On allotment ₹ 30

On first and final call ₹ 50

Application were received for 12000 shares. Excess application money refunded. The money was duly received except the first and final call on 1000 shares. The directors forfeiture these share and reissued at ₹ 80 per share as fully paid up.

Pass the necessary journal entries in the books of the company.

2] Excellent Company Ltd., issued 10,000 Equity shares of ₹ 10 each. The amount was payable as follows:

On application ₹ 2

On allotment ₹ 3 and

On first and final call ₹ 5

Application were received for 12,000 Equity shares. The directors refunded excess application money on 2000 Shares. All the money was duly received except the first and final call money on 1000 shares held by Niraj. His shares were forfeited by the Directors of the company. These shares were re-issued at ₹ 8 per share as fully paid.

Pass the necessary journal entries.

3] Avtar Company Ltd., has a Registered capital of ₹ 5,00,000 divided into equity shares of ₹ 10 each of these, 40,000 shares were issued to the public. The amount was payable as follows:

₹ 2 on application

₹ 5 on allotment and

₹ 3 on first and final call.

Application were received for 45,000 shares. Excess money on 5000 shares were refunded and the money was duly received except the first and final call on 500 shares held by Tejas. The directors forfeited these share and re-issued to Sanjay at ₹ 8 per share as fully paid up.

Pass the necessary journal entries in the books of Avtar co. Ltd.,

4] ABC company Ltd., issued 20,000 Equity shares of ₹ 10 each. The amount was payable is as follows:

On application ₹ 2

On allotment ₹ 3

On first and final call ₹ 5

Applications were received for 25,000 shares, excess money application money refunded and the money was duly received except the first and final call on 500 shares held by Akash. The Directors forfeited these share and then re issued to sagar at ₹ 7 per share as fully paid-up.

Pass the necessary journal entries.

5] AB co. ltd., issued 10,000 equity shares of ₹ 100 each. The amount was payable is as follows:

On application ₹ 2

On allotment ₹ 3

On first and final call ₹ 5

Application were received for 12000 shares. Excess application money refunded. The money was duly received except the first and final call on 500 shares. The directors forfeiture these share and reissued at ₹ 8 per share as fully paid up.

Pass the necessary journal entries in the books of the company.

UNDER SUBSCRIPTION

ISSUE OF SHARES AT PAR (FROFEITURE AND REISSUE)

1] Sunshine Company Ltd., issued 10,000 shares of ₹ 10 each payable as follows:

₹ 3 per share on application

₹ 3 per share on allotment

₹ 4 per share on I and final call

The company received applications for only 9000 shares and all the shares were allotted and the money duly received except the first and final call on 500 shares. These share were forfeited and re issued to Madhu as fully paid at ₹ 9 per share.

Give necessary journal entries in the books of the company.

2] Novelties Ltd., invited applications for 10,000 shares of ₹ 100 each payable as follows:

On Application	₹ 25
On allotment	₹ 40
On first and final call	₹ 35

The application received for only 9000 shares and all the shares were allotted and the money duly received except the first and final call on 100 shares. These shares were forfeited and reissued at ₹ 9 per share fully paid. Give necessary journal entries in the books of the company.

3] Anand company Ltd., issued 10,000 shares of ₹ 100 each. The net amount payable as follows:

₹ 20 on application

₹ 40 per share on allotment

₹ 40 on share first and final call

The application received for only 9000 shares and a shareholder holding 200 shares did not pay final call. His shares were forfeited. All the shares were reissued to Mr. Rakshith at ₹ 75 per share. Give journal entries in the books of the company.

4] Fine art Co. Ltd., issued 50,000 shares of ₹ 10 each to public. The amount payable as follows:

On application	₹ 4
On allotment	₹ 3
On first call and final call	₹ 3

The application received for only 45000 shares All the shares were subscribed and the money duly received except final call money on 500 shares. These shares were forfeited and then re-issued at ₹ 8 per share, fully paid-up.

Pass the journal entries.

5] Fine art Co. Ltd., issued 50,000 shares of ₹ 100 each to public. The amount payable as follows:

On application	₹ 20
On allotment	₹ 40
On first call and final call	₹ 40

The application received for only 45000 shares All the shares were subscribed and the money duly received except final call money on 500 shares. These shares were forfeited and then re-issued at ₹ 8 per share, fully paid-up.

Pass the journal entries.

Key answer for short questions :

MCQ

1. b. 2. c. 3. a. 4. b. 5. a. 6. c. 7. c. 8. c. 9. b. 10. b. 11. a.
12. c. 13. a`. 14. a.

FILL IN THE BLANKS

1. Artificial 2. Subscribed capital 3. Shareholders 4. Calls in advance
5. 5 lakhs 6. 1 lakh 7. One 8. Two
9. Capital profit. 10 . 25 11. Capital reserve

MATCH THE FOLLOWING

1] viii 2] x 3] vii 4] iv 5] vi 6] v 7] iii 8] i 9] iv 10] ii

CHAPTER - 06

ISSUE AND REDEMPTION OF DEBENTURES

PART - A

One Mark Questions:

I] Multiple Choice Questions:

1] Debentures which are transferable by mere delivery are:

a] Registered debentures

b] First debentures

c] Bearer debentures

d] Secured debentures

2] Debenture holders are

a] Owners of the company

b] Lenders of the company

c] Debtors of the company

d] Trustees of the company

3] Excess value of net assets over purchase considerations at the time of purchase of business is credited to:

a] General reserve

b] Capital reserve

c] Vendor's account

d] Assets account.

4] Own debentures are those debentures of the company which:

a] The company allots to its own promoters

b] The company allots to its Director

c] The company purchases from the market and keeps them as investment

d] The company allots to the public.

5] Premium on Redemption of Debentures A/C is _____ A/c

a] Assets

b] Income

c] Liability

d] Expenses

6] loss on issue of debentures is treated as:

a] intangible assets

b] currents assets

c] current liability

d] miscellaneous expenses

7] in the event of liquidation of the company, the debenture holders have priority

a] interest

b] principal amount

c] both (a) and (b) above

d] discount

8] debentures cannot be redeemed at:

a] premium

b] Discount

c] Par

d] More than 10% premium

9] Debentures cannot be redeemed out of:

a] Profits

b] Provisions

c] Capital

d] Reserves

10] A company issued 2,000, 8% debentures of ₹ 100 each at par value redeemable at 10% premium. 8% stands for:

a] Rate of Dividend

b] Rate of tax

c] Rate of interest

d] Rate of TDS

11] X company Ltd, purchased machinery for ₹ 20,000, payable ₹ 6,500 in cash and the balance by issue of 12% debentures of ₹ 100 each at a discount of 10%. How many debentures would be required to issue to the vendor?

a] 155 debentures of ₹ 100 each

b] 150 debentures of ₹ 100 each

c] 135 debentures of ₹ 100 each

d] 145 debentures of ₹ 100 each

12] XYZ company Ltd issued 5,000 6% debentures of □100 each at Par and are redeemable at 10% premium. Premium on redemption will be debited at the time of issue of debentures to:

a] Loss on Issue of Debentures A/c

b] Share Discount A/c

c] Security premium A/c

d] General reserve A/c

13] Methods of Redemption of Debentures are:

a] By annual drawings

b] By profit

c] By payment in lump sum

d] By using general reserve fund

14] If the market price of the Debentures is more than the face value, at the time of Redemption this will be a capital loss and is transferred to;

a] Capital reserve

b] General reserve

c] Profit on redemption of Debentures

d] Loss on Redemption of Debentures

15] The following journal entry appears in the books of a company.

Bank A/c	Dr. 9,50,000
Loss on issue of debentures A/c	Dr. 1,50,000
To 8% Debentures A/c	10,00,000
To premium on Redemption of debentures A/c	1,00,000

In this case, Debentures are issued at a discount of _____%

a] 15%

b] 5%

c] 10%

d] 8%

II. FILL IN THE BLANKS:

1] Debentures issued as collateral security will be debited to _____A/c

2] Discount on issue of debentures is a _____ assets

3] Coupon rate is ___ at which the amount is paid by the company on its debentures.

4] When all the debentures are redeemed, Debenture redemption reserve A/c is credited to _____A/c.

5] NBFC registered with the RBI create redemption reserve equivalent to at least _____ of the value of outstanding debentures issued through public issue.

6] Withdrawal from Debenture Redemption Reserve is permissible only after _____ of debentures have been redeemed.

7] In case of conversion of the debentures into shares, Debenture holders' A/c is debited and _____ A/c is credited.

8] If own debentures are purchased by the company for the _____ purpose, own debentures will be shown as an asset in the Balance Sheet.

9] Debentures which are transferable by mere delivery are called _____ debentures.

10] Debentures A/c is shown under the head _____ in the Balance Sheet.

III. MATCH THE FOLLOWING

A	B
1] secured debentures	(i) discharge of liability
2] Irredeemable debentures	(ii) Capital loss
3]discount on issue of debenture is	(iii Terms of issue of debentures
4] Issued at par and redeemable at par	(iv) perpetual debentures
5] redemption of debentures	(v) type of debentures

IV. VERY SHORT ANSWER QUESTIONS:

1] What is meant by Debentures?

2] What is bond?

3] What is coupon Rate?

4] What do you mean by Zero coupon rate debentures?

5] What is meant by issue of debentures for consideration other than cash?

6] What do you mean by the issue of debentures as a collateral security?

7] Name any one method of redemption of debentures.

8] What do you mean by redemption of debentures?

9] Expand D R R.

10] Expand D R F I.

11] Expand A I F Is.

12] State any one type/kind of debentures.

13] Debenture holders are not the members of the company.

14] Redemption of debentures is made by the company is accordance with the terms of issue. [State True or False]

15] A company can issue irredeemable debentures. [State True or False]

16] Debenture is a part of loaned capital. [State True or False]

17] Debenture holders have voting rights. [State True or False]

18] Debentures bear fixed interest. [State True or False]

19] Debentures cannot be issued at a discount for more than 10% of the face value. [State True or False]

20] Loss on issue of debentures is a revenue loss. [State True or False]

PART-D

12 MARKS PROBLEMS

1] Give the journal entries for the following:

a] Issue of ₹ 2,00,000, 10% debentures of ₹ 100 each at par and redeemable at a premium of 5%.

b] Issue of ₹ 2,00,000, 10% debentures of ₹ 100 each at a discount of 5% but redeemable at a par.

c] Issue of ₹ 2,00,000, 10% debentures of ₹ 100 each at a premium of 5% and redeemable at a par.

d] Issue of ₹ 2,00,000, 10% debentures of ₹ 100 each at a premium of 5% and redeemable at a premium of 5%.

2] Pass the journal entries for the followings:

a] Issue of ₹ 50,000, 8% debentures of ₹ 100 each at a discount of 10% and redeemable at a par.

b] Issue of ₹ 50,000, 8% debentures of ₹ 100 each at a premium of 10% and redeemable at a par.

c] Issue of ₹ 50,000, 8% debentures of ₹ 100 each at a premium of 10% and redeemable at a premium of 10%.

d] Issue of ₹ 50,000, 8% debentures of ₹ 100 each at a discount of 10% and redeemable at a premium of 10%.

3] Give the necessary journal entries for the following:

a] Issue of ₹ 1,00,000, 10% debentures of ₹ 100 each at a discount of 10% and redeemable at par.

b] Issue of ₹ 2,00,000, 10% debentures of ₹ 100 each at a premium of 10% and redeemable at a premium of 10%.

c] Issue of ₹ 3,00,000, 10% debentures of ₹ 100 each at a premium of 10% but redeemable at par.

d] Issue of ₹ 4,00,000, 10% debentures of ₹ 100 each at par and redeemable at a premium of 10%.

4] Pass the necessary journal entries for the followings:

a] Issue of 300, 8% debentures of ₹ 100 each at a premium of 10% and redeemable at a par.

b] Issue of 300, 8% debentures of ₹ 100 each at par but redeemable at a premium of 10%.

c] Issue of 300, 8% debentures of ₹ 100 each at a discount of 10% and redeemable at a premium of 10%.

d] Issue of 300, 8% debentures of ₹ 100 each at a premium of 5% and redeemable at a premium of 5%.

5] Give the journal entries for the followings:

a] Issue of 1000, 12% debentures of ₹ 100 each at par but redeemable at a premium of 8%.

b] Issue of 1000, 12% debentures of ₹ 100 each at par and redeemable at par.

c] Issue of 1000, 12% debentures of ₹ 100 each at a discount of 10% but redeemable at par.

d] Issue of 1000, 12% debentures of ₹ 100 each at a discount of 5% but redeemable at a premium of 5%.

Problems on Issue of Debentures and Debentures interest

1] Alpha Company Ltd issued 1,000, 10% debentures of ₹ 100 each on April 01, 2016 at a discount of 10% redeemable at a premium of 10%. Pass journal entries relating to the issue of debentures and debentures interest for the period ending March 31, 2017 assuming that interest was paid half yearly on September 30 and March 31 and tax deducted at source is 10%.

2] Suvidha Company Ltd issued 3,000, 8% debentures of ₹ 100 each on April 01, 2016 at par and redeemable at a premium of 5%. Give journal entries relating to the issue of debentures and debenture interest assuming that interest was paid annually on 31st March 2017 and 31stMarch 2018 for two years and tax deducted at source is 20%.

3] XYZ Company Ltd. issued 2,000, 12% debentures of ₹ 100 each on April 01, 2016 at a premium of 10% and redeemable at par. Give journal entries relating to the issue of debentures and debenture interest assuming that interest was paid annually on 31st March 2017 and 31st March 2018 for two years and tax deducted at source is 20%.

4] ABC Company Ltd issued 1,000, 9% debentures of ₹ 100 each on April 01, 2016 at a discount of 10 and redeemable at par. Give journal entries relating to the issue of debentures and debenture interest assuming that interest was paid half yearly on September 30thand March 31st and tax deducted at source is 30%.

5] MN Company Ltd issued 3,000, 8% debentures of ₹ 100 each on April 01, 2016 at par and redeemable at a premium of 5%. Give journal entries relating to the issue of debentures and debenture interest assuming that interest was paid annually on 31st March 2017 and 31stMarch 2018 for two years and tax deducted at source is 20%.

Problems on Redemption of Debentures (payment in lump-sum)

1] Pass necessary journal entries at the time of Redemption of Debentures in each of the following cases.

a] **A** Company Ltd., issued 10,000, 8% debentures of ₹ 100 each at par and redeemable at par at the end of five years out of capital.

b] **B** Company Ltd., issued 4,000, 12% debentures of ₹ 100 each at par. These debentures are redeemable at 10% premium at the end of four years.

c] **C** Company Ltd., issued 10% debentures of the total face value of ₹ 3,00,000 at a premium of 5% to be redeemed at par at the end of four years.

d] **D** Company Ltd., issued ₹ 2,00,000, 10% debentures at a discount of 5% but redeemable at a premium of 5% at the end of 5 years.

e] **E** Company Ltd., issued 1,000, 8% debentures of ₹ 100 each at a premium of 5% to be redeemed at par at the end of 4 years.

2] Give the necessary journal entries at the time of Redemption of Debentures for the following transactions.

a] **P** Company Ltd., issued 10% debentures of the total value of ₹ 2,00,000 at a premium of 5% to be redeemed at par at the end of four years.

b] **Q** Company Ltd., issued 15,000, 9% debentures of ₹ 100 each at par and redeemable at par at the end of five years.

c] **R** Company Ltd., issued 5,000, 12% debentures of ₹ 100 each at par. These debentures are redeemable at 10% premium at the end of four years.

d] **S** Company Ltd., issued 8% debentures of ₹ 4,00,000 at a premium of 10% to be redeemed at par at the end of four years.

e] **T** Company Ltd issued ₹ 2,00,000,12% debentures at a discount of 5% but redeemable at a premium of 5% at the end of 5 years.

3] Pass necessary journal entries at the time of Redemption of Debentures in each of the following cases.

A Company Ltd., issued 10,000, 8% debentures of ₹ 100 each at par and redeemable at par at the end of 5 years out of capital.

B Company Ltd., issued 4,000, 12% debentures of ₹ 100 each at par. These debentures are redeemable at 10% premium at the end of 4 years.

C Company Ltd., issued 10% debentures of the total face value of ₹ 2,00,000 at a premium of 5% to be redeemed at par at the end of four years.

D Company Ltd., issued ₹ 3,00,000, 10% debentures at a discount of 5% but redeemable at a premium of 5% at the end of 5 years.

E Company Ltd., issued 1,000, 8% debentures of ₹ 100 each at a premium of 5% to be redeemed at par at the end of 4 years.

4] Give the necessary journal entries at the time of redemption in each of the following cases:

a] X Ltd., issued 5,000, 9% debentures of ₹ 100 each at Par and redeemable at par at the end of 5 years out of capital.

b] X ltd., issued 1,000, 12% debentures of ₹ 100 each at par. These debentures are redeemable at 10% premium at the end of 4 years.

c] X Ltd. Issued 12% debentures of the total face value of ₹ 1,00,000 at Premium of 5% to be redeemed at par at the end 4 years.

d] X ltd. Issued ₹ 1,00,000, 12% debentures at a discount of 5% but redeemable at a premium of 5% t the end of 5 years.

e] X Ltd., issued 4,000, 10% debentures of ₹ 100 each at Par and redeemable at par at the end of 4 years out of capital.

5] Give the necessary journal entries at the time of redemption in each of the following cases:

a] Ganga Company Ltd., issued 10,00, 8% debentures of ₹ 100 each at par and redeemable at par at the end of 5 years out of capital.

b] Tunga ltd., issued 1,000, 12% debentures of ₹ 100 each at par. These debentures are redeemable at 10% premium at the end of 4 years.

c] Yamuna Company Ltd., issued ₹ 3,00,000, 10% debentures at a discount of 5% but redeemable at a premium of 5% at the end of 5 years.

d] Bhadra Co. Lltd. Issued 12% debentures of the total face value of ₹ 2,00,000 at Premium of 5% to be redeemed at par at the end 4 years.

Kaveri Company Ltd., issued 1,000, 10% debentures of ₹ 100 each at a premium of 5% to be redeemed at par at the end of 4 years.

Key answer for short questions :

MCQ

1. c. 2. b. 3. b. 4. c. 5. c. 6. d. 7. c. 8. b. 9. b. 10. c. 11. b.
12. a. 13. c. 14. d. 15. b

FILL IN THE BLANKS

1. Debentures 2. Fictitious 3. Rate of interest 4. General reserve
5. 25%, 6.10% 7.Share capital 8. Investment 9. Bearer
10. Long term borrowings

MATCH THE FOLLOWING

1] v 2] iv 3] ii 4] iii 5] i

CHAPTER - 07

FINANCIAL STATEMENTS OF A COMPANY

PART - A

One Mark Questions:

I] Multiple Choice Questions:

1] Balance sheet of a company is required to be prepared in the format given in _____

a] Schedule III Part II

b] Schedule III Part I

c] Schedule III Part III

d] Schedule III Part IV

2] Which of the following is not required to be prepared under the Companies Act?

a] Statement of Profit and Loss

b] Balance Sheet

c] Report of Director's and Auditor's

d] Fund flow statement

3] External users of financial statements do not include:

a] Shareholders

b] Banks

c] Creditors

d] Government

4] Securities premium reserve appears in a company's balance sheet under:

a] Share Capital

b] Long- term provisions

c] Reserves and Surplus

d] Short-term provisions

5] 8% Debentures appear in a company's balance sheet under the sub head _

a] Long-term provisions

b] Long-term borrowings

c] Other current liabilities

d] Other long-term liabilities

6] Which of the following is shown under the head “fixed assets”?

a] Inventories

b] Trade receivables

c] Cash and cash equivalents

d] Goodwill

7] Non-current assets are:

a] Expected to use in the business for long period

b] Involved in entities operating cycle

c] Primarily held for trading

d] Cash and cash equivalents

8] Current Assets does not include:

a] Short term investments

b] Inventories

c] Buildings

d] Cash and cash equivalents

9] Current liabilities are to be paid within_____ month

a] 3 months.

b] 6 months.

c] 9 months.

d] 12 months.

10] Short-term borrowings appear in a company’s Balance Sheet under the head

a] Current Assets

b] Current Liabilities

c] Non-Current Liabilities

d] Non-Current Assets

II. Fill in the blanks:

1] _____ statements are the basic and formal annual report.

2] Financial statements include_____ and Balance sheet.

3] Income statement and _____ are the financial statements.

4] The object of preparation of balance sheet is to ascertain the_____.

5] Income statement is prepared to ascertain_____.

6] Share capital appears under the head_____.

7] Capital reserve is shown under_____ head.

8] Debit balance of statement of profit and loss shall be shown as _____ figure under surplus head.

9] Loans which are repayable within _____months are called as short term borrowings.

10] Fixed assets are classified as tangible and _____ assets.

III. Match the following

	A	B
a]	Financial statements	i) Purchases of goods
b]	Long-term borrowings	ii) Employee Benefit Expenses
c]	Provision for taxation	iii) Formal annual reports
d]	Revenue from operations	iv) Debentures
e]	Purchase of Stock-in-trade	v) Sale of products
		vi) Short-term provisions

Very Short Answer Questions:

1] Name any one type of financial statements.

2] State any one feature of financial statements.

3] Name any one internal user of financial statements.

4] Write any one objective of financial statements.

5] State any one type of reserve.

6] Give an example for non-current asset.

7] Where do you record the money received against share warrants?

9] How do you treat credit balance of income statement under the head surplus?

10] Write any one feature of current asset.

11] How do you treat preliminary expenses?

12] The original cost is the basis of recording transactions. (State true or false)

13] Going concern postulates assumes that the enterprise exists for a longer period of time. (State true or false)

14] The financial statements do not show current financial condition of a business. (State true or false)

15] While preparing financial statements, inventories valued at market price or cost price whichever is less. (State true or false)

16] Rounding off of figures in financial statements is not mandatory. (State true or false)

PART-B

1] Give the meaning of financial statements.

2] Mention two types of financial statements.

3] State any two features of financial statements.

4] Write any two objectives of financial statements.

5] State any two benefits of financial statements.

6] Give any two limitations of financial statements.

7] State any 2 postulates.

8] How will you disclose the following items in the Balance Sheet of a Company?

a] Loose Tools

b] Proposed dividends.

9] State any two differences between current assets and non-current assets.

10] Mention any two items which are shown under the head of non-current liabilities.

PART-C

1] From the following information prepare statement of profit and loss for the year ended 31-03-2024 as per Schedule III of Companies Act, 2013.

Particulars	₹
Revenue from operations	5,00,000
Purchase of goods	3,00,000
Salaries to employees	40,000
Leave encashment	10,000
Rent and taxes	30,000
Repairs to machinery	20,000
Tax	30%

(Answer: ₹ 70,000)

2] From the following details you are required to prepare Statement of Profit and Loss for the year ended 31-03-2024 as per Schedule III of Companies Act, 2013.

Particulars	₹
Plant and Machinery	40,000
Furniture	20,000
Share Capital	4,00,000
Sales	3,00,000
Purchases	1,80,000

Trade payables	30,000
Depreciation on plant and machinery	4,000
Amortisation of goodwill	6,000
Interest on debentures	30,000
Interest on borrowings	20,000
Tax	30%

(Answer: ₹ 42,000)

3] From the following balances, prepare Statement of Profit and Loss for the year ending 31st March 2024 as per Schedule III of Companies Act, 2013.

Particulars	**₹**
Sales	10,00,000
Cash purchases	2,00,000
Credit purchases	4,00,000
Purchases returns	20,000
Power and fuel	30,000
Consumption of stores	50,000
Interest on bank loan	30,000
Tax	30%

(**Answer: ₹ 2,17,000)**

4] From the following trial balance, prepare Statement of Profit and Loss for the year ending 31st March 2024 as per Schedule III of Companies Act, 2013.

Sl.no	Accounts Head	Debit(₹)	Credit(₹)
1	Sales		10,00,000
2	Salaries	90,000	
3	Wages	1,10,000	
4	Stock (on 01/04/2023)	1,50,000	
5	Purchases	4,00,000	
6	Bank Overdraft		2,00,000
7	12% Debentures (Issued on 01/04/2023)		1,00,000
8	Plant and Machinery	1,60,000	
9	Depreciation on plant and machinery	16,000	
10	Equity Share Capital (Shares of ₹ 10/-each)		2,00,000
11	7% Preference Share Capital		1,00,000
12	Land	6,74,000	
	Total	**16,00,000**	**16,00,000**

Note: Tax rate 30% (Answer: ₹ 1,55,400)

5] From the following balance, prepare Statement of Profit and Loss for the year ending 31st March 2024 as per Schedule III of Companies Act, 2013.

Particulars	**₹**
Cash sales	2,00,000
Credit sales	3,00,000
Sales returns	20,000
Cost of materials consumed	3,00,000
Buildings	2,00,000
Machinery	1,50,000
Bad debts	5,000
Tax	30%

Note: Charge depreciation on buildings and machinery at 10% each.

(**Answer: ₹ 98,000)**

6] From the following trial balance and other information, Statement of Profit and Loss for the year ending 31st March 2024 as per Schedule III of Companies Act, 2013.

Sl. No.	**Particulars**	**Debit (₹)**	**Credit(₹)**
1	Land and buildings	4,00,000	
2	Trade receivables	1,00,000	
3	Trade payables		2,00,000
4	10% Debentures (01/04/2023)		3,00,000
5	Sales		15,00,000
6	Net purchases	10,00,000	
7	Wages and salaries	50,000	
8	Contribution to provident fund	10,000	
9	Plant and machinery	2,00,000	
10	Goodwill	2,40,000	
	Total	**20,00,000**	**20,00,000**

Adjustments:

1] Tax rate 30%

2] Depreciation on plant and machinery at 10% and amortization of goodwill by ₹ 24,000.

(Answer : ₹ 2,56,200)

7] From the following information prepare statement of profit and loss for the year ended 31-03-2024 as per Schedule III of Companies Act, 2013.

Particulars	₹
Revenue from operations	3,85,000
Purchase of goods	97,000
Other Incomes	75,000
Employee benefits expense	1,03,000
Interest on loan	30,000
Interest on debentures	20,000
Depreciation and amortization expense	83,000
Other expenses	1,08,000
Tax	30%

(**Answer: ₹ 13,300)**

8] From the following information prepare statement of profit and loss for the year ended 31-03-2024 as per Schedule III of Companies Act, 2013.

Particulars	₹
Sales	9,47,000
Cost of materials consumed	3,25,000
Salaries and wages	1,75,000
Interest on bank overdraft	16,000
Depreciation on tangible assets	40,000
Amortisation of intangible assets	50,000
Rent, Rate and Taxes	40,000
Tax	30%

(**Answer: ₹ 2,10,700)**

9] From the following information prepare statement of profit and loss for the year ended 31-03-2024 as per Schedule III of Companies Act, 2013.

Particulars	₹
Revenue from operations	6,35,000
Purchases	2,72,000
Salaries	1,00,000
Contribution to provident fund	50,000
Depreciation on tangible assets	60,000
Rent	25,000
Administration expense	50,000
Tax	30%

(**Answer: ₹ 52,500)**

10] From the following information prepare statement of profit and loss for the year ended 31-03-2024 as per Schedule III of Companies Act, 2013.

Particulars	₹
Revenue from operations	8,70,000
Purchases	4,50,000
Salaries	95,000
Finance costs	30,000
Depreciation on tangible assets	40,000
Rent	25,000
Administration expenses	30,000
Tax	30%

(**Answer: ₹ 1,40,000)**

Problems on Preparation of Balance Sheet

1] You are required to prepare a Balance Sheet from the following information as per the provisions of the Companies Act, 2013 in Schedule III.

Particulars	₹
Equity Share Capital of ₹ 10 each	3,50,000
Securities premium	10,700
General reserve	50,000
15% Debentures	1,25,000
Trade payables	59,000
Other current liabilities	92,400
Fixed assets	4,05,900
Inventories	48,500
Trade receivables	95,000
Cash at bank	1,37,700

(**Answer: ₹ 6,87,100)**

2] From the following information, prepare Balance Sheet of Jindal Company Ltd as at 31/03/2024 as per Schedule III of Companies Act, 2013.

Particulars	₹
Share Capital	10,00,000
Reserves and Surplus	5,00,000
10% Debentures	5,00,000
Creditors	2,00,000
Bills payable	3,00,000
Fixed Assets	15,00,000
Trade receivables	5,00,000
Short term investments	2,00,000
Cash and cash equivalents	3,00,000

(**Answer: ₹ 25,00,000)**

3] From the following information, prepare Balance Sheet for the year ending 31st March 2024 as per Schedule III of Companies Act, 2013.

Particulars	₹
Inventories	7,00,000
Equity Share Capital	16,00,000
Plant and Machinery	8,00,000
Preference Share Capital	6,00,000
General Reserve	6,00,000
Creditors	3,50,000
Provision for taxation	2,50,000
Land and Buildings	26,00,000
Cash at bank	5,00,000
12% Debentures	12,00,000

(**Answer: ₹ 46,00,000**)

4] From the following trial balance, prepare Balance Sheet of Star ltd., for the year ending 31st March 2024 as per Schedule III of Companies Act, 2013.

Sl. No.	Particulars	Debit (₹)	Credit (₹)
1	Equity Share Capital	-	2,00,000
2	Preference Share Capital	-	3,00,000
3	Reserves and Surplus	-	3,00,000
4	Sales	-	5,00,000
5	Other non-current liabilities	-	2,00,000
6	Tangible assets	4,00,000	-
7	Intangible assets	2,50,000	-
8	Salaries	90,000	-
9	Printing and stationery	30,000	-
10	Rent	80,000	-
11	Purchases	3,00,000	-
12	Trade Receivables	3,50,000	-
	Total	**15,00,000**	**15,00,000**

(**Answer: ₹ 10,00,000**)

5] From the following information, prepare Balance Sheet Surya ltd., for the year ending 31st March 2024 as per Schedule III of Companies Act, 2013.

Particulars	₹
Equity Share Capital	20,00,000
Inventories	14,00,000
Plant and Machinery	10,00,000
Preference Share Capital	12,00,000
Debenture Redemption Reserve	6,00,000
Outstanding Expenses	3,00,000
Proposed Dividend	5,00,000
Land and Buildings	20,00,000
Current Investments	8,00,000
Cash equivalents	10,00,000
Short term loan from Z ltd.,	4,00,000
Public Deposit	12,00,000

(**Answer : ₹ 62,00,000**)

6] Prepare a Balance Sheet of White Ltd., as on 31st March 2024 as per Schedule III of Companies Act, 2013 from the following information:

Particulars	₹
General Reserve	3,00,000
10% Debentures	3,00,000
Balance in Statement of Profit and Loss	1,20,000
Depreciation on fixed assets	70,000
Gross Block	9,00,000
Current Liabilities	2,50,000
Preliminary Expenses	30,000
6% Preference Share Capital	5,00,000
Cash and cash equivalents	6,10,000

(**Answer**: **₹ 14,70,000)**

7] You are required to prepare a Balance Sheet from the following information as per the provisions of the Companies Act, 2013 in Schedule III.

Particulars	₹
Equity Share Capital	9,56,000
Preliminary expenses	2,40,000
Discount on issue of share	20,000
Goodwill	30,000
10%Debentures	2,00,000
Stock-in-trade	1,40,000
Loose tools	12,000
Trade receivables	1,20,000
Cash at Bank	1,35,000
Motor vehicles	4,75,000
Provision for taxation	16,000

(**Answer: ₹ 11,72,000)**

8] You are required to prepare a Balance Sheet from the following information as per the provisions of the Companies Act, 2013 in Schedule III.

Particulars	₹
Share Capital	9,00,000
Reserves and Surplus	72,560
8% Debentures	3,00,000
Trade payables	97,000
Other current liabilities	63,000
Buildings	6,25,000
Furniture	3,81,850
Inventories	1,23,800
Trade receivables	2,15,370
Cash at Bank	86,540

(**Answer: ₹ 14,32,560)**

9] You are required to prepare a Balance Sheet from the following information as per the provisions of the Companies Act, 2013 in Schedule III.

Particulars	₹
Equity Share Capital of ₹ 10 each	7,00,000
Reserves and Surplus	2,10,000
Short-term borrowings	2,25,000
Trade payables	1,95,000
Short-term provision	1,09,175
Buildings	5,04,000
Goodwill	2,32,000
Inventories	1,45,000
Trade receivables	2,45,000
Cash and cash equivalents	2,25,000
Short-term loans and advances	88,175

(**Answer: ₹ 14,39,175)**

10] You are required to prepare a Balance Sheet from the following information as per the provisions of the Companies Act, 2013 in Schedule III.

Particulars	₹
Equity Share Capital of ₹ 10 each	4,00,000
Reserve and Surplus	1,24,750
10% Debentures	1,00,000
Trade payables	85,000
Short-term provisions	1,13,750
Furniture	3,00,000
Plant and Machinery	1,85,500
Short-term investments	45,000
Trade receivables	1,60,000
Cash at bank	1,33,000

(Answer: ₹ 8,23,500)

11] You are required to prepare a Balance Sheet from the following information as per the provisions of the Companies Act, 2013 in Schedule III.

Particulars	₹
Equity Share Capital of ₹ 10 each	3,50,000
Securities premium	10,700
General reserve	50,000
15% Debentures	1,25,000
Trade payables	59,000
Other current liabilities	92,400
Fixed assets	4,05,900
Inventories	48,500
Trade receivables	95,000
Cash at bank	1,37,700

(Answer: ₹ 6,87,100)

Key answer for short questions:

MCQ

1. b, 2. d, 3. a, 4. c, 5. d, 6. d, 7. a, 8. c, 9. d, 10. b.

FILL IN THE BLANKS

1. Financial, 2. Statement of profit and loss, 3. Balance sheet
4. Financial status of the enterprise, 5. Profitability of enterprise,
6.Shareholders' fund, 7. Reserves and Surplus, 8. Negative,
9.twelve, 10. Intangible.

MATCH THE FOLLOWING - a. iii, b. iv, c. vi, d. v, e, i.

CHAPTER - 08

FINANCIAL STATEMENT ANALYSIS

PART - A

One Mark Questions:

I] Multiple Choice Questions:

1] The financial statements of a business enterprise include:

a] Balance sheet

b] Statement of Profit and Loss.

c] Cash flow statement

d] All the above.

2] Which of these are not the method of financial statement analysis?

a] Ratio analysis

b] Comparative analysis

c] Trend analysis

d] Capitalisation method

3] From financial statement analysis, the creditors are interested to know

a] Liquidity

b] Profit

c] Efficiencies

d] Share capital

4] Comparative statement are also known as

a] Dynamic Analysis

b] Vertical Analysis

c] External Analysis

d] Horizontal Analysis

5] Common Size Statements are also known as:

a] Vertical Analysis

b] Dynamic Analysis

c] Horizontal Analysis

d] External Analysis

6] Percentage of each liability to the total liabilities is shown in:

a] Common Size Balance Sheet

b] Common Size Income statement

c] Comparative Balance Sheet

d] Comparative Income statement

7] Tangible assets of the company increased from ₹4,00,000 to ₹5,00,000. What is the Percentage of change?

a] 20%

b] 25%

c] 33%

d] 50%

8] In a common-size balance sheet, total equity and liabilities are assumed to be equal to:

a] 1,000

b] 100

c] 10

d] 1

9] Common Size Statements are useful in comparison of:

a] Intra-firm for the same or several years

b] Inter-firm over different years

c] Both (a) & (b) above

d] None of the above

10] An Annual Report is issued by a company to its:

a] Directors

b] Auditors

c] Shareholders

d] Management

II. Fill in the blanks:

1] The term analysis means _____ of financial data

2] Interpretation means explaining the _____ and significance of the data.

3] Comparative analysis is also known as _____ analysis.

4] Common Size Statement is also known as _____

5] The term 'financial analysis' includes both 'analysis and _____'

6] The statement showing the profitability and financial position for different periods of time in a comparative form is known as_____

7] The statement which indicate the relationship of different items of financial statement with a common item is called_____.

8] It is possible to assess the profitability, solvency and efficiency through the technique of_____ analysis

9] Percentage of each asset to the total assets is shown in _____ Balance Sheet.

10] Analysis and interpretation are _____ to each other

III. Match the following

A	B
a] Trend Analysis	i) Comparative Statements
b] Horizontal statement	ii) Ratio analysis
c] Vertical statement	iii) Common Size Statement
	iv) Tools of Analysis of Financial Statements

IV. Very Short Answer Type Questions:

1] What do you mean by Financial Statement Analysis?

2] State any one object of Financial Statement Analysis.

3] State any one technique of Financial Statement Analysis.

4] State any one user of Financial Analysis.

5] What is Vertical Analysis?

6] What is Horizontal Analysis?

7] State any one importance of Financial analysis.

8] State any one limitation of Financial Analysis.

9] Give the meaning of analysis

10] Give the meaning of interpretation

11] The Financial Statements of a business enterprise include Cash Flow Statement. (State True or False)

12] Financial Analysis is used only by the creditors. (State True or False)

13] In a Common Size Statement, each item is expressed as a percentage of same common base. (State True or False)

14] Financial data will be comparative only when same accounting principles are used. (State True or False)

15] Non-monetary aspects are ignored in financial analysis. (State True or False)

PART-D

1] From the following information of Soundarya Company Ltd., Prepare a Comparative Income Statement for the years 2023 and 2024

Particulars	2023 ₹	2024 ₹
Revenue from operations	7,25,000	8,15,000
Less: Sales returns	25,000	15,000
	7,00,000	8,00,000
Other revenue income	1,200	8,000
Total Revenue (A)	7,01,200	8,08,000
Employee benefits Expense	5,95,000	6,15,000
Depreciation	12,700	12,500
Finance costs	23,000	24,000
Other expenses	1,500	2,000
Total Expenses (B)	6,32,200	6,53,500
Profit Before Tax (C=A-B)	69,000	1,54,000

2] From the following information, prepare Comparative Statement of Profit and Loss for the year ending 31st March 2023 and 31st March 2024 of Raju Co. Ltd.,

Particulars	31-3-2023 ₹	31-3-2024 ₹
Revenue from operations	8,00,000	9,00,000
Other income	20,000	40,000
Employee benefits expense	1,00,000	1,20,000
Cost of materials consumed	4,00,000	5,00,000
Finance costs	30,000	20,000
Depreciation	70,000	70,000
Other expenses	20,000	30,000
Income tax	30%	30%

3] From the following information, prepare Comparative Statement of Profit and Loss for the year ending 31st March 2023 and 31st March 2024 of Hema Co. Ltd.,

Particulars	31-3-2023 ₹	31-3-2024 ₹
Revenue from operations	6,00,000	8,00,000
Other Income	60,000	70,000
Purchases of stock-in--trade	3,00,000	5,00,000
Employee benefits expense	1,00,000	1,50,000
Finance costs	30,000	40,000
Depreciation	50,000	60,000
Income tax	30%	30%

4] Prepare Comparative Income statement of GPR Co. Ltd., from the following information.

Particulars	31-3-2023 ₹	31-3-2024 ₹
Revenue from operations	21,50,000	25,00,000
Purchases of stock-in-trade	13,00,000	14,50,000
Employee benefits expense	2,10,000	1,80,000
Finance costs	1,40,000	1,20,000
Other expenses	1,90,000	2,50,000
Income tax	93,000	1,50,000

5] Prepare Comparative Income statement of PMT Co. Ltd., from the following information.

Particulars	31-3-2023 ₹	31-3-2024 ₹
Revenue from operations	4,00,000	6,00,000
Other income	50,000	60,000
Purchases of stock-in-trade	2,00,000	2,50,000
Employee benefits expense	19,000	22,000
Depreciation	6,000	8,000
Other expenses	11,000	14,000
Income tax	64,200	1,09,800

Problems on Comparative Balance Sheet.

6] The followings are the Balance Sheets of Alpha Ltd., as at March 31st 2023 and 2024

Particulars	March 31st2023 ₹	March 31st 2024 ₹
I. **Equity and Liabilities**		
Equity Share Capital	2,00,000	4,00,000
Reserves and Surplus	1,00,000	1,50,000
Long term loans	2,00,000	3,00,000
Current Liabilities	1,20,000	1,70,000
Total	**6,20,000**	**10,20,000**
II. **Assets:**		
Fixed Assets	2,00,000	5,00,000
Non-current investment	1,00,000	1,25,000
Current Assets	2,55,000	3,25,000
Term loans and advances	65,000	70,000
Total	**6,20,000**	**10,20,000**

You are required to prepare a Comparative Balance Sheet.

7] From the following information, Prepare Comparative Position Statement (Balance Sheet)

Particulars	31-3-2023 ₹	31-3-2024 ₹
Share Capital	4,00,000	5,00,000
General reserve	50,000	60,000
Secured loan	15,000	20,000
Current liabilities	50,000	70,000
Buildings	2,00,000	2,50,000
Machinery	1,50,000	2,00,000
Stock	1,00,000	1,10,000
Trade receivables	65,000	90,000

8] The following is the Balance sheet of Sun Star Co., Ltd., as on 31-3-2023 and 31-3-2024. Prepare Comparative Balance Sheet.

Particulars	March 31st2023 ₹	March 31st 2024 ₹
I. Equity and Liabilities:		
Equity Share Capital	5,50,000	10,50,000
Reserves and Surplus	2,00,000	2,50,000
Non-Current Liabilities		
Long term loans	1,00,000	2,50,000
Current Liabilities		
Trade payables	1,50,000	3,00,000
Total	**10,00,000**	**18,50,000**
II. Assets:		
Non-Current Assets		
Fixed Assets:		
Tangible assets	5,00,000	10,00,000
Long-term investments	2,00,000	2,50,000
Current Assets		
Inventories	2,25,000	3,25,000
Trade receivables	75,000	2,75,000
Total	**10,00,000**	**18,50,000**

9] From the following information, Prepare Comparative Balance Sheet

Particulars	31-3-2023 ₹	31-3-2024 ₹
Share Capital	8,00,000	10,00,000
Reserves and Surplus	1,00,000	1,20,000
Long term borrowings	50,000	50,000
Trade payables	80,000	1,00,000
Fixed Assets	7,00,000	9,00,000
Inventories	2,00,000	1,80,000
Trade receivables	1,00,000	1,50,000
Cash and cash equivalents	30,000	40,000

10] The following is the Balance sheet of Star Co., Ltd., as on 31-3-2023 and 31-3-2024. Prepare Comparative Balance Sheet.

Particulars	**March 31st2023** ₹	**March 31st 2024** ₹
I. Equity and Liabilities:		
Equity Share Capital	6,00,000	8,00,000
Reserves and Surplus	3,30,000	2,22,000
Non-Current Liabilities		
Long term borrowings	3,50,000	5,00,000
Current Liabilities		
Trade payables	1,55,000	1,75,000
Total	**14,35,000**	**16,97,000**
II. Assets:		
Non-Current Assets		
Fixed Assets:		
Tangible assets	8,14,000	9,25,000
Current Assets		
Inventories	2,50,000	3,50,000
Trade receivables	3,50,000	3,40,000
Cash and cash equivalents	21,000	82,000
Total	**14,35,000**	**16,97,000**

Problems on Common Size Income Statement

1] From the following information prepare Common Size Income Statement:

Particulars	**31-3-2023 ₹**	**31-3-2024 ₹**
Net Revenue from operations	60,000	86,000
Other income	300	400
Total Revenue (A)	60,300	86,400
Cost of Materials consumed	18,000	20,000
Employee benefits expense	9,000	10,000
Finance cost	3,000	3,400
Other expenses	6,300	6,600
Total Expense (B)	36,300	40,000
Profit before tax (A-B)	24,000	46,400
Less: Income Tax	7,200	13,920
Surplus	16,800	32,480

2] From the following information, prepare Common Size Statement of Profit and Loss for the year ending 31st March 2023 and 31st March 2024.

Particulars	31-3-2023 ₹	31-3-2024 ₹
Revenue from operations	5,00,000	4,00,000
Other income	20,000	10,000
Cost of Materials consumed	3,00,000	2,00,000
Employee benefits expense	60,000	40,000
Finance cost	10,000	15,000
Depreciation	20,000	25,000
Other expenses	40,000	30,000
Tax Rate	40%	40%

3] From the following information, prepare Common Size Statement of Profit and Loss for the year ending 31st March 2023 and 31st March 2024.

Particulars	31-3-2023 ₹	31-3-2024 ₹
Revenue from operations	10,00,000	15,00,000
Other income	2,00,000	1,80,000
Cost of Materials consumed	5,00,000	9,00,000
Employee benefits expense	40,000	50,000
Finance cost	30,000	40,000
Other expenses	40,000	80,000
Tax Rate	30%	30%

4] From the following information, prepare Common Size Statement of Profit and Loss for the year ending 31st March 2023 and 31st March 2024.

Particulars	31-3-2023 ₹	31-3-2024 ₹
Revenue from operations	3,50,000	4,50,000
Purchases of stock-in-trade	1.90,000	2,15,000
Employee benefits expense	50,000	72,000
Finance cost	20,000	17,000
Other expenses	10,000	12,000
Tax Rate	40%	40%

5] From the following information, prepare Common Size Statement of Profit and Loss for the year ending 31st March 2023 and 31st March 2024.

Particulars	31-3-2023 ₹	31-3-2024 ₹
Revenue from operations	5,00,000	7,00,000
Other Income	20,000	30,000
Cost of materials consumed	3,00,000	4,00,000
Employee benefits expense	50,000	70,000
Depreciation and amortisation expense	20,000	22,000
Other expenses	40,000	50,000
Income tax	33,000	56,400

Problems on Common Size Balance Sheet

1] From the following Balance sheet of Rajesh Exports Ltd., as on 31-3-2023 and 31-3-2024, prepare Common Size Balance Sheet.

Particulars	March 31st2023 ₹	March 31st 2024 ₹
I. Equity and Liabilities:		
Equity Share Capital	5,00,000	6,00,000
Reserves and Surplus	3,00,000	3,50,000
Non-Current Liabilities		
Long term loans	4,00,000	3,00,000
Current Liabilities	2,50,000	3,25,000
Total	**14,50,000**	**15,75,000**
II. Assets:		
Non-Current Assets		
Fixed Assets:		
Tangible assets	5,50,000	7,00,000
Intangible assets	2,00,000	2,50,000
Current Assets	7,00,000	6,25,000
Total	**14,50,000**	**15,75,000**

2] From the following Balance sheet of Karnataka Company Ltd., prepare Common Size Balance Sheet as on 31-3-2023 and 31-3-2024.

Particulars	March 31st2023 ₹	March 31st 2024 ₹
I. **Equity and Liabilities**:		
Equity Share Capital	8,50,000	10,00,000

Reserves and Surplus	1,00,000	50,000
Non-Current liabilities		
Long term borrowings	4,50,000	5,75,000
Current Liabilities		
Short term borrowings	1,50,000	2,25,000
Total	**15,50,000**	**18,50,000**
II. **Assets:**		
Fixed Assets		
Tangible assets	7,50,000	9,00,000
Intangible assets	4,00,000	4,50,000
Current Assets		
Inventories	1,00,000	2,00,000
Other current assets	3,00,000	3,00,000
Total	**15,50,000**	**18,50,000**

3] From the following Balance Sheets of Indian Industries Ltd., prepare Common size Balance Sheet.

Particulars	**31-03-2023** ₹	**31-03-2024** ₹
Share Capital	2,00,000	2,50,000
Reserves	1,00,000	1,50,000
Long term loans	2,00,000	1,00,000
Trade payables	3,00,000	4,00,000
Total	**8,00,000**	**9,00,000**
Buildings	2,00,000	2,50,000
Plant	2,00,000	2,50,000
Inventories	3,50,000	3,25,000
Cash & cash equivalents	50,000	75,000
Total	**8,00,000**	**9,00,000**

4] From the following Balance sheet of Rajesh Exports Ltd., as on 31-3-2023 and 31-3-2024, prepare Common Size Balance Sheet.

Particulars	March 31st2023 ₹	March 31st 2024 ₹
I. Equity and Liabilities:		
Equity Share Capital	13,00,000	16,00,000
Reserves and Surplus	6,00,000	6,00,000
Non-Current Liabilities		
Long term borrowings	6,00,000	7,00,000
Current Liabilities		
Trade payables	11,50,000	16,50,000
Total	**36,50,000**	**45,50,000**

II. Assets:		
Non-Current Assets		
Fixed Assets:		
Tangible assets	11,00,000	16,00,000
Intangible assets	11,00,000	16,00,000
Non-current investments	11,00,000	11,00,000
Current Assets		
Inventories	3,50,000	2,50,000
Total	**36,50,000**	**45,50,000**

5] From the following Balance sheet of Raju Co. Ltd., as on 31-3-2023 and 31-3-2024, prepare Common Size Balance Sheet.

Particulars	March 31st2023 ₹	March 31st 2024 ₹
I. Equity and Liabilities		
Shareholders' Fund		
Equity Share Capital	12,00,000	15,00,000
Reserves and Surplus	5,00,000	5,00,000
Non-Current Liabilities		
Long term borrowings	5,00,000	6,00,000
Current Liabilities		
Trade payables	10,50,000	15,50,000
Total	**32,50,000**	**41,50,000**
II. Assets:		
Non-Current Assets		
Fixed Assets:		
Tangible assets	10,00,000	15,00,000
Intangible assets	10,00,000	15,00,000
Non-current investments	10,00,000	10,00,000
Current Assets		
Other current assets	2,50,000	1,50,000
Total	**32,50,000**	**41,50,000**

Key answer for short questions:

MCQ

1. d, 2. d, 3. a, 4. d, 5. a, 6. b, 7. b, 8. b, 9. c, 10. c.

FILL IN THE BLANKS

1. Simplification, 2. meaning, 3. Horizontal, 4. vertical, 5. interpretation, 6. comparative statement, 7. Common size statement, 8. Ratio analysis, 9. common size, 10. complimentary.

MATCH THE FOLLOWING

a. iv, b. iii, c. i,

CHAPTER - 09

ACCOUNTING RATIOS

PART - A

One Mark Questions:

I] Multiple Choice Questions:

1] The following group of ratios are primarily measure risk:
a] liquidity, activity, and profitability
b] liquidity, activity, and inventory
c] liquidity, activity, and debt
d] liquidity, debt and profitability

2] The _____ ratios are primarily measures of return:
a] liquidity
b] activity
c] debt
d] profitability

3] The _____ of business firm is measured by its ability to satisfy its short term obligations as and when they become due:
a] activity
b] liquidity
c] debt
d] profitability

4] _____ ratios are a measure of the speed with which various accounts are converted into revenue from operations or cash:
a] Activity
b] Liquidity
c] Debt
d] Profitability

5] The two basic measures of liquidity are:
a] inventory turnover and current ratio
b] current ratio and liquid ratio
c] gross profit margin and operating ratio
d] current ratio and average collection period

6] The _____ is a measure of liquidity which excludes _____, generally the least liquid asset:
a} current ratio, trade receivable
b] liquid ratio, trade receivable
c] current ratio, inventory
d] liquid ratio, inventory

7] The _____ is useful in evaluating credit and collection policies.

a] average payment period

b] current ratio

c] average collection period

d] current asset turnover

8] The _____ measures the activity of a firm's inventory.

a] average collection period

b] inventory turnover

c] liquid ratio

d] current ratio

9] The _____ may indicate that the firm is experiencing stock outs and lost sales.

a] average payment period

b] inventory turnover ratio

c] average collection period

d] quick ratio

10] ABC Co. extends credit terms of 45 days to its customers. Its credit collection would be considered poor if its average collection period was,

a] 30 days

b] 36 days

c] 47 days

d] 37 days

11] _____ are especially interested in the average payment period, since it provides them with a sense of the bill-paying patterns of the firm.

a] Customers

b] Stockholders

c] Lenders and suppliers

d] Borrowers and buyers

12] The _____ ratios provide the information critical to the long run operation of the firm

a] liquidity

b] activity

c] solvency

d] profitability

13] Dividend payout ratio refers to proportion of earnings that are distributed to the ;

a] Share holders

b] Debenture holders

c] Creditors

d] Lenders

14] Trade payables turnover ratio indicates

a] Payments of Trade payables

b] Payment to Creditors

c} Payment of Bank Loan

d] Payment of Bills Payable

15] Liquidity ratios are expressed in;

a] Pure ratio form

b] Percentage

c] Rate or Time

d] Integer

16] Current ratio is 2:1, current assets are ₹82,000.What will be Current liabilities?

a] ₹20,000

b] ₹38,000

c] ₹15,000

d] ₹41,000.

II. Fill in the blanks :

1] Accounting Ratios are an important tool of _____

2] A_____ is a mathematical number calculated as a reference to relationship of two or more numbers.

3] _____can be expressed as a fraction, proportion, percentage and a number of times.

4] If a ratio is compared with one variable from the statement of Profit and Loss and another variable from the Balance Sheet, it is called_____

5] Quick Ratio is also known as_____Ratio.

6] Ratios are means to an end rather than the _____.

7] Current ratio is the proportion of _____ to current liabilities.

8] _____ ratios are calculated to measure the short term solvency of the business.

9] The quick assets are those assets which are quickly convertible into _____

10] The _____ ratios are preliminary measures of return.

11] Ratio of gross profit to revenue from operations is known as _____ ratio.

12] _____ ratio measures the relationship between long term debt and equity.

13] Proprietary ratio expresses relationship of proprietor's funds to _____

14] The _____ratio measures the activity of a firm's inventory.

15] The _____ is useful in evaluating credit and collection policies.

III. Match the following :

A	B
a. Liquidity Ratios	i. Quick or Liquid Ratio
b. Solvency Ratios	ii. Can be measured by activity Ratios
c. Efficiency	iii. Long-term in nature.
d. Acid-Test Ratio	iv. Short-term in nature
e. Debt Equity Ratio	v. Relates net profit to revenue from operations
f. Net Profit Ratio	vi. Expressed in times
g. Price/Earning Ratio	vii. Earning per share
h. Book value per share	viii. Relationship between long-term debt and equity
i. Advertisement	ix. Financial expenses
j. Interest paid	x. Operating expenses
	xi. Expressed in rupees

Very Short Answer Type Questions:

1] Give the meaning of Ratio Analysis.
2] State any one objective of ratio analysis.
3] State any one use of ratio analysis.
4] Mention any one limitation of ratio analysis.
5] Mention any one type of ratio.
6] Give one example for current assets.
7] Give one example for current liability.
8] What is current ratio?
9] What is quick ratio?
10] Name any one type of turnover ratio.
11] Give the meaning of net profit ratio.
12] Give the meaning of dividend payout ratio.
13] What is activity ratio?
14] State one significance of interest coverage ratio.
15] Expand EPS.
16] Expand ROI.

17] A ratio reflects quantitative and qualitative aspects of results (State True or False).

18] Net profit refers to profit after tax (PAT)(State True or False).

19] State any one profitability ratio.

20] Solvency refers to the ability of the enterprise to meet its current obligations (State True or False).

21] Purchase of goods will increase the cost of Revenue from operations (State True or False).

22] The only purpose of financial reporting is to keep the managers informed about the progress of operations (State True or False).

23] Analysis of data provided in the financial statements is termed as financial analysis (State True or False).

24] Long-term borrowings are concerned about the ability of a firm to discharge its obligations to pay interest and repay the principal amount (State True or False).

25] A ratio is always expressed as a quotient of one number divided by another (State True or False).

26] Ratios help in comparisons of a firm's results over a number of accounting periods as well as with other business enterprises.

27] A ratio reflects only quantitative aspect of results (State True or False).

28] Liquidity ratios are essentially short-term in nature (State True or False).

29] Current ratio is the proportion of current assets to current liabilities (State True or False).

30] The quick assets are those assets which cannot be quickly converted into cash (State True or False).

31] A higher interest coverage ratio ensures safety of interest of debts (State True or False).

32] The liquidity ratios are preliminary measures of return (State True or False).

33] Higher gross profit ratio is always a good sign (State True or False).

34] Dividend payout ratio refers to the proportion of earning distributed to the shareholders (State True or False)

35] Price Earnings Ratio =Market price of share / Earnings per share (State True or False).

PART- D

Twelve Marks Problems :

1] Following is the Trading and Profit and Loss Account for the year ending 31st March, 2024

Particulars	₹	Particulars	₹
To Opening Stock	10,000	By Sales	1,00,000
To Purchases	55,000	By Closing Stock	15,000
To Gross profit	50,000		
	1,15,000		**1,15,000**
To Admin. Expenses	15,000	By Gross Profit	50,000
To Selling Expenses	12,000		
To Interest	3,000		
To Net Profit	20,000		
	50,000		**50,000**

Balance Sheet as at 31st March ,2024

Liabilities	₹	Assets	₹
Equity Share Capital	60,000	Land and Building	50,000
Debentures	40,000	Plant and Machinery	30,000
Profit and Loss A/c	20,000	Furniture	20,000
Creditors	25,000	Stock	15,000
Bills Payable	15,000	Sundry Debtors	15,000
		Bills Receivable	12,500
		Cash in Hand	17,500
	1,60,000		**1,60,000**

Calculate:

a] Current Ratio, b] Debt Equity Ratio,

c] Stock Turnover Ratio, d] Trade Receivable Turnover Ratio,

e] Gross Profit Ratio , and f] Net Profit Ratio.

Answers:

a] Current Ratio = 1.5: 1

b] Debt Equity Ratio = 0.5:1

c] Stock Turnover Ratio = 4 times

d] Trade Receivable Turnover Ratio = 3.64 times

e] Gross Profit Ratio = 50 %

f] Net Profit Ratio = 20 %

2] The following is the summarized Profit and Loss Account for the year ended 31 March, 2024 and Balance sheet as on that date.

Trading and Profit and Loss Account for the year ended 31st March, 2024

Dr. **Cr.**

Particulars	₹	Particulars	₹
To Opening Stock	65,000	By Sales	2,00,000
To Purchases	1,00,000	By Closing Stock	15,000
To Gross profit	50,000		
	2,15,000		**2,15,000**
To Administrative Expenses	15,000	By Gross Profit	50,000
To Selling Expenses	12,000		
To Interest	3,000		
To Net Profit	20,000		**50,000**
	50,000		

Balance Sheet as on 31st March ,2024

Liabilities	₹	Assets	₹
Equity Share Capital	80,000	Land and Building	50,000
L. T. Borrowings	20,000	Plants and Machinery	30,000
Profit and Loss A/c	20,000	Furniture	20,000
Creditors	25,000	Stock	15,000
Bills Payable	15,000	Sundry Debtors	15,000
		Bills Receivable	12,500
		Cash in Hand	17,500
	1,60,000		**1,60,000**

You are required to calculate:

a] Liquid Ratio, b] Proprietary Ratio,

c] Stock Turnover Ratio, d] Trade Payable Turnover Ratio,

e] Gross Profit Ratio and f] Operating Ratio.

Answers:

a] Liquid Ratio =1.13 : 1

b] Proprietary Ratio = 0.83: 1

c] Stock Turnover Ratio = 3.75 times

d] Trade Payables Turnover Ratio = 2.5 times

e] Gross Profit Ratio = 25 %

f] Operating Ratio = 88.5 %

3] From the following information, calculate:

a] Current Ratio,

b] Interest Coverage Ratio,

c] Trade Receivables Turnover Ratio,

d] Trade Payables Turnover Ratio,

e] Earnings Per Share, and

f] Dividend Payout Ratio.

Particulars	**₹**
Inventory	1,00,000
70,000 Equity Share of ₹ 10 each	7,00,000
Revenue from Operations	5,00,000
Net Purchases	4,00,000
Net Profit Before Tax	3,51,000
13% Debentures	3,00,000
Net Profit after tax but before dividend	1,75,000
Trade Receivables	50,000
Trade Payables	75,000
Dividend declared @ 15%	--------

Answers:

a] Current Ratio = 2:1

b] Interest Coverage Ratio = 10 times

c] Trade Receivables Turnover Ratio = 10 times

d] Trade Payables Turnover Ratio = 5.33 times

e] Earnings Per Share = ₹ 2.50

f] Dividend Payout Ratio = ₹ 0.60

4] From the following information, calculate

a] Quick Ratio,

b] Interest Coverage Ratio,

c] Inventory Turnover Ratio,

d] Trade Receivables Turnover Ratio,

e] Return On Shareholders Fund, and

f] Book Value Per Share.

Particulars	₹
Revenue from Operations	3,00,000
Cost of Revenue from operations	2,40,000
Inventory at the end	62,000
Trade payables	16,000
Inventory in the beginning	58,000
Trade receivables	32,000
Net Profit After Tax	1,00,000
Share Capital	6,00,000
(Equity share of ₹ 10 each)	
10% Debentures	4,00,000
Net Profit Before Tax	2,00,000

Answers:

a] Quick ratio = 2:1

b] Interest Coverage Ratio = 6 times

c] Inventory Turnover Ratio = 4 times

d] Trade Receivables Turnover Ratio = 9.38 times

e] Return On Shareholders Fund = 14.29 %

f] Book Value Per Share = ₹ 11.67

5] X Ltd., presented the following Trading and Profit &Loss account for the year ended 31.3.2024.

Trading and Profit and Loss A/c for the year ending 31-3-2024

Dr. **Cr.**

Particulars	₹	Particulars	₹
To Opening Stock	2,00,000	By Sales	10,00,000
To Purchases	7,00,000	By Closing Stock	4,00,000
To Wages	1,00,000		
To Gross profit	4,00,000		
	14,00,000		**14,00,000**
ToAdministrative Expenses	3,00,000	By Gross Profit	4,00,000
To Selling & Distribution Exp.	40,000	By Profit on sale of plant	20,000
To Net Profit	80,000		
	4,20,000		**4,20,000**

Additional information :

i] On 31.03.2024, Debtors : ₹2,00,000 and Creditors : ₹3,00,000.

ii] Share Capital ₹1,00,000 and Capital Employed ₹ 9,00,000.

Calculate:

a] Current Ratio, b] Proprietary Ratio,

c] Inventory Turnover Ratio, d] Trade Payables Turnover Ratio,

e] Gross Profit Ratio and f] Operating Ratio.

Answers:

a] Current Ratio = 2:1

b] Proprietary Ratio = 0.2:1

c] Inventory Turnover Ratio = 2 times

d] Trade Payables Turnover Ratio = 2.33 Times

e] Gross Profit Ratio = 40 %

f] Operating Ratio = 94 %

6] From the following details, calculate.

a] Current Ratio,

b] Debt to Capital Employed Ratio,

c] Investment Turnover Ratio,

d] Fixed Assets Turnover Ratio,

e] Return On Investment and

f] Earnings Per Share.

Particulars	**₹**
Equity Share Capital at ₹10 each	4,00,000
12% Preference Share Capital	1,00,000
Reserves and Surplus	1,84,000
10% Debentures	4,00,000
Current Liabilities	1,00,000
Fixed Assets	9,50,000
Current Assets	2,34,000

Net Profit after tax was ₹1,50,000. Revenue from operations for the year was ₹30,00,000 and tax amounted to ₹50,000.

Answers:

a] Current ratio = 2.34:1

b] Debt to Capital Employed Ratio = 0.37:1

c] Investment Turnover Ratio = 2.77 times

d] Fixed Assets Turnover Ratio = 3.16 times

e] Return On Investment = 22.14 %

f] Earnings Per Share = ₹ 3.45

7] The followings are the summarized Profit and Loss Account for the year ended 31.03.2024 and Balance Sheet as on that date:

Trading and Profit and Loss a/c for the year ending 31.03.2024

Dr. **Cr.**

Particulars	**₹**	**Particulars**	**₹**
To Opening Stock	20,000	By Sales	2,00,000
To Purchases	1,10,000	By Closing Stock	30,000
To Gross profit	1,00,000		
	2,30,000		**2,30,000**
To Administrative Expenses	30,000	By Gross Profit	1,00,000
To Interest	10,000		
To Selling Expenses	20,000		
To Net Profit	40,000		
	1,00,000		**1,00,000**

Balance Sheet as at 31.03.2024

Liabilities	**₹**	**Assets**	**₹**
Share Capital	1,60,000	Land and Buildings	1,00,000
Debentures	40,000	Plant and Machinery	60,000
Profit and Loss A/c	40,000	Furniture	40,000
Creditors	50,000	Stock	30,000
Bills Payable	30000	Sundry Debtors	30,000
		Bills Receivable	25,000
		Cash at bank	35,000
	3,20,000		**3,20,000**

You are required to calculate :

a] Liquid ratio,

b] Debt to Capital Employed Ratio,

c] Inventory Turnover Ratio,

d] Trade Receivables Turnover Ratio,

e] Net Profit Ratio, and

f] Operating Ratio.

Answers:

a]	Liquid ratio	= 1.13:1
b]	Debt to Capital Employed Ratio	= 0.17:1
c]	Inventory Turnover Ratio	= 4 times
d]	Trade Receivables Turnover Ratio	= 3.64 times
e]	Net Profit Ratio	= 20 %
f]	Operating Ratio	= 75 %

8] From the given information, you are required to calculate the following Ratios:

a] Current Ratio,

b] Total Assets to Debt Ratio,

c] Trade Payables Turnover Ratio,

d] Investment Turnover Ratio,

e] Price Earning Ratio, and

f] Book Value Per Share.

Trading and Profit and loss A/c for the year ending 31-3-2024

Dr. **Cr.**

Particulars	**₹**	**Particulars**	**₹**
To Opening Stock	3,000	By Sales	40,000
To Purchases	30,000	By Closing Stock	5,000
To Gross profit	12,000		
	45,000		**45,000**
To Sundry Expenses	2,000	By Gross Profit	12,000
To Net Profit	10,000		
Total	**12,000**	**Total**	**12,000**

Balance Sheet as at 31-3-2024

Liabilities	₹	Assets	₹
Eq. Share Capital	20,000	Land and Building	5,000
(₹ 10 each)		Plant and Machinery	5,000
Reserve and Surplus	3,000	Stock	5,000
Debentures	1,000	Debtors	8,000
Creditors	5,000	Cash	6,000
	29,000		**29,000**

Earning Per Share ₹ 2.50,and Market price of Share ₹ 30

Answers:

a] Current Ratio = 3.8:1

b] Total Assets to Debt Ratio = 29:1

c] Trade Payables Turnover Ratio = 6 times

d] Investment Turnover Ratio = 1.67 times

e] Price Earnings Ratio = 12 times

f] Book Value Per Share = ₹ 11.50

9] From the following information, you are required to calculate:

a] Current Ratio,

b] Debt Equity Ratio,

c] Capital Employed Turnover Ratio,

d] Working Capital Turnover Ratio,

e] Operating Profit Ratio and

f] Book Value Per Share.

Particulars	₹
Revenue from Operations	20,00,000
Equity Share Capital (₹ 10 each)	5,00,000
Current Assets	4,00,000
Operating Profit	16,00,000
13% Debentures	1,00,000
Reserve & Surplus	1,00,000
10% Preference Shares of ₹ 10	2,00,000
Current Liabilities	3,00,000
Plant and Machinery	3,00,000
Furniture	5,00,000

Answers:

a] Current Ratio = 1.33:1 or 4:3
b] Debt Equity Ratio = 0.13:1
c] Capital Employed Turnover Ratio = 2.22 times
d] Working Capital Turnover Ratio = 20 times
e] Operating Profit Ratio = 80 %
f] Book Value Per Share = ₹ 12

10] From the following information, calculate**:**

a] Quick Ratio,
b] Proprietary Ratio,
c] Fixed Assets Turnover Ratio,
d] Working Capital Turnover Ratio,
e] Book Value Per Share and
f] Dividend Payout Ratio.

Particulars	**₹**
Sales(Revenue from operations)	6,00,000
Stock	1,00,000
Current Assets (including stock)	4,00,000
Fixed Assets	8,00,000
70,000 Equity shares of ₹ 10 each	7,00,000
Net profit after tax but before dividend	1,75,000
Debentures	125,000
Current Liabilities	200,000
Earnings Per Share	₹ 2.50
Dividend declared @ 15%	--

Answers:

a] Quick Ratio =1.5:1 or 3:2
b] Proprietary Ratio =0.88:1
c] Fixed Assets Turnover Ratio =0.75 times
d] Working Capital Turnover Ratio = 3 times
e] Book Value Per Share = ₹ 12.50
f] Dividend Payout Ratio = ₹ 0.60

11] From the following particulars, calculate**:**

a] Current Ratio,
b] Debt to Capital Employed Ratio,
c] Trade Receivables Turnover Ratio,
d] Trade Payables Turnover Ratio,
e] Operating Ratio and
f] Net Profit Ratio.

Particulars	₹
Revenue from operations	10,00,000
Gross profit	2,00,000
Inventory	1,50,000
Net credit revenue from operations	6,00,000
Trade receivables	1,50,000
Net Credit Purchases	5,00,000
Trade payables	2,50,000
Operating expenses	1,00,000
Net profit	1,00,000
Debentures	2,00,000
Share Capital	4,00,000

Answers:

a] Current Ratio = 1.2:1

b] Debt to Capital Employed ratio = 0.29:1

c] Trade Receivables Turnover ratio = 4 times

d] Trade Payables Turnover ratio = 2 times

e] Operating Ratio = 90 %

f] Net Profit Ratio = 10 %

12] From the following particulars, calculate:

a] Quick Ratio,

b] Interest Coverage Ratio,

c] Net Assets Turnover Ratio,

d] Fixed Assets Turnover Ratio,

e] Operating Profit Ratio and

f] Return on Investment.

Particulars	₹
Revenue from operations	60,00,000
Net fixed assets	30,00,000
Operating profit	5,00,000
Profit after interest and tax	3,00,000
Interest and tax expenses	2,00,000
Capital employed	40,00,000

Quick Assets	20,00,000
Current Liabilities	10,00,000
10 % Debentures	10,00,000

Answers:

a] Quick Ratio = 2:1

b] Interest Coverage Ratio = 5 times

c] Net Assets Turnover Ratio = 1.5 times

d] Fixed Assets Turnover Ratio = 2 times

e] Operating Profit Ratio = 8.33 %

f] Return On Investment = ₹ 12.50

13] Following are the Trading and Profit and Loss A/c and Balance Sheet relating to Uttam Cement Co., Ltd., for the year ending 31-03 2024;

Trading and Profit and Loss A/c

Dr. for the year ending 31-03-2024 Cr.

Particulars	₹	Particulars	₹
To Opening Stock A/c	25,000	By Sales A/c	300,000
,, Purchases ,,	175,000	,, Closing Stock A/c	50,000
,, Freight ,,	35,000		
,, PandL A/c(GrossProfit)	115,000		
	350,000		**350,000**
,, Selling Expenses ,,	35,000	,,Trading A/c (Gross profit)	115,000
,, Administrative ,, ,,	25,000		
,, Interest ,,	5,000		
,, Net Profit ,,	50,000		
	1,15,000		**1,15,000**

Balance Sheet as on 31-03- 2024

Liabilities	₹	Assets	₹
Share Capital	300,000	Building	200,000
Profit and Loss A/c	50,000	Machinery	100,000
10%Debentures	50,000	Inventory	50,000
Creditors	60,000	Debtors	70,000
Bills Payable	40,000	Bank	80,000
	5,00,000		**5,00,000**

You are required to calculate :

a] Quick Ratio,
b] Proprietary Ratio,
c] Inventory Turnover Ratio,
d] Trade Receivables Turnover Ratio,
e] Gross Profit Ratio and
f] Operating Ratio.

Answers:

a] Quick Ratio = 1.5:1
b] Proprietary Ratio = 0.88:1
c] Inventory Turnover Ratio = 4.93 times
d] Trade Receivables Turnover Ratio = 4.29 times
e] Gross Profit Ratio = 38.33 %
f] Operating Ratio = 81.67 %

14] From the following Balance Sheet and additional information, calculate;

a] Current Ratio, b] Debt Equity Ratio,
c] Investment Turnover Ratio, d] Trade Payables Turnover Ratio,
e] Net Profit Ratio and f] Earnings Per Share.

Balance Sheet as on 31-03-2024

Liabilities	**₹**	**Assets**	**₹**
Bills Payable	20,000	Cash	20,000
Creditors	60,000	Bank	35,000
Profit and Loss A/c (PAT)	70,000	Debtors	50,000
General Reserve	50,000	Stock	45,000
12% Debentures	1,00,000	Furniture	70,000
Equity Share Capital	2,00,000	Plant and Machinery	1,20,000
(of Rs. 10 each)		Land and Building	1,60,000
	5,00,000		**5,00,000**

Additional information:

a] Net credit purchases ₹ 400,000.
b] Revenue from operations ₹ 12,60,000

Calculate

a] Current Ratio, b] Debt Equity Ratio,
c] Investment Turnover Ratio, d] Trade Payables Turnover Ratio,
e] Net Profit Ratio and f] Earnings Per Share.

Answers.

a] Current Ratio = 1.88:1
b] Debt Equity Ratio = 0.3:1

c] Investment Turnover Ratio = 3 times
d] Trade Payables Turnover Ratio = 5 times
e] Net Profit Ratio = 5.56 %
f] Earnings Per share = ₹ 3.50

15] From the followings details, calculate:
a] Current Ratio, b] Interest Coverage Ratio,
c] Fixed Assets Turnover Ratio, d] Working Capital Turnover Ratio,
e] Operating Profit Ratio and f] Return On Investment.

Particulars	₹
Equity Share Capital	2,00,000
Preference Share Capital	50,000
Reserve Fund	92,000
10 % Debentures	2,00,000
Current Liabilities	50,000
Fixed Assets	4,75,000
Current Assets	117,000
Net Profit After Tax	75,000
Revenue from operations	15,00,000
Amount of tax	25,000
Operating Profit	4,50,000

Answers :

a] Current Ratio = 2.34:1
b] Interest Coverage Ratio = 6 times
c] Fixed Assets Turnover Ratio = 3.16 times
d] Working Capital Ratio = 22.39 times
e] Operating Profit Ratio = 30 %
f] Return On Investment = 22.14 %

Key answer for short questions :

MCQs

1-d , 2-d, 3-b, 4-a, 5-b, 6-d, 7-c, 8-b, 9-b, 10-c, 11-c, 12-c, 13-a, 14-a, 15-a, 16-d.

Fill in the blanks:

1.Financial Analysis 2.ratio 3.Ratio 4.Comparativr Ratio
5.Acid Test Ratio 6.End itself 7-current assets 8-Liquidity
9.cash 10.Profitabilty 11.gross profit 12.Debt Equity
13-net assets 14.Inventory Turnover 15.Average collection period.

Match the following:

a- iv, b- iii , c- ii , d- i , e- viii , f- v , g- vi , h- xi , i- x, j- ix

True or False :

17-False, 18-True, 20-False, 21-True , 22- False, 23-True, 24- True , 25- False , 26- True, 27-True , 28- True , 29- True , 30-False, 31- True , 32- False , 33- True , 34- True , 35- True.

CHAPTER - 10

CASH FLOW STATEMENT

PART - A

One Mark Questions:

I] Multiple Choice Questions:

1] Example of cash inflows from investing activities is-
   a] Cash receipts from disposal of fixed assets.
   b] Interest paid in cash for loans & advances.
   c] Dividend paid to shareholders.
   d] Purchase of fixed assets.

2] Which one of the following is not a cash outflow from operating activities?
   a] Cash payments to suppliers for goods and services.
   b] Cash payments to and on behalf of the employees.
   c] Cash payments to acquire fixed assets.
   d] Cash payments to an Insurance Company for premium.

3] Which of the following is not a cash inflow from investing activities?
   a] Cash receipts from disposal of fixed assets.
   b] Cash receipts from sale of goods and rendering of services.
   c] Interest received in cash from loans and advances.
   d] Dividend received from investments in other enterprises.

4] Cash receipts from customers means:
   a] Revenue from operations – opening trade receivables + closing trade receivables.
   b] Revenue from operations + opening trade payables – closing trade payables.
   c] Revenue from operations + opening trade receivables – closing trade receivables.
   d] Revenue from operations - opening trade receivables - closing trade receivables.

5] Purchases means:

a] Cost of revenue from operations + opening inventory – closing inventory.

b] Cost of revenue from operations – opening inventory + closing inventory.

c] Cost of revenue from operations – opening trade receivables + closing trade receivables.

d] Cost of revenue from operations - opening inventory - closing inventory.

6] Purchase of land and building by paying cash is :

a] non cash item

b] operating activity

c] financing activity

d] investing activity.

7] Issue of Debentures for cash is:

a] cash outflow

b] cash inflow

c] operating activity

d] investing activity.

8] Repayment of bank loan is:

a] operating activity

b] investing activity

c] financing activity

d] non cash transaction

9] Best example for extraordinary items:

a] salary paid

b] tax paid

c] rent paid

d] loss due to theft

10] Buy back of its own equity shares by a Company is

a] cash outflow

b] operating activity

c] cash inflow

d] investing activity

11] Which of the following is not a cash inflow?

a] Decrease in debtors

b] Issue of shares

c] Decrease in creditors

d] Sale of fixed asset

12] Investment costing ₹ 10,000 sold for ₹ 12,000. The amount shown in investing activity is

a] ₹ 2,000

b] ₹ 10,000

c] ₹ 12,000

d] ₹ 2,200

II. Fill in the blanks questions;

1] Purchase of any asset by paying cash is _____.

2] Collection of cash from trade receivables is _____.

3] Operating activities constitute the _____activities of an enterprise.

4] _____activities relate to purchase and sale of fixed assets.

5] Indirect method of ascertaining cash flows from operating activities begins with the amount of_____.

6] Cash flow statement prepared by _____ method is used by most companies in practice in case of operating activities.

7] Cash Flow Statement helps in _____ of cash flows.

8] Generally _____ activities result in determination of net profit or loss.

9] Payment of _____ on operating profit should be classified as operating activity.

10] Changes in working capital arise due to fluctuation in amount of ----assets.

11] Cash paid to and on behalf of _____ should be classified as operating activity.

12] _____ item may be operating/investing/financing activity.

III. Match the following ;

A	B
a) Cash Flow Statement prepared	i. Extraordinary item
b) Cash flow statement shows	ii. Transactions related to long-term investment of cash
c) Cash equivalents mean	iii. Example for operating activity

d) Operating activities	iv. Non-cash item
e) Investing activities	v. Inflows and outflows of cash
f) Earthquake	vi. As per A.S-3 (AS-3)
g) Depreciation	vii. Convertible into cash
h) Issue of Shares	iii. Cash outflow
i) Salary paid	ix. Main activities
j) Redemption of Debentures	x. Cash inflow
	xi. As per A.S-26 (AS-26)

I. Very short answers Questions:

1] Mention any one benefit of cash flow statement.

2] Give the meaning of cash flows.

3] Give an example for investing activities.

4] Give an example for cash outflows from financing activities.

5] Give an example for extraordinary item.

6] Expand ICAI.

7] Extraordinary items are recurring in nature. (State True or False)

8] Cash flow statement is a first important financial statement. (State True or False)

9] An enterprise should report cash flows from operating activities either by using direct method or indirect method. (State True or False)

10] According to revised AS -3, preparation and presentation of cash flow statement is mandatory for all listed companies. (State True or False)

11] What is the main objective cash flow statement?.

12] Name the tool of financial information about sources and uses of cash and cash equivalents.

13] Give an example for cash outflow of investing activities.

14] State any one example of cash inflow from operating activity.

15] Dividend paid is an investing activity (State True or False).

PART – B

Two Marks Questions:

1] What is cash flow statement?

2] State any two uses of cash flow statement.

3] Write any two objectives of preparing cash flow statement.

4] What do you mean by investing activities?

5] Mention any two activities which are classified as per AS-3.

6] Write any two examples for financing activities.

7] If revenue from operations are ₹48,000, opening trade receivables are ₹8,000 and closing trade receivables are ₹6,000, calculate cash receipts from customers.

8] If purchases are ₹72,000, opening trade payables are ₹12,000 and closing trade payables are ₹9,000, calculate cash payments to suppliers.

9] Give the meaning of financing activities.

10] What are the two methods of ascertaining cash flows from operating activities?

11] Write any two cash inflows for investing activities.

12] Write any two cash outflows for financing activities.

13] State any two examples of operating activities.

14] Name any two items to be added back to net profit/loss, while calculating cash flow from operating activities under indirect method.

15] Write any two items to be deducted from net profit/loss while calculating cash flow from operating activities under indirect method.

16] What are operating activities?

PART – C

Six Marks Problems

Problems on Operating activities.

1] Anand Ltd., arrived at a net income of ₹5,00,000 for the year ended March 31,2024. Depreciation for the year was ₹2,00,000. There was a profit of ₹50,000 on assets sold which was transferred to statement of profit and loss. Trade Receivables increased during the year ₹40,000 and Trade Payables also increased by ₹60,000.

Compute the cash flow from operating activities by the indirect method.

(Ans: ₹6,70,000)

2] Statement of Profit or Loss of Yamuna Ltd., for the year ended March 31,2024

Particulars	Note No.	Amount (₹)
Revenue from operations.		10,00,000
Expenses :		
Cost of materials consumed	1	50,000
Purchases of stock-in-trade		5,00,000
Other expenses	2	3,00,000
Total expenses		**8,50,000**
Profit Before Tax		1,50,000

Additional information:

a] Trade receivables decreased by ₹ 30,000 during the year.

b] Prepaid expenses increased by ₹ 5,000 during the year.

c] Trade payables increased by ₹ 15,000 during the year.

d] Outstanding expenses increased by ₹ 3,000 during the year.

e] Other expenses included depreciation of ₹ 25,000.

Compute net cash from operations for the year ended March 31, 2024 by the indirect method.

(Ans: cash from operations ₹ 2,18,000)

3] Compute cash from operations from the following information**.**

i] Profit for the year 2023-24 is a sum of ₹ 10,000 after providing for depreciation of ₹ 2,000.

ii] The current assets and liabilities of the business for the year ended March 31, 2023 & 2024 are as follows-

Particulars	**March 31,2023 (₹)**	**March 31,2024 (₹)**
Trade receivables	14,000	15,000
Provision for Doubtful Debts	1,000	1,200
Trade payables	13,000	15,000
Inventories	5,000	8,000
Other current assets	10,000	12,000
Expenses payable	1,000	1,500
Prepaid expenses	2,000	1,000
Accrued income	3,000	4,000
Income received in advance	2,000	1,000

(Ans: Cash from operations: ₹ 7,700)

4] Net Profit of L G Co., Ltd., is ₹ 700,000 after charging depreciation of ₹ 150,000. Profit of ₹ 60,000 on asset sold was transferred to Statement of P/L.Trade payables decreased during the year by ₹ 45,000 and trade receivables also decreased by ₹ 55,000.

Calculate cash flows from operating activities by the indirect method**.**

(Ans: ₹ 8,00,000)

5] Following is the Statement of P & L of Manjunath Co., Ltd., for the year ending 31-03-2024:

Particulars	Note No.	Particulars
Revenue from operations		9,00,000
Expenses:		
Purchases		3,60,000
Employee Benefit Expenses		2,40,000
Depreciation & Amortisation expenses		50,000
Total expenses		**6,50,000**
Profit before tax		2,50,000

Additional information:

a] During the year ,prepaid expenses decreased by ₹28,000.

b] During the year , outstanding expenses are also decreased by ₹22,000.

c] Trade payables increased by ₹40,000 during the year.

(Ans : ₹346,000)

<u>Problems on Investing Activities:</u>

6] National Trading Company Ltd., has given the following information**:**

Plant as on 1/4/2023	₹1,20,000
Plant as on 31/3/2024	₹1,50,000
Accumulated depreciation on 1/4/2023	₹ 60,000
Accumulated depreciation on 31/3/2024	₹40,000

During the year, a plant costing ₹60,000 with accumulated depreciation of ₹25,000 was sold for ₹30,000.

Calculate cash flow from investing activities.

(Ans: Cash used in investing activities ₹60,000)

7] From the following particulars, calculate cash flow from investing activities.

Particulars	**Purchased** ₹	**Sold** ₹
Plant	4,40,000	50,000
Investments	1,80,000	1,00,000
Goodwill	2,00,000	--------
Patents	----------	1,00,000

Interest received on debentures held as investments ₹ 60,000

Dividend received on shares held as investment ₹ 10,000

A plot of land had been purchased for investment purpose and was let out for commercial use and rent received ₹ 30,000

(Ans: Cash used in investing activities ₹ 4,70,000)

8] From the following information, calculate cash flow from investing activities**.**

Particulars	2023 (₹)	2024 (₹)
Machine at cost	5,00,000	9,00,000
Accumulated depreciation	3,00,000	4,50,000

In the year 2024, machine costing ₹ 2,00,000 was sold at a profit of ₹ 1,50,000. Depreciation charged on machine during the year 2024 amounted to ₹ 2,50,000.

(Ans: Cash used in investing activities ₹ 3,50,000)

9] From the following particulars, calculate cash flows from investing activities**:**

Particulars	Purchased ₹	Sold ₹
Machinery	200,000	-
Investments	150,000	60,000
Patents	_	50,000
Land	100,000	_

Dividend received on shares held as investments ₹ 35,000.

Interest received on debentures held as investments ₹ 20,000.

(Ans: Cash used in investing activities ₹ 285,000)

10] From the following particulars , calculate cash flow from investing activities

a] Machinery purchased ₹ 450,000.

b] Investments sold ₹ 600,000.

c] Dividend received on shares held as investment ₹ 35,000.

d] Furniture purchased for ₹ 27,000.

e] Interest received on debentures held as investment ₹ 58,000.

f] Income tax paid ₹ 50,000.

(Ans: Cash flow from investing activities ₹ 2,16,000)

Problems on Financing Activities.

11] From the following information, calculate cash flows from financing activities.

Particulars	April 01, 2023 ₹	March 31, 2024 ₹
Equity share capital	20,00,000	30,00,000
Secured loan	9,00,000	16,00,000

During the year secured loan repaid ₹4,00,000 with interest of ₹20,000 and paid dividend of ₹50,000.

(Ans: Cash flow from financing activities ₹16,30,000)

12] From the following information, calculate cash flow from financing activities.

Particulars	April 01,2023 ₹	March 31,2024 ₹
Debentures	8,00,000	10,00,000
Preference share capital	3,00,000	5,00,000

During the year, the company redeemed debentures of Rs.1,00,000.

(Ans: Cash flow from financing activities ₹4,00,000)

13] From the following information, calculate cash flows from financing activities**:**

Particulars	2023 (₹)	2024 (₹)
Equity share capital	28,00,000	35,00,000
Bank loan	12,50,000	7,50,000

(Ans: Cash flow from financing activities ₹ 2,00,000)

14] From the following, ascertain cash flows from financing activities**:**

Particulars	01-04-2023 (₹)	31-03-2024 (₹)
Equity Share Capital	5,00,000	7,50,000
L. T. Borrowings	3,00,000	4,50,000

During the year, borrowings repaid ₹1,00,000

and interest paid on them ₹20,000

(Ans: Cash flow from financing activities ₹2,80,000)

15] From the following information, calculate cash flow from financing activities

Particulars	**01-04-2023(₹)**	**31-03-2024(₹)**
Preference Share Capital	4,00,000	5,00,000
Equity Share Capital	6,00,000	8,00,000
Secured Loan	4,50,000	3,50,000
10%Debentures	3,00,000	4,50,000

During the year dividend paid ₹80,000 and interest paid ₹70,000.

(Ans: Cash flow from financing activities ₹2,00,000)

Key answer for short questions :

MCQs:

1.(a) 2.(c) 3.(b) 4. (c) 5.(b) 6.(d) 7.(b) 8.(c) 9.(d) 10.(a)
11.(c) 12.(c).

Fill in the Blanks:

1.cash outflow 2.cash inflow 3.primary 4.Investing
5.net profit or loss 6.Indirect 7.balancing 8.operating
9.tax 10. Current 11.employees 12.interest

Match the following:

a- vi b-v c-vii d-ix e-ii f-I g-iv h-x i-iii j-viii.

True or False:

7.False 8.False 9.True 10.True 15.False.